MGT301 PRINCIPLES OF MARKETING CONCEPTUAL MCQ'S DIRECT ANSWERS, CHAPTER 6/THEME 6 TO CHAPTER 20 ONWARDS (FROM ORIGINAL BOOK)

Chapter 6 Business Markets and Business Buyer Behavior

1) In which of the following ways is GE like most other large companies?

E) Most of its business comes from commercial and industrial customers.
Answer: E Diff: 1 Page Ref: 168 Skill: Concept Objective: 6-1

2) As a purchasing agent, Benni Lopez buys goods and services for use in the production of products that are sold and supplied to others. Benni is involved in_____.

D) business buyer behavior
Answer: D Diff: 1 Page Ref: 168 Skill: Concept Objective: 6-1

3) Business buying behavior refers to the buying behavior of organizations that buy all of the following EXCEPT_____.

E) products purchased for personal consumption
Answer: E Diff: 1 Page Ref: 168 Skill: Concept Objective: 6-1

4) In one way or another, most large companies sell to_____.

B) other organizations
Answer: B Diff: 2 Page Ref: 168 Skill: Concept Objective: 6-1

5) When compared to consumer markets, business markets are_____.

C) huge
Answer: C Diff: 2 Page Ref: 168 Skill: Concept Objective: 6-1

6) Which of the following is NOT a way that business and consumer markets differ?

C) satisfaction of needs through purchases
Answer: C Diff: 3 Page Ref: 169 Skill: Concept Objective: 6-1

7) There are many sets of_____purchases made for each set of _____ purchases.

D) business; consumer
Answer: D Diff: 2 Page Ref: 168 Skill: Concept Objective: 6-1

8) Which of the following is true about business marketers in comparison to consumer marketers?

A) They deal with far fewer but far larger buyers.
Answer: A Diff: 2 Page Ref: 169 Skill: Concept Objective: 6-1

9) Hewlett-Packard and Dell buy Intel microprocessor chips because consumers buy personal computers. This demonstrates an economic principle called _____.

C) derived demand
Answer: C Diff: 2 Page Ref: 169 Skill: Concept Objective: 6-1

10) The Pure Drug Company produces insulin, a product with a very stable demand, even though the price has changed several times in the past two years. Insulin is a product with_____demand.

C) inelastic
Answer: C Diff: 2 Page Ref: 169 Skill: Concept Objective: 6-1

11) The demand for many business goods and services tends to change more, and more quickly, than the demand for consumer goods and services does. This is referred to as_____demand.

A) fluctuating
Answer: A Diff: 1 Page Ref: 169 Skill: Concept Objective: 6-1

12) Large business purchasers usually call for detailed product specifications, written purchase orders, careful supplier searches, and formal approval. These are all examples of how the business buying decision process is more _____than the consumer buying decision process is.

A) formalized
Answer: A Diff: 2 Page Ref: 170 Skill: Concept Objective: 6-1

13) The owners of the company you work for have developed a core network of suppliers they are working closely with to ensure an appropriate and dependable supply of products. This is an example of_____management.

E) supplier development
Answer: E Diff: 1 Page Ref: 170 Skill: Concept Objective: 6-1

14) Although there are many differences between business buying behavior and consumer buying behavior, both respond to the same four stimuli: product, price, promotion, and_____.

C) place
Answer: C Diff: 2 Page Ref: 172 Skill: Concept Objective: 6-2

15) In a typical organization, buying activity consists of two major parts: the buying_____and the buying_____.

D) center; decision process
Answer: D Diff: 3 Page Ref: 172 Skill: Concept Objective: 6-2

16) The buying center and the buying decision process are affected by all of the following factors EXCEPT_____.

E) self-concept factors
Answer: E Diff: 2 Page Ref: 172 Skill: Concept Objective: 6-2

17) Which business buying situation is the marketer's greatest opportunity and challenge?

C) new task
Answer: C Diff: 2 Page Ref: 173 Skill: Concept Objective: 6-2

18) In which type of buying situation would a supplier most likely focus on maintaining product and service quality?

A) straight rebuy
Answer: A Diff: 3 Page Ref: 173 Skill: Concept Objective: 6-2

19) You just lost a major account because a competitor provided the most complete system to meet the customer's needs and solve the customer's problems, and made the sale. In other words, the competition beat you with _____.

A) solutions selling
Answer: A Diff: 2 Page Ref: 173 Skill: Concept Objective: 6-2

20) Another name for systems selling is_____selling.

A) solutions
Answer: A Diff: 1 Page Ref: 173 Skill: Concept Objective: 6-2

21) The decision-making unit of a buying organization is called the_____.

B) buying center
Answer: B Diff: 1 Page Ref: 174 Skill: Concept Objective: 6-2

22) A_____consists of the actual users of products, those who control buying information, those who influence the decisions, those who do the actual buying, and those who make the buying decisions.

C) buying center
Answer: C Diff: 2 Page Ref: 174 Skill: Concept Objective: 6-2

23) In routine buying situations, which members of the buying center have formal or informal power to select or approve the final suppliers?

D) deciders
Answer: D Diff: 1 Page Ref: 174 Skill: Concept Objective: 6-2

24) A(n)_____controls the flow of information to others in the buying center.

D) gatekeeper
Answer: D Diff: 1 Page Ref: 174 AACSB: Communication
Skill: Concept Objective: 6-2

25) Don Amspacher, in his role on the buying committee, provides information for evaluating the alternative purchase decisions and helps define and set specifications for evaluating alternatives for purchasing. Don is a(n) _____.

B) influencer
Answer: B Diff: 2 Page Ref: 174 AACSB: Communication
Skill: Concept Objective: 6-2

26) Gretchen Kabor has formal authority to select the suppliers and arrange terms of purchase for many of the items her firm uses. Her role in the buying center is that of_____.

C) buyer
Answer: C Diff: 2 Page Ref: 174 Skill: Concept Objective: 6-2

27) A buying center is not a fixed, formally identified, unit within an organization, but rather a set of_____assumed by different people for different purchases.

C) buying roles
Answer: C Diff: 3 Page Ref: 174 Skill: Concept Objective: 6-2

28) Which of the following is NOT included in the decision-making unit of a buying organization?

D) individuals who supply the product
Answer: D Diff: 2 Page Ref: 174 Skill: Concept Objective: 6-2

29) Which of the following statements about buying centers is true?

E) The buying center may involve informal participants who are not obvious to sellers.
Answer: E Diff: 3 Page Ref: 175 Skill: Concept Objective: 6-2

30) When suppliers' offers are very similar, business buyers have little basis for strictly_____.

B) rational choice
Answer: B Diff: 3 Page Ref: 175 Skill: Concept Objective: 6-2

31) When competing products differ greatly, business buyers are more accountable for their purchase choices and tend to pay more attention to _____.

A) economic factors
Answer: A Diff: 3 Page Ref: 175 Skill: Concept Objective: 6-2

32) Buyers are heavily influenced by the current and expected economic environment. That includes which of the following buyer influences?

E) all of the above
Answer: E Diff: 3 Page Ref: 175 Skill: Concept Objective: 6-2

33) To ensure an adequate and available supply of key scarce materials, many companies are now willing to_____.

B) buy and hold large inventories of the materials
Answer: B Diff: 2 Page Ref: 175 Skill: Concept Objective: 6-2

34) The major influences on the buying process at General Aeronautics include company policies and systems, technological change, and economic developments. The types of influences on the buying process in this scenario are most accurately categorized as_____and_____.

E) organizational; environmental
Answer: E Diff: 3 Page Ref: 176 Skill: Concept Objective: 6-2

35) Which of the following types of factors influencing members of a buying center are typically the most difficult for marketers to assess?

C) interpersonal
Answer: C Diff: 3 Page Ref: 176 Skill: Concept Objective: 6-2

36) Policies, procedures, and systems are all examples of_____influences on business buyer behavior.

D) organizational
Answer: D Diff: 2 Page Ref: 176 Skill: Concept Objective: 6-2

37) Status, empathy, and persuasiveness are all examples of_____influences on business buyer behavior.

C) interpersonal
Answer: C Diff: 2 Page Ref: 176 Skill: Concept Objective: 6-2

38) Charlie Van Dusen, executive vice president of National Central Bank, is going through all of the stages of the buying process to purchase a computer system for the bank. Charlie is facing a(n)_____situation.

C) new-task buying
Answer: C Diff: 2 Page Ref: 176 Skill: Concept Objective: 6-3

39) Which of the following is an example of an internal stimulus that might lead to the business buying process stage of problem recognition?

C) A buyer is unhappy with a current supplier's price.
Answer: C Diff: 2 Page Ref: 177 Skill: Concept Objective: 6-3

40) The first step of the business buying process is_____.

C) problem recognition
Answer: C Diff: 2 Page Ref: 177 Skill: Concept Objective: 6-3

41) Business marketers often alert customers to potential problems and then show how their products provide solutions. These marketers are hoping to influence which stage of the business buying process?

C) problem recognition
Answer: C Diff: 2 Page Ref: 177 Skill: Concept Objective: 6-3

42) The purchasing agent at your company is working with engineers and users to define the items to purchase by describing general characteristics and quantities needed. He is also ranking the importance of reliability, durability, and price. The buyer is preparing a(n)_____.

C) general need description
Answer: C Diff: 2 Page Ref: 177 Skill: Concept Objective: 6-3

43) In which stage of the business buying process is a supplier most likely to provide a buyer with information about the values of different product characteristics?

B) general need description
Answer: B Diff: 3 Page Ref: 177 Skill: Concept Objective: 6-3

44) Which of the following is the process of the buying center deciding on the best product characteristics?

E) product specification
Answer: E Diff: 1 Page Ref: 177 Skill: Concept Objective: 6-3

45) During which stage of the business buying process is a buyer most likely to conduct a value analysis, carefully studying components to determine if they can be redesigned, standardized, or made less expensively?

E) product specification
Answer: E Diff: 3 Page Ref: 177 Skill: Concept Objective: 6-3

46) Empire Products has begun a process to find the best suppliers. Empire Products is actively engaged in_____.

C) supplier search
Answer: C Diff: 1 Page Ref: 177 Skill: Concept Objective: 6-3

47) A buyer would be most likely to review trade directories in which stage of the business buying process?

D) supplier search
Answer: D Diff: 2 Page Ref: 177 Skill: Concept Objective: 6-3

48) In the generally accepted stages of the business buying process, the step following product specification is_____.

B) supplier search
Answer: B Diff: 2 Page Ref: 177 Skill: Concept Objective: 6-3

49) In the generally accepted stages of the business buying process, the step following problem recognition is_____.

D) general need description
Answer: D Diff: 2 Page Ref: 177 Skill: Concept Objective: 6-3

50) Members of the buying center at ABC Kid's World are drawing up a list of desired toy supplier attributes and their relative importance. Next, they intend to compare several suppliers to these attributes. In which step of the business buying process is the buying center at ABC Kid's World engaged?

C) supplier selection
Answer: C Diff: 2 Page Ref: 178 Skill: Concept Objective: 6-3

51) Which of the following statements about the supplier selection stage of the business buying decision process is true?

E) Before selecting a supplier, many companies consider the supplier's reputation, ethical corporate behavior, and honest communication.
Answer: E Diff: 2 Page Ref: 178 Skill: Concept Objective: 6-3

52) During the_____stage of the business buying decision process, the buying center assesses the proposals.

B) supplier selection
Answer: B Diff: 2 Page Ref: 178 Skill: Concept Objective: 6-3

53) In the case of maintenance, repair, and operating items, buyers may use a _____rather than periodic purchase orders.

A) blanket contract
Answer: A Diff: 2 Page Ref: 179 Skill: Concept Objective: 6-3

54) In which stage of the business buying process is a supplier's task to make sure that the supplier is giving the buyer the expected satisfaction?

B) performance review
Answer: B Diff: 2 Page Ref: 179 Skill: Concept Objective: 6-3

55) Following a purchase, the buyer and seller would both monitor which phase of the new-task buying situation?

C) performance review
Answer: C Diff: 2 Page Ref: 179 Skill: Concept Objective: 6-3

56) Under a_____, a supplier monitors and replenishes a buyer's stock automatically as needed.

A) vendor-managed inventory
Answer: A Diff: 2 Page Ref: 179 Skill: Concept Objective: 6-3

57) Which of the following accurately describes a cultural difference international marketers should be aware of?

D) Japanese people tend to put a high value on rank.
Answer: D Diff: 3 Page Ref: 179 AACSB: Multicultural and Diversity Skill: Concept Objective: 6-3

58) Which of the following is the best advice for an international marketer planning to interact with businesspeople from many different cultures?

C) Cultures really are different, so do your best to learn about those differences.
Answer: C Diff: 2 Page Ref: 179 AACSB: Multicultural and Diversity Skill: Concept Objective: 6-3

59) Instead of focusing on managing individual purchases, a seller should focus on managing the_____.

E) total customer relationship
Answer: E Diff: 2 Page Ref: 180 Skill: Concept Objective: 6-3

60) Which of the following can be especially useful for a company that needs to conduct secure and frequent communications and transactions with key suppliers?

B) an extranet
Answer: B Diff: 2 Page Ref: 180 AACSB: Use of IT Skill: Concept Objective: 6-3

61) Reverse auctions, trading exchanges, and company buying sites are all ways that companies can participate in_____.

E) e-procurement
Answer: E Diff: 1 Page Ref: 180 AACSB: Use of IT Skill: Concept Objective: 6-3

62) The Bentley department store chain makes extensive use of e-procurement. As a buyer, the store should expect to enjoy all of these benefits of e-procurement EXCEPT_____.

D) reduced payroll
Answer: D Diff: 2 Page Ref: 181 AACSB: Use of IT Skill: Concept Objective: 6-3

63) B-to-B e-procurement yields many benefits. These include all of the following EXCEPT_____.

C) elimination of inventory problems
Answer: C Diff: 2 Page Ref: 181 AACSB: Use of IT Skill: Concept Objective: 6-3

64) A problem with the rapidly expanding use of e-purchasing is that it_____.

A) can erode established customer-supplier relationships
Answer: A Diff: 2 Page Ref: 181 AACSB: Use of IT Skill: Concept Objective: 6-3

65) The leading barrier to expanding electronic links with customers and partners online is_____.

C) concern over security
Answer: C Diff: 2 Page Ref: 181 AACSB: Use of IT Skill: Concept Objective: 6-3

66) Firewalls and encryption are_____.

A) two commonly used techniques to safeguard Internet and extranet transactions
Answer: A Diff: 1 Page Ref: 181 AACSB: Use of IT Skill: Concept Objective: 6-3

67) Which of the following statements about e-procurement security issues is true?

E) Providing e-procurement security can involve a substantial financial investment from a company.
Answer: E Diff: 2 Page Ref: 181 AACSB: Use of IT Skill: Concept Objective: 6-3

68) Sage, Inc., provides food services to schools, hospitals, and nursing homes in the Midwest. Management at Sage is involved in the_____market.

D) institutional
Answer: D Diff: 1 Page Ref: 181 Skill: Concept Objective: 6-4

69) Many institutional markets are characterized by_____and_____.

C) low budgets; captive patrons
Answer: C Diff: 3 Page Ref: 182 Skill: Concept Objective: 6-4

70) Government organizations tend to favor_____suppliers over _____ suppliers.

D) domestic; foreign
Answer: D Diff: 2 Page Ref: 182 AACSB: Multicultural and Diversity Skill: Concept Objective: 6-4

71) All of the following are difficulties associated with selling to government buyers EXCEPT_____.

D) low sales volume
Answer: D Diff: 1 Page Ref: 182 Skill: Concept Objective: 6-4

72) U.S. Government Purchasing, Specifications, and Sales Directory is a(n) _____publication.

B) government
Answer: B Diff: 1 Page Ref: 183 Skill: Concept Objective: 6-4

73) There are many factors considered in government buying, but_____is, above all, the most important.

A) price
Answer: A Diff: 2 Page Ref: 182 Skill: Concept Objective: 6-4

74) Total government spending is determined by_____rather than by any _____to develop this market.

C) elected officials; marketing effort
Answer: C Diff: 3 Page Ref: 183 Skill: Concept Objective: 6-4

75) The world's largest buyer of products and services is_____.

C) the U.S. government
Answer: C Diff: 2 Page Ref: 183 AACSB: Multicultural and Diversity
Skill: Concept Objective: 6-4

76) Which of the following is NOT part of the business market?

C) Sue buys a gift for her mother.
Answer: C Diff: 1 Page Ref: 168 AACSB: Reflective Thinking
Skill: Application Objective: 6-1

77) Giant Food Stores buy a lot of frozen turkey products at Thanksgiving and Christmas due to high consumer demand. This is an example of _____ demand.

B) derived
Answer: B Diff: 2 Page Ref: 169 AACSB: Reflective Thinking
Skill: Application Objective: 6-1

78) Demand for outboard motors depends on consumers purchasing fishing boats. This is an example of_____demand.

C) derived
Answer: C Diff: 2 Page Ref: 169 AACSB: Reflective Thinking
Skill: Application Objective: 6-1

79) ABC Enterprises sold 9,000 units @ $2.99/unit in July. The firm sold 9,000 units @ $4.29/unit in August. This illustrates_____demand.

E) inelastic
Answer: E Diff: 3 Page Ref: 169 AACSB: Reflective Thinking
Skill: Application Objective: 6-1

80) UPS serves both consumer and business markets, but most of its revenues come from its business customers. UPS has become a strategic logistics ally for many of its business customers, going far beyond offering delivery services to offering inventory management, international trade management, and even financing to its commercial customers. This is an example of which of the following differences between the consumer and business markets?

B) Buyers and sellers in the business market build close, long-term relationships.
Answer: B Diff: 2 Page Ref: 172 AACSB: Reflective Thinking
Skill: Application Objective: 6-1

81) You call in a department manager to assist in a purchase of industrial equipment. You are considering a change in product specifications, terms, and possibly suppliers. This is most likely a_____situation.

A) modified rebuy
Answer: A Diff: 1 Page Ref: 173 AACSB: Reflective Thinking
Skill: Application Objective: 6-2

82) Which of the following is most likely true about a straight rebuy?

C) It often involves products with low risks.
Answer: C Diff: 3 Page Ref: 173 AACSB: Analytic Skills
Skill: Application Objective: 6-2

83) You regularly purchase cleaning supplies for your custodial staff, using the same vendor and ordering relatively consistent amounts of the same products with each purchase. This is an example of a_____situation.

C) straight rebuy
Answer: C Diff: 1 Page Ref: 173 AACSB: Reflective Thinking
Skill: Application Objective: 6-2

84) Worthington Farm raises chickens. For years, it has used wooden coops for hauling its poultry to market. The owner of the farm needs to buy some replacement coops and is considering buying plastic coops that are slightly more expensive than wooden ones but much easier to clean after use. This purchase of coops is an example of a_____.

A) modified rebuy
Answer: A Diff: 1 Page Ref: 173 AACSB: Reflective Thinking
Skill: Application Objective: 6-2

85) The EPA has mandated that, in order to reduce local pollution, your printing plant switch from oil-based to water-based inks. This will require entirely new printing presses and a new printing plate technology. After carefully searching through numerous manufacturers' equipment descriptions and gathering opinions from all relevant parties related to the work, the printing plant's buying center will be ready to make this_____purchase.

B) new task
Answer: B Diff: 2 Page Ref: 173 AACSB: Reflective Thinking
Skill: Application Objective: 6-2

86) Don Brady is responsible for obtaining price quotations from various vendors. After reviewing them, Don then determines whether or not to include the vendor on the approved vendor list. Don apparently plays two roles, that of _____and_____.

D) decider; buyer
Answer: D Diff: 3 Page Ref: 174 AACSB: Reflective Thinking
Skill: Application Objective: 6-2

87) One of Dr. Albrecht's dental assistants told the dentist he should buy a machine that would sterilize his tools without using any water because water tends to cause the tools to rust or corrode over time. In terms of the buying center, the dental assistant had the role of_____.

D) influencer
Answer: D Diff: 2 Page Ref: 174 AACSB: Reflective Thinking
Skill: Application Objective: 6-2

88) One of Dr. Albrecht's dental assistants told the dentist he should buy a machine that would sterilize his tools without using any water because water tends to cause the tools to rust or corrode over time. Dr. Albrecht, who runs a solo practice in a small rural town, located some articles on the chemical sterilizer and read about how the machine works. After gathering more information and talking to salespeople, Dr. Albrecht placed his order for the machine. In terms of the buying center, Dr. Albrecht had the role of_____.

B) decider
Answer: B Diff: 2 Page Ref: 174 AACSB: Reflective Thinking
Skill: Application Objective: 6-2

89) A trucking company is considering purchasing new trucks that are powered by ethanol instead of diesel fuel. In terms of the buying center, the truck drivers who must make sure that the trucks do not run out of fuel are the_____.

E) users
Answer: E Diff: 2 Page Ref: 174 AACSB: Reflective Thinking
Skill: Application Objective: 6-2

90) Worthington Farm raises chickens. For years, it has used wooden coops for hauling its poultry to market. When Bob Worthington went to reuse some of his coops, he noticed many of them could not be sufficiently cleaned for reuse and needed to be replaced. Worthington was at which stage of the business buying process when he decided to replace his old coops?

A) problem recognition
Answer: A Diff: 1 Page Ref: 176 AACSB: Reflective Thinking
Skill: Application Objective: 6-3

91) John Herr's company has standardized the size of its paper bags so that each bag can be used in five to seven different store departments. This approach to cost reduction likely took place in the_____stage of the business buying process.

C) product specification
Answer: C Diff: 3 Page Ref: 177 AACSB: Reflective Thinking
Skill: Application Objective: 6-3

92) In what type of buying situation would a seller most likely send only a catalog to the buyer during the proposal solicitation stage of the business buying process?

C) straight rebuy
Answer: C Diff: 3 Page Ref: 178 AACSB: Analytic Skills
Skill: Application Objective: 6-3

93) Most newspapers rely on_____so they do not need to rely on only one supplier to provide the tons of paper that they use annually.

B) multiple sourcing
Answer: B Diff: 2 Page Ref: 178 AACSB: Reflective Thinking
Skill: Application Objective: 6-3

94) Pace Hardware uses Learningnow.com to improve sales force effectiveness and facilitate sharing of expertise. It allows Pace retailers to link with other Pace retailers to ask for managerial and marketing advice. It also allows Pace retailers to ask their suppliers about product usage, deliveries, and warranties, and it allows suppliers to send new-product information directly to Pace retailers. In this scenario, Pace Hardware is using a(n)_____.

A) extranet
Answer: A Diff: 2 Page Ref: 180 AACSB: Use of IT Skill: Application
Objective: 6-3

95) Which of the following was most likely being used when Boeing received orders for $100 million in spare parts in the first year its Web site was in operation?

A) e-procurement
Answer: A Diff: 1 Page Ref: 180 AACSB: Reflective Thinking
Skill: Application Objective: 6-3

96) All of the following organizations are likely considered to be a part of the institutional market EXCEPT_____.

C) Lancaster Township
Answer: C Diff: 1 Page Ref: 181 AACSB: Reflective Thinking
Skill: Application Objective: 6-4

Chapter 7 Customer-Driven Marketing Strategy: Creating Value for Target Customers

1) When a company identifies the parts of the market it can serve best and most profitably, it is practicing_____.

C) market targeting
Answer: C Diff: 2 Page Ref: 191 Skill: Concept Objective: 7-1

2) What are the four steps, in order, to designing a customer-driven marketing strategy?

C) market segmentation, targeting, differentiation, and positioning
Answer: C Diff: 2 Page Ref: 191 Skill: Concept Objective: 7-1

3) Through market segmentation, companies divide large, heterogeneous markets into smaller segments that can be reached more_____with products and services that match their unique needs.

E) both A and B
Answer: E Diff: 2 Page Ref: 192 Skill: Concept Objective: 7-2

4) Even though several options are available at any one time, there_____to segment a market.

B) is no single way
Answer: B Diff: 2 Page Ref: 192 Skill: Concept Objective: 7-2

5) Your firm has decided to localize its products and services to meet local market demands. A good approach to use would be_____segmentation.

A) geographic
Answer: A Diff: 1 Page Ref: 193 Skill: Concept Objective: 7-2

6) Pendergraff Pet Supplies divides the pet market according to the owners' race, occupation, income, and family life cycle. What type of segmentation does Pendergraff use?

D) demographic
Answer: D Diff: 1 Page Ref: 194 Skill: Concept Objective: 7-2

7) Through talking to numerous competitors at a regional trade show, you learn that most of them use the most popular base for segmenting markets. What is it?

A) demographic
Answer: A Diff: 2 Page Ref: 194 Skill: Concept Objective: 7-2

8) Demographic variables are so frequently used in market segmentation because they_____.

D) are easy to measure in comparison to many other methods
Answer: D Diff: 2 Page Ref: 194 Skill: Concept Objective: 7-2

9) Marketers must be most careful to guard against which of the following when using age and life cycle segmentation?

B) stereotyping
Answer: B Diff: 2 Page Ref: 194 AACSB: Ethical Reasoning
Skill: Concept Objective: 7-2

10) When Positive Image, Inc., caters to clothing, cosmetics, and toiletries markets, it is most likely using which type of segmentation?

B) gender
Answer: B Diff: 2 Page Ref: 195 Skill: Concept Objective: 7-2

11) Marketers of automobiles, financial services, and travel are most likely to use which of the following types of segmentation?

B) income
Answer: B Diff: 2 Page Ref: 195 Skill: Concept Objective: 7-2

12) The division of buyers into groups based on their knowledge, attitudes, uses, or responses to a product is_____segmentation.

A) behavioral
Answer: A Diff: 1 Page Ref: 196 Skill: Concept Objective: 7-2

13) Many marketers believe that which of the following variables are the best starting point for building marketing segments?

A) behavioral
Answer: A Diff: 2 Page Ref: 196 Skill: Concept Objective: 7-2

14) Which type of segmentation centers on the use of the word when, such as when consumers get the idea to buy, when they actually make their purchase, or when they use the purchased item?

C) occasion
Answer: C Diff: 2 Page Ref: 196 Skill: Concept Objective: 7-2

15) Markets can be segmented into groups of nonusers, ex-users, potential users, first-time users, and regular users of a product. This method of segmentation is called_____.

A) user status
Answer: A Diff: 1 Page Ref: 197 Skill: Concept Objective: 7-2

16) Consumers can show their allegiance to brands, stores, or companies. Marketers can use this information to segment consumers by_____.

B) loyalty status
Answer: B Diff: 1 Page Ref: 197 Skill: Concept Objective: 7-2

17) By studying its less loyal buyers, a company can detect which brands are most _____its own.

A) competitive with
Answer: A Diff: 2 Page Ref: 198 Skill: Concept Objective: 7-2

18) Many firms make an effort to identify smaller, better-defined target groups by using_____.

C) multiple segmentation bases
Answer: C Diff: 3 Page Ref: 198 Skill: Concept Objective: 7-2

19) Consumer and business marketers use many of the same variables to segment markets. Business marketers use all of the following EXCEPT_____.

E) brand personalities Answer: E Diff: 3 Page Ref: 198
Skill: Concept Objective: 7-2

20) As in consumer segmentation, many marketers believe that_____and _____segmentation provide the best basis for segmenting business markets.

C) benefits; buying behavior
Answer: C Diff: 2 Page Ref: 199 Skill: Concept Objective: 7-2

21) International Drilling Company segments its foreign markets by their overall level of economic development. This firm segments on what basis?

D) economic factors
Answer: D Diff: 1 Page Ref: 199 Skill: Concept Objective: 7-2

22) Lexus targets wealthy consumers with similar needs and buying behaviors, even though the consumers are located in different countries. This is an example of_____.

A) intermarket segmentation
Answer: A Diff: 1 Page Ref: 200 Skill: Concept Objective: 7-2

23) When the size, purchasing power, and profiles of a market segment can be determined, it possesses the requirement of being_____.

A) measurable
Answer: A Diff: 2 Page Ref: 200 Skill: Concept Objective: 7-2

24) When a business market segment is large or profitable enough to serve, it is termed_____.

C) substantial
Answer: C Diff: 2 Page Ref: 200 Skill: Concept Objective: 7-2

25) When an effective program can be designed for attracting and serving a chosen segment, the segment is best described as_____.

D) actionable
Answer: D Diff: 2 Page Ref: 201 Skill: Concept Objective: 7-2

26) You have discovered that the segments you are targeting are conceptually distinguishable and respond differently to different marketing mix elements and programs. These segments are_____.

D) differentiable
Answer: D Diff: 2 Page Ref: 201 Skill: Concept Objective: 7-2

27) To evaluate the different market segments your company serves, you would look at all of these factors EXCEPT which one?

D) company values
Answer: D Diff: 3 Page Ref: 201 Skill: Concept Objective: 7-3

28) Barney Hopkins has compiled a list of things that make segments more attractive. Which one of the following items should NOT be on the list?

D) competition with superior resources
Answer: D Diff: 2 Page Ref: 201 Skill: Concept Objective: 7-3

29) Which of the following is NOT one of the reasons a segment would be less attractive to a company?

C) concentrated market
Answer: C Diff: 2 Page Ref: 201 Skill: Concept Objective: 7-3

30) In general, a company should enter only segments in which it can_____ and_____.

B) offer superior value; gain advantages over competitors
Answer: B Diff: 3 Page Ref: 201 Skill: Concept Objective: 7-3

31) Mass marketers, such as Target and Venture Stores, often ignore market segment differences and target the whole market with one offer. What is their approach to segmenting?

A) undifferentiated marketing
Answer: A Diff: 1 Page Ref: 201 Skill: Concept Objective: 7-3

32) The 55-year-old baby boomers share common needs in music and performers. When a music company decides to serve this group, the group is called a(n) _____.

B) target market
Answer: B Diff: 1 Page Ref: 201 Skill: Concept Objective: 7-3

33) When New Port Shipping uses segmented marketing, it targets several segments and designs separate offers for each one. This approach is called _____marketing.

B) differentiated
Answer: B Diff: 2 Page Ref: 202 Skill: Concept Objective: 7-3

34) Developing a strong position within several segments creates more total sales than_____marketing across all segments.

A) undifferentiated
Answer: A Diff: 3 Page Ref: 202 Skill: Concept Objective: 7-3

35) ByWay Ventures chose a differentiated marketing strategy. The company had to weigh_____against_____when selecting this strategy.

C) increased sales; increased costs
Answer: C Diff: 2 Page Ref: 204 Skill: Concept Objective: 7-3

36) Procter & Gamble sells six brands of laundry detergent in the United States, each designed for one of six laundry segments Procter & Gamble has identified. Together, these six brands take 62% of market share. Which of the following is a disadvantage of Procter & Gamble's differentiated marketing strategy?

C) increased costs for separate marketing plans for each brand
Answer: C Diff: 2 Page Ref: 202 Skill: Concept Objective: 7-3

37) Successful niche marketing relies on a firm's_____and its_____.

D) greater knowledge of customers' needs; special reputation
Answer: D Diff: 2 Page Ref: 204 Skill: Concept Objective: 7-3

38) Using concentrated marketing, the marketer goes after a_____share of _____.

C) large; one or a few niches
Answer: C Diff: 2 Page Ref: 204 Skill: Concept Objective: 7-3

39) Niche marketing offers smaller companies the opportunity to compete by focusing their limited resources on serving niches that may be_____or _____larger companies.

B) unimportant to; overlooked by
Answer: B Diff: 2 Page Ref: 204 Skill: Concept Objective: 7-3

40) Today, the low cost of setting up shop_____makes it even more profitable to serve very small niches.

C) on the Internet
Answer: C Diff: 1 Page Ref: 205 AACSB: Use of IT Skill: Concept Objective: 7-3

41) Which of the segmenting strategies carries higher-than-average risks in consumer markets?

A) concentrated
Answer: A Diff: 3 Page Ref: 205 Skill: Concept Objective: 7-3

42) As You Like It, Inc., customizes its offers to each individual consumer. This practice of tailoring products and marketing programs to suit the tastes of specific individuals and locations is referred to as_____marketing.

E) micro
Answer: E Diff: 2 Page Ref: 205 Skill: Concept Objective: 7-3

43) _____tailors brands and promotions to the needs and wants of specific cities, neighborhoods, and even stores.

D) Local marketing
Answer: D Diff: 1 Page Ref: 205 Skill: Concept Objective: 7-3

44) Which of the following is the narrowest marketing strategy?

B) local marketing
Answer: B Diff: 3 Page Ref: 202 Skill: Concept Objective: 7-2

45) Which of the following is NOT a drawback of local marketing?

E) Supporting technologies are expensive.
Answer: E Diff: 3 Page Ref: 206 Skill: Concept Objective: 7-3

46) Under what circumstances can local marketing be quite effective?

C) when pronounced regional and local differences in demographics and lifestyles are present
Answer: C Diff: 3 Page Ref: 206 AACSB: Multicultural and Diversity Skill: Concept Objective: 7-3

47) When Wal-Mart customizes its merchandise store by store to meet shopper needs, it is practicing _____.

C) local marketing
Answer: C Diff: 2 Page Ref: 205 Skill: Concept Objective: 7-3

48) When a company interacts one-on-one with large numbers of customers to create customerunique value by designing products and services tailor-made to individual needs, it is following _____.

C) mass customization
Answer: C Diff: 2 Page Ref: 206 Skill: Concept Objective: 7-3

49) The move toward individual marketing mirrors the trend in consumer _____.

C) self-marketing
Answer: C Diff: 3 Page Ref: 207 Skill: Concept Objective: 7-3

50) When choosing a target marketing strategy, many factors need to be considered. Which of the following does your text NOT mention as important?

D) product cost
Answer: D Diff: 2 Page Ref: 207 Skill: Concept Objective: 7-3

51) When competitors use differentiated or concentrated marketing, _____ marketing can be disastrous.

B) undifferentiated
Answer: B Diff: 2 Page Ref: 207 Skill: Concept Objective: 7-3

52) Target marketing sometimes generates controversy and concern. Issues usually involve the targeting of_____consumers with_____products.

D) vulnerable or disadvantaged; controversial or potentially harmful
Answer: D Diff: 2 Page Ref: 208 AACSB: Ethical Reasoning
Skill: Concept Objective: 7-3

53) It is considered socially irresponsible when the marketing of adult products spills over into the_____segment.

B) child
Answer: B Diff: 1 Page Ref: 208 AACSB: Ethical Reasoning
Skill: Concept Objective: 7-3

54) Cigarette, beer, and fast-food marketers have generated much controversy in recent years by their attempts to target_____.

C) inner-city minorities
Answer: C Diff: 3 Page Ref: 208 AACSB: Ethical Reasoning
Skill: Concept Objective: 7-3

55) Most attempts to target children and minority groups provide_____to target customers.

A) benefits
Answer: A Diff: 2 Page Ref: 209 AACSB: Ethical Reasoning
Skill: Concept Objective: 7-3

56) In target marketing, the issue is not really who is targeted, but rather _____ and for_____.

B) how; what
Answer: B Diff: 2 Page Ref: 209 AACSB: Ethical Reasoning
Skill: Concept Objective: 7-3

57) Which group determines a product's position relative to competing products?

D) consumers
Answer: D Diff: 1 Page Ref: 209 Skill: Concept Objective: 7-4

58) A product's position is based on important attributes as perceived by _____.

D) consumers
Answer: D Diff: 2 Page Ref: 209 Skill: Concept Objective: 7-4

59) Consumers position products and services_____.

C) with or without the help of marketers
Answer: C Diff: 1 Page Ref: 209 Skill: Concept Objective: 7-4

60) Which of the listed choices is NOT a positioning task?

B) surveying frequent users of the product
Answer: B Diff: 2 Page Ref: 210 AACSB: Communication
Skill: Concept Objective: 7-4

61) A company or store gains a(n)_____by differentiating its products and delivering more value.

A) competitive advantage
Answer: A Diff: 1 Page Ref: 210 Skill: Concept Objective: 7-4

62) A company or market offer can be differentiated along the lines of product, image, services, channels, or_____.

C) people
Answer: C Diff: 2 Page Ref: 213 Skill: Concept Objective: 7-4

63) Which type of differentiation is used to gain competitive advantage through the way a firm designs its distribution coverage, expertise, and performance?

B) channel differentiation
Answer: B Diff: 2 Page Ref: 213 Skill: Concept Objective: 7-4

64) When firms use symbols, colors, or characters to convey their personalities, they are using_____differentiation.

A) image
Answer: A Diff: 1 Page Ref: 213 AACSB: Communication
Skill: Concept Objective: 7-4

65) Ad man Rosser Reeves believes that firms should develop a USP for each brand and stick to it. What does USP stand for?

D) unique selling proposition
Answer: D Diff: 3 Page Ref: 213 AACSB: Communication
Skill: Concept Objective: 7-4

66) A brand difference is worth establishing and promoting to the extent that it satisfies all of the criteria below EXCEPT which one?

C) divisible
Answer: C Diff: 3 Page Ref: 214 Skill: Concept Objective: 7-4

67) You have just created the "perfect" ad. It communicates the full mix of benefits upon which the brand is differentiated and positioned. This full positioning of the brand is called_____.

A) its value proposition
Answer: A Diff: 2 Page Ref: 214 AACSB: Communication
Skill: Concept Objective: 7-4

68) The answer to the customer's question "Why should I buy your brand?" is found in the_____.

C) value proposition
Answer: C Diff: 2 Page Ref: 214 Skill: Concept Objective: 7-4

69) What competitive positioning can attack a more-for-more strategy by introducing a brand offering with comparable quality at a lower price?

A) more-for-the-same
Answer: A Diff: 3 Page Ref: 215 Skill: Concept Objective: 7-4

70) Which positioning strategy offers consumers a "good deal" by offering equivalent-quality products or services at a lower price?

C) same-for-less
Answer: C Diff: 2 Page Ref: 215 Skill: Concept Objective: 7-4

71) "Less-for-much-less" positioning involves meeting consumers'_____.

B) lower quality requirements in exchange for a lower price
Answer: B Diff: 1 Page Ref: 216 Skill: Concept Objective: 7-4

72) Few people can afford the best in everything they buy. At times everyone needs a product with less quality or performance with a correspondingly lower price. In this case a consumer would purchase a product positioned with a _____strategy.

D) less-for-much-less
Answer: D Diff: 2 Page Ref: 215 Skill: Concept Objective: 7-4

73) Which difficult-to-sustain positioning strategy attempts to deliver the "best-of-both"?

B) more-for-less
Answer: B Diff: 2 Page Ref: 216 Skill: Concept Objective: 7-4

74) Which type of statement first states the product's membership in a category and then shows its point-of-difference from other members of the category?

D) positioning statement
Answer: D Diff: 2 Page Ref: 216 Skill: Concept Objective: 7-4

75) What is the following an example of? "To busy, mobile professionals who need to always be in the loop, BlackBerry is a wireless connectivity solution that gives you an easier, more reliable way to stay connected to data, people, and resources while on the go."

A) positioning statement
Answer: A Diff: 2 Page Ref: 216 Skill: Concept Objective: 7-4

76) When marketers at Procter & Gamble selected the Millennials, a demographic that includes college students, as an untapped group of potential customers for their Febreze line of products, they were executing which step in the process of designing a customer-driven marketing strategy?

D) targeting
Answer: D Diff: 1 Page Ref: 191 AACSB: Reflective Thinking
Skill: Application Objective: 7-1

77) When Pacific Fisheries groups its customers as countries by regions such as Asia, Australia, or New Zealand, it is using which segmenting base?

C) geographic location
Answer: C Diff: 1 Page Ref: 193 AACSB: Reflective Thinking
Skill: Application Objective: 7-2

78) When Burger King targets children, teens, adults, and seniors with different ads and media, it is practicing_____segmentation.

B) age and life cycle
Answer: B Diff: 1 Page Ref: 194 AACSB: Reflective Thinking
Skill: Application Objective: 7-2

79) Which of the following statements illustrates why stereotypes should be avoided when using age and life cycle segmentation?

C) Some 70 year olds use wheelchairs; others play tennis.
Answer: C Diff: 2 Page Ref: 194 AACSB: Analytic Skills
Skill: Application Objective: 7-2

80) Segmenting voters as either democrats or republicans is an example of _____.

A) psychographic segmentation
Answer: A Diff: 3 Page Ref: 196 AACSB: Reflective Thinking
Skill: Application Objective: 7-2

81) At one time Miller Beer was known as the "champagne of bottled beer." Unfortunately, Miller drinkers did not drink much beer. To increase sales, Miller was repositioned to attract the members of the middle working class. This segmentation approach is_____.

E) psychographic
Answer: E Diff: 2 Page Ref: 196 AACSB: Reflective Thinking
Skill: Application Objective: 7-2

82) Your current assignment at York Foods is to find the major benefits people look for in product classes, the kinds of people who look for each benefit, and the major brands that deliver each benefit. What is this segmentation method called?

A) benefit
Answer: A Diff: 1 Page Ref: 196 AACSB: Reflective Thinking
Skill: Application Objective: 7-2

83) Shampoo marketers rate buyers as light, medium, or heavy product users. This is_____segmentation.

C) usage rate
Answer: C Diff: 1 Page Ref: 197 AACSB: Reflective Thinking
Skill: Application Objective: 7-2

84) MTV targets the world's teenagers, who have similar needs and buying behavior even though they are located in different countries. This is called _____segmentation.

D) intermarket
Answer: D Diff: 2 Page Ref: 200 AACSB: Reflective Thinking
Skill: Application Objective: 7-2

85) The markets you have chosen to serve in four western states can be effectively reached and served. You would tell the marketing manager that these segments are_____.

B) accessible
Answer: B Diff: 2 Page Ref: 200 AACSB: Reflective Thinking
Skill: Application Objective: 7-2

86) Jolene Enterprises mass produces an all-purpose floor cleaner, mass distributes it and mass promotes it. This firm uses_____marketing.

B) undifferentiated
Answer: B Diff: 1 Page Ref: 201 AACSB: Reflective Thinking
Skill: Application Objective: 7-3

87) A marketer focuses on several commonalities among all consumers. This marketer appears to be engaging in_____.

B) undifferentiated marketing
Answer: B Diff: 2 Page Ref: 201 AACSB: Analytic Skills
Skill: Application Objective: 7-3

88) Which of the following is the most logical reason for Procter & Gamble offering products that compete with one another on the same supermarket shelves?

C) Different people want different mixes of benefits from the products they buy.
Answer: C Diff: 3 Page Ref: 203 AACSB: Analytic Skills
Skill: Application Objective: 7-3

89) Sanguine Services practices a marketing strategy where its limited resources are used to go after a large share of two small niches. Sanguine practices which one of these strategies?

D) concentrated
Answer: D Diff: 2 Page Ref: 204 AACSB: Reflective Thinking
Skill: Application Objective: 7-3

90) Bob and Phyllis Cords own two retail stores, one in Pottstown and one in Norristown. Though the towns are only 40 miles apart, the consumers at both stores are very different demographically. Bob and Phyllis alter the product offerings between both locations in an effort to cater to both demographic groups. This is an example of_____.

A) local marketing
C) micromarketing
E) A and C
Answer: E Diff: 2 Page Ref: 205 AACSB: Reflective Thinking
Skill: Application Objective: 7-3

91) Jay Bee Promotions tailors its advertising and promotional services to the needs and preferences of individual customers. Which of the following terms does NOT apply to this type of marketing?

D) concentrated
Answer: D Diff: 3 Page Ref: 206 AACSB: Analytic Skills
Skill: Application Objective: 7-3

92) The Jay Group hires better employees than the competition by conducting lengthy searches and interviews. Management also trains employees much better than competitors do. The Jay Group has gained a strong competitive advantage through which type of differentiation?

B) people
Answer: B Diff: 2 Page Ref: 213 AACSB: Reflective Thinking
Skill: Application Objective: 7-4

93) Ford Motor Company emphasizes "Quality First Ford Tough" in its truck products. In doing so, the company has developed a differentiation strategy based on_____.

B) image
Answer: B Diff: 2 Page Ref: 213 AACSB: Reflective Thinking
Skill: Application Objective: 7-4

94) Cheap Heaps Auto specializes in lower quality vehicles, with a few dents, priced a great deal lower than other used cars. Cheap Heaps has chosen to position their products with a_____strategy.

D) less-for-much-less
Answer: D Diff: 2 Page Ref: 215 AACSB: Reflective Thinking
Skill: Application Objective: 7-4

95) Neiman Marcus claims superior quality, performance, and style. The owners provide the most upscale products and services and charge a higher price to cover the higher costs. What type of positioning does Neiman Marcus use?

B) more-for-more
Answer: B Diff: 1 Page Ref: 215 AACSB: Reflective Thinking
Skill: Application Objective: 7-4

96) When it first opened for business, Home Depot claimed to offer better products at lower prices. This hard-to-sustain value proposition is called _____.

B) more-for-less
Answer: B Diff: 2 Page Ref: 216 AACSB: Reflective Thinking
Skill: Application Objective: 7-4

97) Superior Auto Sales, a chain of high-end used car dealerships, wants to sum up its company positioning and brand positioning in a formal way. Superior's management would use a_____.

D) positioning statement
Answer: D Diff: 2 Page Ref: 216 AACSB: Reflective Thinking
Skill: Application Objective: 7-4

Chapter 8 Product, Services, and Branding Strategies: Building Customer Value

1) We define a_____as anything that can be offered to a market for attention, acquisition, use, or consumption and that might satisfy a want or need.

D) product
Answer: D Diff: 1 Page Ref: 224 AACSB: Communication
Skill: Concept Objective: 8-1

2) _____are a form of product that consists of activities, benefits, or satisfactions offered for sale that are essentially intangible and do not result in the ownership of anything.

B) Services
Answer: B Diff: 1 Page Ref: 224 AACSB: Communication
Skill: Concept Objective: 8-1

3) A product is a key element in the_____. At one extreme, it may consist of pure tangible goods or at the other extreme, pure services.

A) market offering
Answer: A Diff: 1 Page Ref: 224 AACSB: Communication
Skill: Concept Objective: 8-1

4) To differentiate themselves, many companies are going beyond products and services, they are developing and delivering customer_____.

B) experiences
Answer: B Diff: 2 Page Ref: 224 AACSB: Communication
Skill: Concept Objective: 8-1

5) Product planners need to consider products and services on three levels. Each level adds more customer value. The most basic level is the_____, which addresses the question, "What is the buyer really buying?"

C) core customer value
Answer: C Diff: 2 Page Ref: 225 AACSB: Communication
Skill: Concept Objective: 8-1

6) The third level of a product that product planners must consider is a(n) _____around the core benefit and actual product that offers additional consumer services and benefits.

B) augmented product
Answer: B Diff: 2 Page Ref: 225 AACSB: Communication
Skill: Concept Objective: 8-1

7) Product planners must design the actual product and find ways to_____it in order to create the bundle of benefits that will provide the most satisfying customer experience.

D) augment
Answer: D Diff: 3 Page Ref: 225 AACSB: Communication
Skill: Concept Objective: 8-1

8) Products and services fall into two broad classifications based on the types of consumers that use them. Which is one of these broad classes?

A) industrial products
Answer: A Diff: 2 Page Ref: 226 Skill: Concept Objective: 8-1

9) _____are products and services bought by final consumers for personal consumption. These include convenience products, shopping products, specialty products, and unsought products.

B) Consumer products
Answer: B Diff: 1 Page Ref: 226 Skill: Concept Objective: 8-1

10) _____are less frequently purchased consumer products and services that customers compare carefully on suitability, quality, price, and style. Consumers spend much time and effort in gathering information and making comparisons about these products.

A) Shopping products
Answer: A Diff: 2 Page Ref: 226 Skill: Concept Objective: 8-1

11) _____are consumer products and services with unique characteristics or brand identification for which a significant group of buyers is willing to make a special purchase effort.

C) Specialty products
Answer: C Diff: 1 Page Ref: 226 Skill: Concept Objective: 8-1

12) _____are consumer products that the consumer either does not know about or knows about but does not normally think about buying. These products require a lot of advertising, personal selling, and other marketing efforts.

C) Unsought products
Answer: C Diff: 1 Page Ref: 226 Skill: Concept Objective: 8-1

13) _____are those products purchased for further processing or for use in conducting a business.

D) Industrial products
Answer: D Diff: 1 Page Ref: 227 Skill: Concept Objective: 8-1

14) Most manufactured materials and parts are sold directly to_____. Price and service are the major marketing factors; branding and advertising tend to be less important.

B) industrial users
Answer: B Diff: 2 Page Ref: 227 Skill: Concept Objective: 8-1

15) _____are industrial products that aid in the buyer's production or operations, including installations and accessory equipment.

C) Capital items
Answer: C Diff: 2 Page Ref: 227 Skill: Concept Objective: 8-1

16) _____consists of activities undertaken to create, maintain, or change the attitudes and behavior of target consumers toward an organization.

B) Organization marketing
Answer: B Diff: 2 Page Ref: 228 AACSB: Communication
Skill: Concept Objective: 8-1

17) _____consists of activities undertaken to create, maintain, or change attitudes toward particular people.

B) Person marketing
Answer: B Diff: 1 Page Ref: 228 AACSB: Communication
Skill: Concept Objective: 8-1

18) _____involves activities undertaken to create, maintain, or change attitudes toward particular cities, states, and regions.

B) Place marketing
Answer: B Diff: 1 Page Ref: 228 AACSB: Communication
Skill: Concept Objective: 8-1

19) _____is defined as the use of commercial marketing concepts and tools in programs designed to influence individuals' behavior to improve their well being and that of society.

C) Social marketing
Answer: C Diff: 1 Page Ref: 229 AACSB: Ethical Reasoning
Skill: Concept Objective: 8-1

20) Public health campaigns to reduce alcoholism, drug abuse, smoking, and obesity are all examples of_____.

B) social marketing
Answer: B Diff: 2 Page Ref: 229 AACSB: Ethical Reasoning
Skill: Concept Objective: 8-1

21) Developing a product or service involves defining the benefits that it will offer. These benefits are communicated and delivered by_____such as quality, features, and style and design.

B) product attributes
Answer: B Diff: 3 Page Ref: 229 AACSB: Communication
Skill: Concept Objective: 8-2

22) _____is one of the marketer's major positioning tools because it has a direct impact on product or service performance; it is therefore closely linked to customer value and satisfaction.

B) Product quality
Answer: B Diff: 2 Page Ref: 229 AACSB: Communication
Skill: Concept Objective: 8-2

23) _____is an approach in which all the company's people are involved in constantly improving the products, services, and business processes.

C) Total quality management
Answer: C Diff: 2 Page Ref: 230 Skill: Concept Objective: 8-2

24) What are the two dimensions of product quality?

A) consistency and level
Answer: A Diff: 2 Page Ref: 230 Skill: Concept Objective: 8-2

25) Which of the following types of quality refers to freedom from defects and consistency in delivering a targeted level of performance?

D) conformance
Answer: D Diff: 2 Page Ref: 230 Skill: Concept Objective: 8-2

26) A stripped-down model without any extras is the starting point; a company can create a higher-level model by adding_____.

B) features
Answer: B Diff: 2 Page Ref: 230 Skill: Concept Objective: 8-2

27) In assessing which new features to add to a product, a company must weigh each feature's_____to customers versus its_____to the company.

C) value; cost
Answer: C Diff: 3 Page Ref: 230 Skill: Concept Objective: 8-2

28) A sensational_____may grab attention and produce pleasing aesthetics, but it does not necessarily improve a product's performance.

B) style
Answer: B Diff: 2 Page Ref: 230 AACSB: Communication
Skill: Concept Objective: 8-2

29) _____contributes to a product's usefulness as well as to its looks.

B) Design
Answer: B Diff: 2 Page Ref: 230 Skill: Concept Objective: 8-2

30) A(n)_____is a name, term, sign, symbol, design, or a combination of these, that identifies the maker or seller of a product or service.

B) brand
Answer: B Diff: 1 Page Ref: 231 AACSB: Communication
Skill: Concept Objective: 8-2

31) _____involves designing and producing the container or wrapper for a product.

A) Packaging
Answer: A Diff: 1 Page Ref: 231 Skill: Concept Objective: 8-2

32) In recent years, product safety and environmental responsibility have become major_____concerns.

B) packaging
Answer: B Diff: 2 Page Ref: 232 AACSB: Ethical Reasoning
Skill: Concept Objective: 8-2

33) At the very least, the_____identifies the product or brand. It might also describe several things about the product and promote the brand.

C) label
Answer: C Diff: 1 Page Ref: 232 AACSB: Communication
Skill: Concept Objective: 8-2

34) The_____requires sellers to provide detailed nutritional information on food products.

B) Nutritional Labeling and Educational Act of 1990
Answer: B Diff: 3 Page Ref: 233 AACSB: Ethical Reasoning
Skill: Concept Objective: 8-2

35) _____has been affected by the need to include unit pricing, open dating, and nutritional information.

C) Labeling
Answer: C Diff: 2 Page Ref: 233 AACSB: Communication
Skill: Concept Objective: 8-2

36) Many companies now use a combination of phone, e-mail, fax, Internet, and other technologies to provide_____.

C) support services
Answer: C Diff: 2 Page Ref: 233 AACSB: Use of IT
Skill: Concept Objective: 8-2

37) A_____is a group of products that are closely related because they function in a similar manner, are sold to the same customer groups, are marketed through the same type of outlets, or fall within given price ranges.

A) product line
Answer: A Diff: 2 Page Ref: 234 AACSB: Communication
Skill: Concept Objective: 8-2

38) The major product line decision involves_____.

D) product line length
Answer: D Diff: 3 Page Ref: 234 AACSB: Communication
Skill: Concept Objective: 8-2

39) Berkowitz Piano Company can expand its product line in one of two common ways. Which of the following is one of those ways?

B) line filling
Answer: B Diff: 2 Page Ref: 234 AACSB: Communication
Skill: Concept Objective: 8-2

40) An alternative to product line stretching is_____, adding more items within the present range of the line.

C) product line filling
Answer: C Diff: 2 Page Ref: 234 AACSB: Communication
Skill: Concept Objective: 8-2

41) When a company lengthens its product line beyond its current range, it is _____.

B) product line stretching
Answer: B Diff: 2 Page Ref: 234 AACSB: Communication
Skill: Concept Objective: 8-2

42) A _____ consists of all the product lines and items that a particular seller offers for sale.

A) product mix
Answer: A Diff: 1 Page Ref: 234 AACSB: Communication
Skill: Concept Objective: 8-2

43) Product mix _____ refers to the number of different product lines the company carries. Procter & Gamble markets 250 brands organized into many product lines.

C) width
Answer: C Diff: 2 Page Ref: 235 AACSB: Communication
Skill: Concept Objective: 8-2

44) Product mix_____refers to the number of versions offered of each product in the line. Crest toothpaste comes in 13 varieties, ranging from Crest Multicare to Crest Baking Soda formulations.

B) depth
Answer: B Diff: 3 Page Ref: 235 AACSB: Communication
Skill: Concept Objective: 8-2

45) The_____of the product mix refers to how closely related the various product lines are in end use, production requirements, distribution channels, or some other way.

C) consistency
Answer: C Diff: 3 Page Ref: 235 AACSB: Communication
Skill: Concept Objective: 8-2

46) A company can increase its business in four ways. Which is NOT one of these ways?

D) It can discontinue some of its lines.
Answer: D Diff: 1 Page Ref: 235 AACSB: Communication
Skill: Concept Objective: 8-2

47) Some analysts see_____as the major enduring asset of a company, outlasting the company's specific products and facilities.

A) brands
Answer: A Diff: 1 Page Ref: 235 AACSB: Communication
Skill: Concept Objective: 8-3

48) A key element in a company's relationship with consumers, a _____ represents consumers' perceptions and feelings about a product and its performance.

C) brand
Answer: C Diff: 2 Page Ref: 236 AACSB: Communication
Skill: Concept Objective: 8-3

49) Which of the following is NOT one of the four consumer perception dimensions used by ad agency Young & Rubicam to measure brand strength?

C) brand valuation
Answer: C Diff: 3 Page Ref: 236 AACSB: Communication
Skill: Concept Objective: 8-3

50) The total financial value of a brand is estimated through the process of brand _____.

B) valuation
Answer: B Diff: 2 Page Ref: 236 AACSB: Communication
Skill: Concept Objective: 8-3

51) The fundamental asset underlying brand equity is_____--the value of the customer relationships that the brand creates. A powerful brand is important, but what it really represents is a set of loyal consumers.

B) customer equity
Answer: B Diff: 3 Page Ref: 238 AACSB: Communication
Skill: Concept Objective: 8-3

52) Which of the following is the lowest level on which marketers can position their brands in target customers' minds?

C) product attributes
Answer: C Diff: 3 Page Ref: 238 AACSB: Communication
Skill: Concept Objective: 8-3

53) The strongest brands go beyond attributes or benefit positioning; they are positioned on_____.

D) strong beliefs and values
Answer: D Diff: 2 Page Ref: 239 AACSB: Communication
Skill: Concept Objective: 8-3

54) Which of the following is NOT a desirable quality for a brand name?

C) The brand should almost always be a long word to get attention.
Answer: C Diff: 2 Page Ref: 239 AACSB: Communication
Skill: Concept Objective: 8-3

55) All of the following are a manufacturer's sponsorship options for a product EXCEPT_____.

B) multibrands
Answer: B Diff: 2 Page Ref: 240 Skill: Concept Objective: 8-3

56) In the competition between_____and_____brands, retailers have the advantages of controlling what products will be stocked, where products will be stocked, what prices will be charged, and which products will be featured in print promotions.

C) national; private
Answer: C Diff: 2 Page Ref: 241 Skill: Concept Objective: 8-3

57) An increasing number of retailers and wholesalers have created their own _____, also called store brands.

B) private brands
Answer: B Diff: 1 Page Ref: 240 Skill: Concept Objective: 8-3

58) For a fee, some companies_____names or symbols previously created by other manufacturers, names of well-known celebrities, and/or characters from popular movies and books, any of which can provide an instant and proven brand name.

E) license
Answer: E Diff: 2 Page Ref: 241 AACSB: Communication
Skill: Concept Objective: 8-3

59) _____occurs when two established brand names of different companies are used on the same product.

C) Co-branding
Answer: C Diff: 2 Page Ref: 241 AACSB: Communication
Skill: Concept Objective: 8-3

60) In most_____situations, one company licenses another company's well-known brand to use in combination with its own.

C) co-branding
Answer: C Diff: 2 Page Ref: 242 Skill: Concept Objective: 8-3

61) Which of the following is an advantage offered by co-branding?

C) A company can expand its existing brand into a category it otherwise might have difficulty entering alone.
Answer: C Diff: 2 Page Ref: 242 Skill: Concept Objective: 8-3

62) A company has four choices when it comes to developing brands. What is NOT one of those choices?

D) width and depth extension
Answer: D Diff: 3 Page Ref: 242 Skill: Concept Objective: 8-3

63) _____occur(s) when a company introduces additional items in a given product category under the same brand name, such as new flavors, forms, colors, ingredients, or package sizes.

A) Line extension
Answer: A Diff: 3 Page Ref: 242 Skill: Concept Objective: 8-3

64) A_____involves the use of a successful brand name to launch new or modified products in a new category.

C) brand extension
Answer: C Diff: 1 Page Ref: 243 Skill: Concept Objective: 8-3

65) Which of the following is a potential drawback of multibranding?

D) The company's resources may be spread over too many brands.
Answer: D Diff: 3 Page Ref: 243 Skill: Concept Objective: 8-3

66) Which strategy involves weeding out weaker brands and focusing marketing dollars only on brands that can achieve the number-one or number-two market share positions in their categories?

A) megabrand
Answer: A Diff: 2 Page Ref: 243 Skill: Concept Objective: 8-3

67) Major brand marketers often spend huge amounts on advertising to create brand_____and to build preference and loyalty.

B) awareness
Answer: B Diff: 2 Page Ref: 244 AACSB: Communication
Skill: Concept Objective: 8-3

68) While advertising campaigns can help to create name recognition, brand knowledge, and maybe even some brand preference, brands are not maintained by advertising but by_____.

C) brand experience
Answer: C Diff: 2 Page Ref: 244 AACSB: Communication
Skill: Concept Objective: 8-3

69) Service providers must consider four special characteristics when designing marketing programs. Which is NOT one of these characteristics?

D) interactive marketing
Answer: D Diff: 3 Page Ref: 244 Skill: Concept Objective: 8-4

70) _____means that services cannot be seen, tasted, felt, heard, or smelled before they are bought.

C) Service intangibility
Answer: C Diff: 2 Page Ref: 245 Skill: Concept Objective: 8-4

71) _____means that services cannot be separated from their providers, whether the providers are people or machines.

B) Service inseparability
Answer: B Diff: 1 Page Ref: 245 Skill: Concept Objective: 8-4

72) Which of the following is NOT one of the links in the service-profit chain, linking service firm profits with employee and customer satisfaction?

B) evidence management
Answer: B Diff: 3 Page Ref: 246 Skill: Concept Objective: 8-4

73) Through_____, the service firm trains and motivates its customer-contact employees and supporting service people to work as a team to provide customer satisfaction.

D) internal marketing
Answer: D Diff: 2 Page Ref: 247 Skill: Concept Objective: 8-4

74) Because service quality depends on the quality of buyer-seller interaction during the service encounter, service marketers use_____to train employees in the art of interacting with customers to satisfy their needs.

A) interactive marketing
Answer: A Diff: 2 Page Ref: 247 Skill: Concept Objective: 8-4

75) All of the following are methods for developing a differentiated service offer, delivery, or image EXCEPT_____.

B) increasing the quantity of service by giving up some quality
Answer: B Diff: 2 Page Ref: 248 Skill: Concept Objective: 8-4

76) When the Twin Six Cafe provides gourmet menu options to its customers, as well as impeccable service which even allows customers to hand-select their own cuts of meat_____is(are) are evident.

E) a core benefit, an actual product, and an augmented product
Answer: E Diff: 3 Page Ref: 225 AACSB: Reflective Thinking
Skill: Application Objective: 8-1

77) A hickory rocking chair, handmade by an Amish woodcarver in Lancaster, Pennsylvania, from locally grown wood is an example of a(n)_____.

C) specialty product
Answer: C Diff: 2 Page Ref: 226 AACSB: Reflective Thinking
Skill: Application Objective: 8-1

78) You have an upset stomach. Your spouse rushes to the corner convenience store for a bottle of Pepto-Bismol. This product is a(n)_____product.

A) convenience
Answer: A Diff: 2 Page Ref: 226 AACSB: Reflective Thinking
Skill: Application Objective: 8-1

79) Mabel Lu is planning to buy a new washing machine. She notices that they come in numerous price ranges. She wants to make sure she gets the most for her money. This product is a(n)_____product.

D) shopping
Answer: D Diff: 2 Page Ref: 226 AACSB: Reflective Thinking
Skill: Application Objective: 8-1

80) Which of the following does NOT belong to the materials and parts group of industrial products?

C) repair and maintenance items
Answer: C Diff: 1 Page Ref: 227 AACSB: Reflective Thinking
Skill: Application Objective: 8-1

81) Which of the following capital items is NOT considered accessory equipment?

A) buildings
Answer: A Diff: 1 Page Ref: 227 AACSB: Reflective Thinking
Skill: Application Objective: 8-1

82) Paper, pencils, lubricants, paint, nails, and brooms are examples of_____.

A) supplies
Answer: A Diff: 1 Page Ref: 227 AACSB: Reflective Thinking
Skill: Application Objective: 8-1

83) General Electric's campaign stating, "We bring good things to life" is an example of_____.

B) corporate image marketing
Answer: B Diff: 2 Page Ref: 228 AACSB: Reflective Thinking
Skill: Application Objective: 8-1

84) "I love New York" is an example of_____.

E) place marketing
Answer: E Diff: 2 Page Ref: 228 AACSB: Reflective Thinking
Skill: Application Objective: 8-1

85) The Ad Council of America has developed dozens of_____marketing campaigns, including classics such as "Smokey the Bear," "Keep America Beautiful," and "Only You Can Prevent Forest Fires."

A) social
Answer: A Diff: 1 Page Ref: 229 AACSB: Reflective Thinking
Skill: Application Objective: 8-1

86) To achieve their social change objectives, social marketing programs _____.

C) work to influence individuals' behavior to improve their well-being
D) utilize all of the Ps in the marketing mix
E) C and D
Answer: E Diff: 3 Page Ref: 229 AACSB: Analytic Skills
Skill: Application Objective: 8-1

87) Which of the following is the most important for product designers to consider as they develop a product?

D) how customers will use and benefit from the product
Answer: D Diff: 3 Page Ref: 231 AACSB: Analytic Skills
Skill: Application Objective: 8-2

88) Helene Curtis began to market shampoo for normal hair. In an attempt to increase profits and use excess market capacity, Helene Curtis then marketed shampoo for oily hair and color-treated hair. This is an example of_____.

A) line filling
Answer: A Diff: 3 Page Ref: 234 AACSB: Reflective Thinking
Skill: Application Objective: 8-2

89) Which of the following is(are) examples of product line depth?

A) hamburger and cheeseburger
C) Coke and Diet Coke
D) A and C
Answer: D Diff: 3 Page Ref: 235 AACSB: Reflective Thinking
Skill: Application Objective: 8-2

90) Chicken of the Sea brand tuna sells more than the same size Kroger brand tuna, even though the Kroger tuna costs $0.15 less per can. Chicken of the Sea has brand_____.

B) equity
Answer: B Diff: 2 Page Ref: 236 AACSB: Reflective Thinking
Skill: Application Objective: 8-3

91) A manager of a Holiday Inn said, "We have power and value in the market and people are willing to pay for it." This manager is referring to_____.

C) brand equity
Answer: C Diff: 2 Page Ref: 236 AACSB: Reflective Thinking
Skill: Application Objective: 8-3

92) Costco's Kirkland products are an example of a(n)_____.

C) private brand
Answer: C Diff: 2 Page Ref: 240 AACSB: Reflective Thinking
Skill: Application Objective: 8-3

93) An apparel marketer is planning to launch an existing brand name into a new product category. Which brand development strategy is being implemented?

B) brand extension
Answer: B Diff: 2 Page Ref: 243 AACSB: Reflective Thinking
Skill: Application Objective: 8-3

94) Each new iPod product introduction advances the causes of democratizing technology and approachable innovation. iPod, an expert at fostering customer community, has been ranked one of the Breakaway Brands by the brand consultancy Landor Associates. iPod is positioned on_____.

E) beliefs and values
Answer: E Diff: 2 Page Ref: 239 AACSB: Reflective Thinking
Skill: Application Objective: 8-3

95) Manor Plaza Barber's customers have noticed that the quality of a haircut depends on who provides it as well as when, where, and how it is provided. What have the customers noticed?

C) service variability
Answer: C Diff: 2 Page Ref: 245 AACSB: Reflective Thinking
Skill: Application Objective: 8-4

96) The impossibility of a barber storing haircuts for later sale is an example of which of the following?

D) service perishability
Answer: D Diff: 2 Page Ref: 246 AACSB: Reflective Thinking
Skill: Application Objective: 8-4

97) Gina's Nail Salon is serious about pleasing its customers. Employees are trained to immediately and pleasantly respond to any customer complaints, and they are empowered to offer discounts and free add-ons to customers who believe they have received anything less than the best service. Gina's Nail Salon focuses on_____.

B) good service recovery
Answer: B Diff: 1 Page Ref: 249 AACSB: Reflective Thinking
Skill: Application Objective: 8-4

Chapter 9 New-Product Development and Product Life-Cycle Strategies

1) What are the two ways that a company can obtain new products?

C) new-product development and acquisition
Answer: C Diff: 2 Page Ref: 258 Skill: Concept Objective: 9-1

2) Product improvements, product modifications, and original products can all be classified as_____.

B) new products
Answer: B Diff: 1 Page Ref: 258 Skill: Concept Objective: 9-1

3) Which of the following is NOT a potential reason for a new product to fail?

A) an underestimated market size
Answer: A Diff: 2 Page Ref: 258 Skill: Concept Objective: 9-1

4) Which of the following is NOT a challenge presented by the product life cycle that a firm must face?

E) It is difficult to plot the stages as a product goes through them.
Answer: E Diff: 2 Page Ref: 258 Skill: Concept Objective: 9-1

5) The creation of a successful new product depends on a company's understanding of its_____and its ability to deliver_____to customers.

C) customers, competitors, and markets; superior value
Answer: C Diff: 2 Page Ref: 259 Skill: Concept Objective: 9-2

6) New product development starts with_____.

A) idea generation
Answer: A Diff: 1 Page Ref: 259 Skill: Concept Objective: 9-2

7) Executives, manufacturing employees, and salespeople are all examples of _____.

B) internal sources for new-product ideas
Answer: B Diff: 2 Page Ref: 260 AACSB: Communication
Skill: Concept Objective: 9-2

8) Your company decides to use internal sources for developing new product ideas. Which of the following would NOT be consulted?

D) suppliers
Answer: D Diff: 1 Page Ref: 260 Skill: Concept Objective: 9-2

9) Which of the following is perhaps the most important external source of new-product ideas?

B) customers
Answer: B Diff: 2 Page Ref: 261 AACSB: Communication
Skill: Concept Objective: 9-2

10) Which of the following is NOT a recommended method for companies to tap into their customers as sources for new-product ideas?

B) relying heavily on customers to know what types of technical products they need
Answer: B Diff: 3 Page Ref: 261 Skill: Concept Objective: 9-2

11) Your firm asks you to consult external sources for new product ideas. All of the following are common external sources EXCEPT_____.

E) the firm's executives
Answer: E Diff: 1 Page Ref: 260-261 Skill: Concept Objective: 9-2

12) The purpose of idea generation is to create a_____number of ideas. The purpose of succeeding stages is to_____that number.

D) large number; reduce
Answer: D Diff: 2 Page Ref: 262 Skill: Concept Objective: 9-2

13) GrayBerry Gifts has just brainstormed a large number of ideas for adding new products and services after visiting several buying fairs. The owners will begin the first idea-reducing stage, called_____, to arrive at a realistic number to adopt.

D) idea screening
Answer: D Diff: 2 Page Ref: 262 Skill: Concept Objective: 9-2

14) Which of the following is most likely to be included in an executive's write up of a new-product idea to be presented to a new-product committee?

A) the proposed customer value proposition
Answer: A Diff: 3 Page Ref: 262 Skill: Concept Objective: 9-2

15) A detailed version of a new idea stated in meaningful customer terms is called a_____.

B) product concept
Answer: B Diff: 2 Page Ref: 262 AACSB: Communication
Skill: Concept Objective: 9-2

16) A_____is the way consumers perceive an actual or potential product.

C) product image
Answer: C Diff: 1 Page Ref: 262 AACSB: Communication
Skill: Concept Objective: 9-2

17) An attractive idea must be developed into a_____.

B) product concept
Answer: B Diff: 2 Page Ref: 262 Skill: Concept Objective: 9-2

18) _____calls for testing new-product concepts with groups of target consumers.

B) Concept testing
Answer: B Diff: 1 Page Ref: 263 Skill: Concept Objective: 9-2

19) In the concept testing stage of new-product development, a product concept in _____ form is presented to groups of target consumers.

A) physical or symbolic
Answer: A Diff: 2 Page Ref: 263 Skill: Concept Objective: 9-2

20) With what groups do firms conduct concept testing for new products?

C) target customers
Answer: C Diff: 3 Page Ref: 263 Skill: Concept Objective: 9-2

21) For some _____, a simple description consisting of a word or picture might be sufficient.

A) concept tests
Answer: A Diff: 2 Page Ref: 263 AACSB: Communication
Skill: Concept Objective: 9-2

22) After concept testing, a firm would engage in which stage in developing and marketing a new product?

B) marketing strategy development
Answer: B Diff: 2 Page Ref: 263 Skill: Concept Objective: 9-2

23) The first part of the marketing strategy statement describes the target market; the planned product positioning; and goals for sales, profits, and_____.

A) market share
Answer: A Diff: 3 Page Ref: 263 Skill: Concept Objective: 9-2

24) The second part of the marketing strategy statement outlines the product's planned price, distribution, and_____for the first year.

C) marketing budget
Answer: C Diff: 3 Page Ref: 264 Skill: Concept Objective: 9-2

25) The third part of the marketing strategy statement includes all of the following EXCEPT_____.

D) short-run sales
Answer: D Diff: 3 Page Ref: 264 Skill: Concept Objective: 9-2

26) A review of the sales, costs, and profit projections for a new product to find out whether they satisfy the company's objectives is called a_____.

C) business analysis
Answer: C Diff: 1 Page Ref: 264 Skill: Concept Objective: 9-2

27) During which stage of new-product development will management most likely estimate minimum and maximum sales to assess the range of risk in launching a new product?

C) business analysis
Answer: C Diff: 2 Page Ref: 264 Skill: Concept Objective: 9-2

28) Once managers of The Grecian Urn have decided on their product concept and marketing strategy, they can evaluate the business attractiveness of the proposal in the_____stage of the new-product development process.

C) business analysis
Answer: C Diff: 2 Page Ref: 264 Skill: Concept Objective: 9-2

29) New World Releases is conducting a business analysis to determine which of the many new songs available to management should be released. Sales must be estimated before costs can be estimated. Which of the following did your text recommend for forecasting sales?

C) considering the sales history of similar products and conducting surveys of market opinions
Answer: C Diff: 3 Page Ref: 264 Skill: Concept Objective: 9-2

30) Once the product or service passes the business analysis test, it moves into what stage?

B) product development
Answer: B Diff: 2 Page Ref: 264 Skill: Concept Objective: 9-2

31) In the_____stage of new-product development, products undergo rigorous tests to make sure that they perform safely and effectively or that consumers will find value in them.

D) product development
Answer: D Diff: 2 Page Ref: 264 Skill: Concept Objective: 9-2

32) Once the prototype of Wainwright Industries' new riding lawnmower, made especially for women, passes product tests, the next step is_____.

A) test marketing
Answer: A Diff: 2 Page Ref: 265 Skill: Concept Objective: 9-2

33) Bonneville Communications is concerned about test marketing its new device. Which of the following is NOT a disadvantage of test marketing that would likely concern Bonneville Communications?

D) People who are surveyed tend to tell less than the truth.
Answer: D Diff: 3 Page Ref: 265 Skill: Concept Objective: 9-2

34) Under what circumstances might it be wise for a company to do little or no test marketing?

E) when the costs of developing and introducing the product are low
Answer: E Diff: 2 Page Ref: 265 Skill: Concept Objective: 9-2

35) Although test marketing costs can be high, they are often small when compared with_____.

B) the costs of a major mistake
Answer: B Diff: 2 Page Ref: 265 Skill: Concept Objective: 9-2

36) Many marketers are now using new interactive technologies, such as Frito-Lay's online virtual convenience store, to reduce the cost of_____.

E) test marketing
Answer: E Diff: 2 Page Ref: 267 Skill: Concept Objective: 9-2

37) The major purpose of test marketing is to provide management with the information needed to make a final decision about_____.

C) whether to launch the new product
Answer: C Diff: 3 Page Ref: 268 Skill: Concept Objective: 9-2

38) Introducing a new product into the market is called_____.

D) commercialization
Answer: D Diff: 2 Page Ref: 268 Skill: Concept Objective: 9-2

39) Which of the following costs is most likely associated with the commercialization stage of new-product development?

A) building or renting a manufacturing facility
Answer: A Diff: 2 Page Ref: 268 Skill: Concept Objective: 9-2

40) A company getting ready to launch a new product must make several decisions. The company must first decide on_____.

D) when to time the new product introduction
Answer: D Diff: 2 Page Ref: 268 Skill: Concept Objective: 9-2

41) Following the decision to "time" the introduction of the new product, a company must decide_____to launch the new product.

A) where
Answer: A Diff: 2 Page Ref: 268 Skill: Concept Objective: 9-2

42) Which of the following is necessary for successful new-product development?

B) a customer-centered, team-based, systematic approach
Answer: B Diff: 3 Page Ref: 268 Skill: Concept Objective: 9-2

43) Which stage of the new-product development process focuses on finding new ways to solve customer problems and create more customer-satisfying experiences?

C) customer-centered new-product development
Answer: C Diff: 1 Page Ref: 269 Skill: Concept Objective: 9-2

44) _____is a new-product development approach in which one company department works to complete its stage of the process before passing the new product along to the next department and stage.

C) Sequential product development
Answer: C Diff: 2 Page Ref: 269 Skill: Concept Objective: 9-2

45) In order to get their new products to market more quickly, many companies are adopting a faster, team-oriented approach called_____.

C) team-based new-product development
Answer: C Diff: 1 Page Ref: 270 Skill: Concept Objective: 9-2

46) The team-based new-product development approach is faster because departments work closely together through_____.

D) cross-functional teams
Answer: D Diff: 2 Page Ref: 270 AACSB: Communication
Skill: Concept Objective: 9-2

47) The team-based new-product development approach uses cross-functional teams that overlap the steps in the process to achieve which of the following goals?

B) save time and increase effectiveness
Answer: B Diff: 2 Page Ref: 270 Skill: Concept Objective: 9-2

48) Which of the following is a disadvantage of a team-based approach to new-product development?

D) Organizational confusion and tension can affect the process.
Answer: D Diff: 2 Page Ref: 270 AACSB: Communication
Skill: Concept Objective: 9-2

49) The innovation management system approach yields two favorable outcomes: it helps create an innovation-oriented company culture, and it_____.

B) yields a larger number of new-product ideas
Answer: B Diff: 3 Page Ref: 272 Skill: Concept Objective: 9-2

50) The search for new-product ideas should be_____rather than haphazard.

B) systematic
Answer: B Diff: 2 Page Ref: 271 Skill: Concept Objective: 9-2

51) _____is the product life cycle period when sales fall off and profits drop.

D) Decline
Answer: D Diff: 1 Page Ref: 273 Skill: Concept Objective: 9-3

52) Increasing profits will most likely occur at which stage of the PLC?

C) growth
Answer: C Diff: 1 Page Ref: 273 Skill: Concept Objective: 9-3

53) Which stage in the PLC is characterized by rapid market acceptance and increasing sales?

C) growth
Answer: C Diff: 1 Page Ref: 273 Skill: Concept Objective: 9-3

54) Some products that have entered the decline stage have been cycled back to the growth stage through_____.

A) promotion or repositioning
Answer: A Diff: 2 Page Ref: 273 Skill: Concept Objective: 9-3

55) All of the following are stages in the PLC EXCEPT_____.

D) adoption
Answer: D Diff: 1 Page Ref: 273 Skill: Concept Objective: 9-3

56) Which stage of the typical consumer product life cycle is out of order below?

C) maturity
Answer: C Diff: 2 Page Ref: 273 Skill: Concept Objective: 9-3

57) Which of the following CANNOT be described using the PLC concept?

C) product image
Answer: C Diff: 3 Page Ref: 273 Skill: Concept Objective: 9-3

58) All of the following are accurate descriptions of a style product, EXCEPT which one?

D) Styles last only a short time and tend to attract only a limited following.
Answer: D Diff: 2 Page Ref: 274 Skill: Concept Objective: 9-3

59) The PLC concept can be applied by marketers as a useful framework for describing how_____.

C) products and markets work
Answer: C Diff: 3 Page Ref: 274 Skill: Concept Objective: 9-3

60) Using the PLC concept to develop marketing strategy can be difficult because strategy is both a_____and a(n)_____of the product's life cycle.

B) cause; result
Answer: B Diff: 3 Page Ref: 274 Skill: Concept Objective: 9-3

61) In which stage of the PLC will promotional expenditures be especially high in an attempt to create consumer awareness?

D) introduction
Answer: D Diff: 2 Page Ref: 276 Skill: Concept Objective: 9-3

62) In the_____stage, the firm faces a trade-off between high market share and high current profit.

A) Growth
Answer: A Diff: 2 Page Ref: 277 Skill: Concept Objective: 9-3

63) In which stage of the PLC will promotional expenditures be high in an attempt to respond to increasing competition?

A) growth
Answer: A Diff: 2 Page Ref: 277 Skill: Concept Objective: 9-3

64) Which stage in the PLC normally lasts longer and poses strong challenges to the marketing managers?

C) maturity
Answer: C Diff: 1 Page Ref: 277 Skill: Concept Objective: 9-3

65) Which of the following would lead to greater competition in the maturity stage of the PLC?

A) overcapacity
Answer: A Diff: 2 Page Ref: 277 Skill: Concept Objective: 9-3

66) Most products in the marketplace are in the_____stage of the product life cycle.

C) maturity
Answer: C Diff: 2 Page Ref: 277 Skill: Concept Objective: 9-3

67) When a product enters the maturity stage, the company should consider _____.

B) modifying the product, market, or marketing mix
Answer: B Diff: 1 Page Ref: 277 Skill: Concept Objective: 9-3

68) Sales decline in the decline stage of the PLC because of technological advances, increased competition, and_____.

C) shifts in consumer tastes and preferences
Answer: C Diff: 2 Page Ref: 278 Skill: Concept Objective: 9-3

69) Which of the following best represents the options a company has when a product is declining?

C) maintain, harvest, or drop the product
Answer: C Diff: 2 Page Ref: 278 Skill: Concept Objective: 9-3

70) A manufacturer with a product in the decline stage of the product life cycle might decide to_____if it has reason to hope that competitors will leave the industry.

B) maintain the product without change
Answer: B Diff: 2 Page Ref: 278 Skill: Concept Objective: 9-3

71) Manufacturers must comply with specific laws regarding_____.

B) product quality and safety
Answer: B Diff: 1 Page Ref: 280 AACSB: Ethical Reasoning
Skill: Concept Objective: 9-4

72) Because of_____, a company cannot make its product illegally similar to a competitor's already established product.

B) patent laws
Answer: B Diff: 1 Page Ref: 280 AACSB: Ethical Reasoning
Skill: Concept Objective: 9-4

73) Which of the following best describes the role of a product steward?

A) to protect consumers from harm
D) to protect the company from liability by identifying and solving potential product problems
E) A and D
Answer: E Diff: 3 Page Ref: 280 AACSB: Ethical Reasoning
Skill: Concept Objective: 9-4

74) The advantages of standardizing an international product include all of the following EXCEPT_____.

C) the adaptation of products to different markets
Answer: C Diff: 2 Page Ref: 281 Skill: Concept Objective: 9-4

75) Because names, labels, and colors may not easily translate from one country to another, international marketers must carefully assess_____.

D) packaging
Answer: D Diff: 2 Page Ref: 281 AACSB: Multicultural and Diversity
Skill: Concept Objective: 9-4

76) Your firm added three new products earlier this year to increase variety for customers. Two of them failed to reach even minimal sales. Which of the following is LEAST likely to have been the cause of their failure?

D) Research was too extensive.
Answer: D Diff: 1 Page Ref: 258 AACSB: Analytic Skills
Skill: Application Objective: 9-1

77) Which of the following is the most likely reason that employees at your firm regularly attend trade shows and seminars?

C) to get new-product ideas
Answer: C Diff: 2 Page Ref: 260 AACSB: Analytic Skills
Skill: Application Objective: 9-2

78) Which of the following statements best explains why idea screening may be the most import step of new product development?

E) It saves the company money in product development costs by giving the green light to only the product ideas that are likely to be profitable.
Answer: E Diff: 3 Page Ref: 262 AACSB: Analytic Skills
Skill: Application Objective: 9-2

79) JoAnn Fabrics, Inc., has just created a new combination of colors and fabric types. The firm wants to be sure of the way consumers perceive its new product. The firm is concerned with the product_____.

C) image
Answer: C Diff: 2 Page Ref: 262 AACSB: Reflective Thinking
Skill: Application Objective: 9-2

80) Which of the following is a product concept?

D) a thin, lightweight laptop with extended battery life appealing to students and young professionals who want access to their computer anywhere, anytime.
Answer: D Diff: 2 Page Ref: 262 AACSB: Reflective Thinking
Skill: Application Objective: 9-2

81) Wainwright Industries will build a new prototype riding lawnmower especially for women. In the product development stage, Joe Wainwright and his staff will incorporate the functional features and convey the_____.

D) intended psychological characteristics
Answer: D Diff: 3 Page Ref: 265 AACSB: Reflective Thinking
Skill: Application Objective: 9-2

82) Skippy Peanut Butter has a new peanut butter and bacon product and finds a small number of representative test cities. They plan to use the results to forecast national sales and profits. Skippy is using_____.

C) standard test markets
Answer: C Diff: 2 Page Ref: 266 AACSB: Reflective Thinking
Skill: Application Objective: 9-2

83) Anita's DayCare plans to offer third-shift childcare, based upon the opening of two new manufacturing plants in her area. Together the plants will hire 423 employees and run all three shifts. Initial test marketing results look promising. In considering launching this new service, Anita must first decide on_____.

A) timing
Answer: A Diff: 2 Page Ref: 268 AACSB: Reflective Thinking
Skill: Application Objective: 9-2

84) Atlas Steel Corporation lacks the confidence, capital, and capacity to launch its new steel product into full national or international distribution. Even though test market results look promising, what will be management's next step?

B) develop a planned market rollout over time
Answer: B Diff: 3 Page Ref: 268 AACSB: Reflective Thinking
Skill: Application Objective: 9-2

85) At Fantastic Flavors, a large regional chain of candy stores, employees from marketing, design, production, and finance work in a cross-functional group to save time and money in the new-product development process. Fantastic Flavors uses a(n)_____approach.

C) team-based new-product development
Answer: C Diff: 1 Page Ref: 269 AACSB: Reflective Thinking
Skill: Application Objective: 9-2

86) Sherri's Exclusives sells currently accepted and popular clothing items in given fields. What does she stock in her store?

B) fashions
Answer: B Diff: 2 Page Ref: 274 AACSB: Reflective Thinking
Skill: Application Objective: 9-3

87) Flurrbies, a winter accessory which fell in and out of favorability with customers quickly, are an example of a_____.

C) fad
Answer: C Diff: 2 Page Ref: 274 AACSB: Reflective Thinking
Skill: Application Objective: 9-3

88) Big Moose Toys is a market pioneer introducing a modern version of Bullwinkle the Moose, a character from an animated television series originally broadcast in the 50s and 60s. Their version of Rocky the Flying Squirrel, another character from the show, targeted to baby boomers was a strong success. They need to make the new launch strategy for Bullwinkle consistent with the intended_____.

B) product positioning
Answer: B Diff: 3 Page Ref: 276 AACSB: Reflective Thinking
Skill: Application Objective: 9-3

89) Apple's iPod has been called "one of the greatest consumer electronics hits of all time." More than 120 million iPods have been sold, and the iPod captures more than 70 percent of the music player market. This success has attracted many large, resourceful competitors. The iPod is in the_____stage of the product life cycle.

C) maturity
Answer: C Diff: 2 Page Ref: 273 AACSB: Reflective Thinking
Skill: Application Objective: 9-3

90) Mattel's Barbie is an example of an age-defying product. Barbie, simultaneously timeless and trendy, is in the_____stage of the PLC.

C) maturity
Answer: C Diff: 2 Page Ref: 277 AACSB: Reflective Thinking
Skill: Application Objective: 9-3

91) Over the past 100 years or so, Binney and Smith's Crayola crayons have become a household staple in more than 80 countries around the world. Crayola crayons are in the_____stage of the PLC.

C) maturity
Answer: C Diff: 2 Page Ref: 277 AACSB: Reflective Thinking
Skill: Application Objective: 9-3

92) When Heinz introduced EZ Squirt packaging and new colors such as Blastin' Green and Awesome Orange to revitalize consumer buying, the company was _____.

D) modifying the product
Answer: D Diff: 1 Page Ref: 278 AACSB: Reflective Thinking
Skill: Application Objective: 9-3

93) It's What's Hip, a chain of 18 music and CD stores, has discovered that carrying a weak product during the decline stage of the PLC can be very costly to a firm, and not just in profit terms. Which one of these is NOT likely to be one of those costs?

D) few concerns about company image and other products
Answer: D Diff: 3 Page Ref: 278 AACSB: Reflective Thinking
Skill: Application Objective: 9-3

94) Superior Luggage Company has undertaken the task of identifying its products in the decline stage of the PLC. Which of the following should NOT be done in the identification process?

D) regularly reviewing management's pet projects
Answer: D Diff: 1 Page Ref: 278 AACSB: Reflective Thinking
Skill: Application Objective: 9-3

95) Proctor & Gamble has sold off a number of lesser or declining brands such as Oxydol detergent and Jif peanut butter. In these examples, management decided to_____the products.

C) drop
Answer: C Diff: 1 Page Ref: 279 AACSB: Reflective Thinking
Skill: Application Objective: 9-3

96) When Kraft focused on cost-cutting with its older and established brands, leaving them to wither without much investment or modification, Kraft had decided to_____the older products.

D) harvest
Answer: D Diff: 2 Page Ref: 279 AACSB: Reflective Thinking
Skill: Application Objective: 9-3

97) CellTones, a new company selling several lines of cellular phones, has closely modeled its products after successful products that are already in the marketplace. As it prepares to enter the market with its new products and services, which of the following should concern CellTones the most?

B) patent laws
Answer: B Diff: 2 Page Ref: 280 AACSB: Reflective Thinking
Skill: Application Objective: 9-4

Chapter 10 Pricing Products: Understanding and Capturing Customer Value

1) _____is the amount of money charged for a product or service.

C) Price
Answer: C Diff: 1 Page Ref: 290 Skill: Concept Objective: 10-1

2) Price is the only element in the marketing mix that produces_____.

A) revenue
Answer: A Diff: 1 Page Ref: 290 Skill: Concept Objective: 10-1

3) _____is an important element in the marketing mix. It is the only element that does not represent costs.

C) Price
Answer: C Diff: 1 Page Ref: 290 Skill: Concept Objective: 10-1

4) Consumer perceptions of the product's value set the_____for prices.

C) ceiling
Answer: C Diff: 2 Page Ref: 291 Skill: Concept Objective: 10-2

5) Product costs set a(n)_____to a product's price.

B) floor
Answer: B Diff: 2 Page Ref: 291 Skill: Concept Objective: 10-2

6) Which of the following is a customer-oriented approach to pricing?

A) value-based pricing
Answer: A Diff: 2 Page Ref: 291 Skill: Concept Objective: 10-2

7) _____uses buyers' perceptions of what a product is worth, not the seller's cost, as the key to pricing.

A) Value-based pricing
Answer: A Diff: 2 Page Ref: 291 Skill: Concept Objective: 10-2

8) In_____, price is considered along with the other marketing mix variables before the marketing program is set.

A) value-based pricing
Answer: A Diff: 2 Page Ref: 291 Skill: Concept Objective: 10-2

9) Value-based pricing is the reverse process of_____.

C) cost-based pricing
Answer: C Diff: 2 Page Ref: 291 Skill: Concept Objective: 10-2

10) With_____, price is set to match consumers' perceptions of product value.

D) value-based pricing
Answer: D Diff: 2 Page Ref: 291 Skill: Concept Objective: 10-2

11) Measuring_____can be difficult. A company might conduct surveys or experiments to test this in the different products they offer.

C) perceived value
Answer: C Diff: 3 Page Ref: 292 AACSB: Communication
Skill: Concept Objective: 10-2

12) Underpriced products sell very well, but they produce less revenue than they would have if price were raised to the_____level.

A) perceived
Answer: A Diff: 2 Page Ref: 292 Skill: Concept Objective: 10-2

13) If a seller charges_____than the buyer's perceived value, the company's sales will_____.

B) more; suffer
Answer: B Diff: 2 Page Ref: 292 Skill: Concept Objective: 10-2

14) Some companies have adopted a_____strategy, offering just the right combination of quality and good service at a fair price.

B) good-value pricing
Answer: B Diff: 1 Page Ref: 293 Skill: Concept Objective: 10-2

15) Wal-Mart is famous for using what important type of value pricing?

B) everyday low pricing
Answer: B Diff: 2 Page Ref: 293 Skill: Concept Objective: 10-2

16) _____involves charging a constant, everyday low price with few or no temporary price discounts.

D) EDLP
Answer: D Diff: 2 Page Ref: 293 Skill: Concept Objective: 10-2

17) _____involves attaching features and services to differentiate a company's offers and to support charging higher prices.

C) Value-added pricing
Answer: C Diff: 1 Page Ref: 293 Skill: Concept Objective: 10-2

18) _____is a company's power to escape price competition and to justify higher prices and margins.

B) Pricing power
Answer: B Diff: 2 Page Ref: 293 Skill: Concept Objective: 10-2

19) To maintain and increase a company's_____, a firm must retain or build the value of its marketing offer.

B) pricing power
Answer: B Diff: 3 Page Ref: 293 Skill: Concept Objective: 10-2

20) When there is price competition, many companies adopt_____rather than cutting prices to match competitors.

B) value-added strategies
Answer: B Diff: 2 Page Ref: 293 Skill: Concept Objective: 10-2

21) Ryanair offers free flights to a quarter of its customers and rock-bottom prices to many of its other customers. Ryanair then charges for all extra services, such as baggage handling and inflight refreshments. Which of the following best describes Ryanair's pricing method?

B) low-cost pricing
Answer: B Diff: 2 Page Ref: 295 Skill: Concept Objective: 10-2

22) _____pricing involves setting prices based on the costs for producing, distributing, and selling the product plus a fair rate of return for the company's efforts and risks.

C) Cost-based
Answer: C Diff: 1 Page Ref: 295 Skill: Concept Objective: 10-3

23) Fixed costs_____as the number of units produced increases.

D) remain the same
Answer: D Diff: 2 Page Ref: 295 Skill: Concept Objective: 10-3

24) Costs that do not vary with production or sales level are referred to as _____.

A) fixed costs
Answer: A Diff: 1 Page Ref: 295 Skill: Concept Objective: 10-3

25) Rent, electricity and executive salaries are examples of_____.

A) fixed costs
Answer: A Diff: 2 Page Ref: 295 Skill: Concept Objective: 10-3

26) Costs that vary directly with the level of production are referred to as _____.

B) variable costs
Answer: B Diff: 1 Page Ref: 296 Skill: Concept Objective: 10-3

27) _____are the sum of the_____and_____for any given level of production.

D) Total costs; fixed; variable costs
Answer: D Diff: 2 Page Ref: 296 Skill: Concept Objective: 10-3

28) SRAC is the acronym for which concept related to costs at different levels of production?

C) short-run average cost
Answer: C Diff: 2 Page Ref: 296 Skill: Concept Objective: 10-3

29) As production workers become better organized and more familiar with equipment, the average cost per unit decreases. This is called the_____.

B) experience curve
Answer: B Diff: 1 Page Ref: 296 Skill: Concept Objective: 10-3

30) With a higher volume of product, most companies can expect to_____.

A) gain economies of scale
Answer: A Diff: 2 Page Ref: 296 Skill: Concept Objective: 10-3

31) The experience curve reveals that_____.

A) repetition in production lowers costs
B) repetition in production enhances efficiency
C) the average cost drops with accumulated production experience
D) A, B, and C
Answer: D Diff: 3 Page Ref: 296 Skill: Concept Objective: 10-3

32) When a downward-sloping experience curve exists, a company should usually _____the selling price of that product in order to bring in higher revenues.

C) decrease
Answer: C Diff: 3 Page Ref: 297 Skill: Concept Objective: 10-3

33) Which of the following is a risk a company takes when building a strategy around the experience curve?

E) Aggressive pricing may give the product a cheap image, causing customers to lose interest.
Answer: E Diff: 2 Page Ref: 297 Skill: Concept Objective: 10-3

34) A company building its pricing strategy around the experience curve would be likely to_____.

A) price its products low
Answer: A Diff: 3 Page Ref: 297 Skill: Concept Objective: 10-3

35) The company designs what it considers to be a good product, totals the expenses of making the product, and sets a price that adds a standard mark-up to the cost of the product. This approach to pricing is called_____.

C) cost-plus pricing
Answer: C Diff: 1 Page Ref: 297 Skill: Concept Objective: 10-3

36) Lawyers, accountants, and other professionals typically price by adding a standard markup for profit. This is known as_____.

B) cost-plus pricing
Answer: B Diff: 2 Page Ref: 297 Skill: Concept Objective: 10-3

37) The simplest pricing method is_____.

C) cost-plus pricing
Answer: C Diff: 2 Page Ref: 297 Skill: Concept Objective: 10-3

38) Which of the following is a reason why markup pricing is NOT practical?

D) This method ignores demand.
Answer: D Diff: 3 Page Ref: 298 Skill: Concept Objective: 10-3

39) One reason_____remains popular is that sellers are more certain about costs than about demand.

A) markup pricing
Answer: A Diff: 2 Page Ref: 298 Skill: Concept Objective: 10-3

40) Price competition is minimized when all firms in an industry use which pricing method?

B) markup pricing
Answer: B Diff: 3 Page Ref: 298 Skill: Concept Objective: 10-3

41) Many people feel that_____pricing is fairer to both buyers and sellers. Sellers earn a fair return on their investment but do not take advantage of buyers when buyers' demand becomes great.

B) markup
Answer: B Diff: 2 Page Ref: 298 AACSB: Ethical Reasoning
Skill: Concept Objective: 10-3

42) Which of the following is a cost-based approach to pricing?

C) target profit pricing
Answer: C Diff: 2 Page Ref: 298 Skill: Concept Objective: 10-3

43) Break-even pricing, or a variation called_____, is when the firm tries to determine the price at which it will break even or make the profit it is seeking.

B) target profit pricing
Answer: B Diff: 1 Page Ref: 298 Skill: Concept Objective: 10-3

44) Target profit pricing uses the concept of a_____, which shows the total cost and total revenue expected at different sales volume levels.

B) break-even chart
Answer: B Diff: 2 Page Ref: 298 Skill: Concept Objective: 10-3

45) The break-even volume is the point at which_____.

A) the total revenue and total costs lines intersect
Answer: A Diff: 3 Page Ref: 298 Skill: Concept Objective: 10-3

46) _____pricing works only if that price actually brings in the expected level of sales.

E) Target profit
Answer: E Diff: 3 Page Ref: 298 Skill: Concept Objective: 10-3

47) Which of the following statements about break-even analysis is true?

E) It is calculated using variable costs, the unit price, and fixed costs.
Answer: E Diff: 3 Page Ref: 298 Skill: Concept Objective: 10-3

48) As a manufacturer increases price, the_____drops.

B) break-even volume
Answer: B Diff: 3 Page Ref: 299 Skill: Concept Objective: 10-3

49) Which of the following is an external factor that affects pricing decisions?

B) competition
Answer: B Diff: 1 Page Ref: 299 Skill: Concept Objective: 10-4

50) _____that influence pricing decisions include the nature of the market and demand and competitors' prices.

C) External factors
Answer: C Diff: 2 Page Ref: 299 Skill: Concept Objective: 10-4

51) Companies may set prices low for which of the following reasons EXCEPT _____.

D) to prepare for an easy exit from a market
Answer: D Diff: 2 Page Ref: 299 Skill: Concept Objective: 10-4

52) In order to form a consistent and effective integrated marketing program, price decisions should be coordinated with each of the following EXCEPT _____.

C) competitors' prices
Answer: C Diff: 2 Page Ref: 299 Skill: Concept Objective: 10-4

53) With target costing, marketers will first_____and then_____.

E) determine a selling price; target costs to ensure that the price is met
Answer: E Diff: 2 Page Ref: 300 Skill: Concept Objective: 10-4

54) Price setting is usually determined by_____in small companies.

A) top management
Answer: A Diff: 2 Page Ref: 300 Skill: Concept Objective: 10-4

55) Price setting is usually determined by_____in large companies.

B) divisional managers
C) product line managers
E) both B and C
Answer: E Diff: 2 Page Ref: 300 Skill: Concept Objective: 10-4

56) In industrial markets,_____typically has the final say in setting the pricing objectives and policies of a company.

B) top management
Answer: B Diff: 2 Page Ref: 300 Skill: Concept Objective: 10-4

57) In industries in which pricing is a key factor,_____often set the best prices or help others in setting them.

E) pricing departments
Answer: E Diff: 2 Page Ref: 300 Skill: Concept Objective: 10-4

58) Under_____, the market consists of many buyers and sellers trading in a uniform commodity such as wheat, copper, or financial securities.

A) pure competition
Answer: A Diff: 2 Page Ref: 302 Skill: Concept Objective: 10-4

59) Under_____, the market consists of many buyers and sellers who trade over a range of prices rather than a single market price.

B) monopolistic competition
Answer: B Diff: 2 Page Ref: 302 Skill: Concept Objective: 10-4

60) Under _____, the market consists of a few sellers who are highly sensitive to each other's pricing and marketing strategies.

C) oligopolistic competition
Answer: C Diff: 2 Page Ref: 302 Skill: Concept Objective: 10-4

61) Nonregulated monopolies are free to price at what the market will bear. However, they do not always charge the full price for a number of reasons. What is NOT one of those reasons?

D) They want to encourage government regulations.
Answer: D Diff: 3 Page Ref: 303 Skill: Concept Objective: 10-4

62) The relationship between the price charged and the resulting demand level can be shown as the _____.

A) demand curve
Answer: A Diff: 1 Page Ref: 303 Skill: Concept Objective: 10-4

63) Consumers usually perceive higher-priced products as_____.

B) having high quality
Answer: B Diff: 3 Page Ref: 303 Skill: Concept Objective: 10-4

64) Why do marketers consider prestige goods to be an exception to the typical demand curve?

B) Increasing the price of prestige goods can make them seem more desirable.
Answer: B Diff: 3 Page Ref: 303 Skill: Concept Objective: 10-4

65) Which of the following is true about the demand curve?

E) It shows the relationship between product demand and product price.
Answer: E Diff: 3 Page Ref: 303 Skill: Concept Objective: 10-4

66) When Gibson Guitar Corporation, long known for its high quality instruments, lowered its prices to compete more effectively with Japanese rivals, the company sold fewer guitars. Which of the following best explains this?

D) Customers did not distinguish the superiority of the Gibson guitar when it was at a lower price.
Answer: D Diff: 3 Page Ref: 303 Skill: Concept Objective: 10-4

67) _____ describes how responsive demand will be to a change in price.

A) Price elasticity
Answer: A Diff: 1 Page Ref: 304 Skill: Concept Objective: 10-4

68) If demand hardly changes with a small change in price, we say the demand is _____.

B) inelastic
Answer: B Diff: 2 Page Ref: 304 Skill: Concept Objective: 10-4

69) If demand changes greatly with a small change in price, we say the demand is _____.

D) elastic
Answer: D Diff: 1 Page Ref: 304 Skill: Concept Objective: 10-4

70) Price elasticity of demand is _____ divided by _____.

A) percent change in quantity demanded; percent change in price
Answer: A Diff: 2 Page Ref: 304 Skill: Concept Objective: 10-4

71) Buyers are less price sensitive in all of the following situations EXCEPT _____.

D) when the total expenditure for a product is high relative to their income
Answer: D Diff: 2 Page Ref: 304 Skill: Concept Objective: 10-4

72) The less _____ the demand, the _____ it pays for the seller to raise the price.

B) elastic; more
Answer: B Diff: 3 Page Ref: 304 Skill: Concept Objective: 10-4

73) Each of the following economic factors can have a strong impact on a firm's pricing strategy EXCEPT_____.

B) the reseller's reaction to price changes
Answer: B Diff: 2 Page Ref: 305 Skill: Concept Objective: 10-4

74) A company should set prices that will allow_____to receive a fair profit.

A) resellers
Answer: A Diff: 2 Page Ref: 305 Skill: Concept Objective: 10-4

75) When companies set prices, the government and social concerns are two _____affecting pricing decisions.

A) external factors
Answer: A Diff: 1 Page Ref: 305 Skill: Concept Objective: 10-4

76) Amos Zook, an Amish farmer, sells organically grown produce. Often he will trade some of his produce for dairy products produced by other Amish farmers. The sum of the values that others exchange is called a_____.

A) price
Answer: A Diff: 1 Page Ref: 290 AACSB: Reflective Thinking
Skill: Application Objective: 10-1

77) Trader Joe's offers an assortment of exclusive gourmet products at impossibly low prices. These prices are not limited-time offers or special discounts. Instead, they reflect Trader Joe's_____strategy.

A) everyday low pricing
Answer: A Diff: 2 Page Ref: 293 AACSB: Reflective Thinking
Skill: Application Objective: 10-2

78) Jimmy's Hardware, an independent local retailer, is losing business to Wal-Mart. This is most likely because he cannot match Wal-Mart's pricing strategy of_____.

A) EDLP
Answer: A Diff: 2 Page Ref: 293 AACSB: Analytic Skills
Skill: Application Objective: 10-2

79) When McDonald's and other fast food restaurants offer "value menu" items at surprisingly low prices, they are using_____.

C) value pricing
Answer: C Diff: 1 Page Ref: 293 AACSB: Analytic Skills
Skill: Application Objective: 10-2

80) Consumers who have less time and patience for watching for supermarket specials and clipping coupons would most likely prefer_____.

C) EDLP
Answer: C Diff: 3 Page Ref: 293 AACSB: Analytic Skills
Skill: Application Objective: 10-2

81) Xbox 360 decides to add a free subscription to XBOX magazine with every game bought in an effort to differentiate its offering from PS3 games. This is an example of_____.

D) value-added pricing
Answer: D Diff: 2 Page Ref: 293 AACSB: Reflective Thinking
Skill: Application Objective: 10-2

82) The long-run average cost curve (LRAC) helps the producer understand which of the following?

A) It shows how large a business should be, to be most efficient.
Answer: A Diff: 2 Page Ref: 296 AACSB: Analytic Skills
Skill: Application Objective: 10-3

83) Assume a manufacturer with fixed costs of $100,000, a variable cost of $10, and expected sales of 50,000 units wants to earn a 20-percent markup on sales. What is the manufacturer's markup price?

B) $15
Answer: B Diff: 3 Page Ref: 297 AACSB: Analytic Skills
Skill: Application Objective: 10-3

84) General Motors prices its automobiles to achieve a 15 to 20 percent profit on its investment. This approach is called_____.

E) target-profit pricing
Answer: E Diff: 2 Page Ref: 298 AACSB: Reflective Thinking
Skill: Application Objective: 10-3

85) A company faces fixed costs of $100,000 and variable costs of $8.00/unit. They plan to directly sell their product to the market for $12.00. How many units must they produce and sell to break even?

B) 25,000
Answer: B Diff: 2 Page Ref: 298 AACSB: Analytic Skills
Skill: Application Objective: 10-3

86) Ecstasy Pharmaceuticals faces fixed costs with their new drug of $1,000,000. The company sells the drug in bottles of 50 pills for $10.00. They estimate that they must sell 200,000 bottles to break even. What is the total cost to produce a bottle of 50 pills?

B) $5.00
Answer: B Diff: 3 Page Ref: 298 AACSB: Analytic Skills
Skill: Application Objective: 10-3

87) A manufacturer is trying to determine its break-even volume. With fixed costs of $100,000, a variable cost of $10, and expected sales of 50,000 units, what should the manufacturer's unit cost be to break even?

B) $12
Answer: B Diff: 3 Page Ref: 298 AACSB: Analytic Skills
Skill: Application Objective: 10-3

88) As a manufacturer decreases price,_____volume increases.

B) break-even
Answer: B Diff: 3 Page Ref: 299 AACSB: Analytic Skills
Skill: Application Objective: 10-3

89) P&G surveyed the market and identified an unserved segment of electric toothbrush market. Using these results, they created Spinbrush. The unorthodox order of this marketing mix decision is an example of_____.

C) target costing
Answer: C Diff: 2 Page Ref: 300 AACSB: Reflective Thinking
Skill: Application Objective: 10-4

90) PoolPak produces climate-control systems for large swimming pools. The company's customers are more concerned about service support for maintaining a system than its initial price. PoolPak may use this knowledge to become more competitive through_____.

D) a nonprice position
Answer: D Diff: 2 Page Ref: 300 AACSB: Reflective Thinking
Skill: Application Objective: 10-3

91) By pledging to be a leader in providing clean, renewable energy sources and developing products and services that help consumers protect the environment, Green Mountain Power competes successfully against "cheaper" brands that focus on more price-sensitive consumers.Green Mountain Power has the firm belief that even kilowatt-hours can be_____.

C) differentiated
Answer: C Diff: 3 Page Ref: 300 AACSB: Analytic Skills
Skill: Application Objective: 10-4

92) In Vin del Mar, Chile, there are a dozen stores specializing in selling the same quality of seafood products on one street. An individual store dare not charge more than the going price without the risk of losing business to the other stores that are selling the fish at a common price. This is an example of what type of market?

A) pure competition
Answer: A Diff: 2 Page Ref: 302 AACSB: Reflective Thinking
Skill: Application Objective: 10-4

93) Ascot Tires has decided to decrease its prices. The company can expect that _____for their product will increase.

C) demand
Answer: C Diff: 1 Page Ref: 303 AACSB: Reflective Thinking
Skill: Application Objective: 10-4

94) If Canon Camera Company follows a high-price, high-margin strategy, what will competitors such as Nikon, Minolta, and Pentax most likely do?

B) They will want to compete against Canon.
Answer: B Diff: 2 Page Ref: 304 AACSB: Analytic Skills
Skill: Application Objective: 10-4

95) If Canon Camera Company follows a low-price, low-margin strategy for a product, what will competitors most likely do?

A) They will not be able to compete or may leave the market.
Answer: A Diff: 3 Page Ref: 304 AACSB: Analytic Skills
Skill: Application Objective: 10-4

96) Companies are fortunate to have demand that is more_____because they may be able to set higher prices.

D) inelastic
Answer: D Diff: 2 Page Ref: 304 AACSB: Analytic Skills
Skill: Application Objective: 10-4

97) If demand falls by 1 percent when price is increased by 2 percent, then _____.

A) elasticity is —1/2
B) demand is inelastic
E) A and B
Answer: E Diff: 3 Page Ref: 304 AACSB: Analytic Skills
Skill: Application Objective: 10-4

Chapter 11 Pricing Strategies

1) A company sets not a single price, but rather a_____that covers different items in its line that change over time as products move through their life cycles.

B) pricing structure
Answer: B Diff: 1 Page Ref: 311 Skill: Concept Objective: 11-1

2) Companies facing the challenge of setting prices for the first time can choose between two broad strategies: market-penetration pricing and_____.

C) market-skimming pricing
Answer: C Diff: 2 Page Ref: 312 Skill: Concept Objective: 11-1

3) Of the following, which statement would NOT support a market-skimming policy for a new product?

D) Competitors can enter the market easily.
Answer: D Diff: 3 Page Ref: 312 Skill: Concept Objective: 11-1

4) A firm is using_____when it charges a high, premium price for a new product with the intention of reducing the price in the future.

A) price skimming
Answer: A Diff: 2 Page Ref: 312 Skill: Concept Objective: 11-1

5) _____pricing is the approach of setting a low initial price in order to attract a large number of buyers quickly and win a large market share.

B) Market-penetration
Answer: B Diff: 1 Page Ref: 313 Skill: Concept Objective: 11-1

6) Accent Software faces the conditions below, all of which support Accent's use of a market-penetration pricing strategy EXCEPT that_____.

C) the product's quality and image support a high price
Answer: C Diff: 3 Page Ref: 313 Skill: Concept Objective: 11-1

7) Which of the following is a reason that a marketer would choose a penetration pricing strategy?

E) to discourage competition from entering the market
Answer: E Diff: 3 Page Ref: 313 Skill: Concept Objective: 11-1

8) Companies usually develop_____rather than single products.

B) product lines
Answer: B Diff: 1 Page Ref: 313 Skill: Concept Objective: 11-2

9) A marketer must be familiar with the five major product mix pricing situations. Which of the following is NOT one of them?

D) unbundled product pricing
Answer: D Diff: 3 Page Ref: 313 Skill: Concept Objective: 11-2

10) A challenge for management in product line pricing is to decide on the price steps between the_____.

A) various products in a line
Answer: A Diff: 2 Page Ref: 313 Skill: Concept Objective: 11-2

11) When using price steps, the seller must establish perceived_____that support the price differences.

B) quality differences
Answer: B Diff: 2 Page Ref: 314 AACSB: Communication
Skill: Concept Objective: 11-2

12) Many producers who use captive-product pricing set the price of the main product_____and set_____on the supplies necessary to use the product.

C) low; high markups
Answer: C Diff: 2 Page Ref: 314 Skill: Concept Objective: 11-2

13) When amusement parks and movie theaters charge admission plus fees for food and other attractions, they are following a(n)_____pricing strategy.

C) captive-product
Answer: C Diff: 2 Page Ref: 315 Skill: Concept Objective: 11-2

14) HiPoint Telephone Company uses two-part pricing for its long-distance call charges. Because this is a service, the price is broken into a fixed rate plus a _____.

B) variable usage rate
Answer: B Diff: 1 Page Ref: 315 Skill: Concept Objective: 11-2

15) Companies involved in deciding which items to include in the base price and which to offer as options are engaged in_____pricing.

B) optional-product
Answer: B Diff: 1 Page Ref: 314 Skill: Concept Objective: 11-2

16) Keeping in mind that a seller must sell by-products at a price that covers more than the cost of storing and delivering them, which of the following will by-product pricing permit a seller to do?

B) make extra profit
C) reduce the main product's price
E) B and C
Answer: E Diff: 3 Page Ref: 315 Skill: Concept Objective: 11-2

17) With product bundle pricing, sellers can combine several products and offer the bundle_____.

B) at a reduced price
Answer: B Diff: 1 Page Ref: 315 Skill: Concept Objective: 11-2

18) What is a major advantage of product bundle pricing?

A) It can promote the sales of products consumers might not otherwise buy.
Answer: A Diff: 2 Page Ref: 315 Skill: Concept Objective: 11-2

19) Which of the following is NOT a price adjustment strategy?

C) free samples
Answer: C Diff: 2 Page Ref: 315 Skill: Concept Objective: 11-3

20) Service Industries, Inc., plans to offer a price-adjustment strategy in the near future. They could consider each of the following EXCEPT_____.

C) physiological pricing
Answer: C Diff: 2 Page Ref: 315 Skill: Concept Objective: 11-3

21) A quantity discount is a price reduction to buyers who purchase_____.

B) large volumes
Answer: B Diff: 2 Page Ref: 316 Skill: Concept Objective: 11-3

22) Trade or functional discounts are offered by manufacturers to which of the following?

A) channel members who perform tasks that the manufacturer would otherwise have to perform
Answer: A Diff: 3 Page Ref: 316 Skill: Concept Objective: 11-3

23) Which of the following is an example of a cash discount?

A) 2/10, net 30
Answer: A Diff: 3 Page Ref: 316 Skill: Concept Objective: 11-3

24) When General Motors provides payments or price reductions to its new car dealers as rewards for participating in advertising and sales support programs, it is granting a(n)_____.

D) promotional allowance
Answer: D Diff: 1 Page Ref: 316 Skill: Concept Objective: 11-3

25) Quantity discounts provide an incentive to the customer to buy_____.

C) more from one given seller, rather than from many different sources
Answer: C Diff: 2 Page Ref: 316 Skill: Concept Objective: 11-3

26) By definition, this type of pricing is used when a firm sells a product or service at two or more prices, even though the difference in price is not based on differences in cost.

A) segmented pricing
Answer: A Diff: 2 Page Ref: 316 Skill: Concept Objective: 11-2

27) When a firm varies its price by the season, month, day, or even hour, it is using_____pricing.

D) time
Answer: D Diff: 1 Page Ref: 316 Skill: Concept Objective: 11-3

28) Airlines, hotels, and restaurants call segmented pricing_____.

B) yield management
Answer: B Diff: 2 Page Ref: 317 Skill: Concept Objective: 11-3

29) Which of the following conditions should exist for segmented pricing to be an effective strategy?

A) The market must be able to be segmented.
B) The segments must show different degrees of demand.
C) Competitors can't undersell in the segment being charged the higher price.
D) All of the above.
Answer: D Diff: 2 Page Ref: 317 Skill: Concept Objective: 11-3

30) Consumers usually perceive higher-priced products as_____.

B) having a higher quality
Answer: B Diff: 2 Page Ref: 317 Skill: Concept Objective: 11-3

31) Consumer use price less to judge the quality of a product when they _____.

C) have experience with the product
Answer: C Diff: 2 Page Ref: 317 Skill: Concept Objective: 11-3

32) Michael and John both own leather jackets and are currently shopping for two new ones. They both have prices in mind and refer to them when shopping. These prices are termed_____.

B) reference prices
Answer: B Diff: 2 Page Ref: 319 Skill: Concept Objective: 11-3

33) Which of the following refers to the prices that a buyer carries in his or her mind and refers to when looking at a given product?

B) reference prices
Answer: B Diff: 1 Page Ref: 319 Skill: Concept Objective: 11-3

34) When consumers cannot judge quality because they lack the information or skill, price becomes_____.

C) an important quality signal
Answer: C Diff: 2 Page Ref: 317 Skill: Concept Objective: 11-3

35) All of the following are typical ways a reference price might be formed in a buyer's mind EXCEPT_____.

D) comparing it to a new product
Answer: D Diff: 2 Page Ref: 319 Skill: Concept Objective: 11-3

36) What type of pricing is being used when a company temporarily prices it product below the list price or even below cost to create buying excitement and urgency?

D) promotional pricing
Answer: D Diff: 1 Page Ref: 320 Skill: Concept Objective: 11-3

37) Promotional pricing can have all of the following adverse effects EXCEPT _____.

C) giving pricing secrets away to competitors
Answer: C Diff: 2 Page Ref: 320 Skill: Concept Objective: 11-3

38) The most likely effect of the frequent use of promotional pricing is an industry _____.

B) price war
Answer: B Diff: 2 Page Ref: 320 Skill: Concept Objective: 11-3

39) When customers buy products from manufacturers' dealers within a specified time period, the manufacturer sends the customer a check called a_____.

A) cash rebate
Answer: A Diff: 2 Page Ref: 320 Skill: Concept Objective: 11-3

40) Durango China Company charges all customers within a given geographical area a single total price. The more distant the area, the higher the price. This is _____.

B) zone pricing
Answer: B Diff: 2 Page Ref: 321 Skill: Concept Objective: 11-3

41) Under which type of geographic pricing strategy does each customer pay the exact freight for the product from the factory to its destination?

D) FOB-origin pricing
Answer: D Diff: 2 Page Ref: 321 Skill: Concept Objective: 11-3

42) Using this pricing strategy, the seller takes responsibility for part or all of the actual freight charges in order to get the desired business.

B) freight-absorption
Answer: B Diff: 1 Page Ref: 321 Skill: Concept Objective: 11-3

43) Which of the following is the opposite of FOB-origin pricing?

C) uniform-delivered pricing
Answer: C Diff: 3 Page Ref: 321 Skill: Concept Objective: 11-3

44) Freight-absorption pricing is used for_____and_____.

C) market penetration; holding on to increasingly competitive markets
Answer: C Diff: 3 Page Ref: 321 Skill: Concept Objective: 11-3

45) When a company charges the same rate to ship a product anywhere in the United States, it is using which form of geographic pricing?

D) uniform delivered
Answer: D Diff: 1 Page Ref: 321 Skill: Concept Objective: 11-3

46) The Internet offers_____, where the price can easily be adjusted to meet changes in demand.

B) dynamic pricing
Answer: B Diff: 2 Page Ref: 322 AACSB: Use of IT
Skill: Concept Objective: 11-3

47) Some companies are reversing the fixed pricing trend and using_____.

D) dynamic pricing
Answer: D Diff: 2 Page Ref: 322 Skill: Concept Objective: 11-3

48) When pricing internationally, most companies adjust their prices to reflect _____.

A) local market conditions **B) cost considerations**
C) local laws and regulations **D) exchange-rate fluctuations**
E) all of the above
Answer: E Diff: 2 Page Ref: 323
AACSB: Multicultural and Diversity Skill: Concept Objective: 11-3

49) Most companies that conduct international business_____to_____.

A) adjust their prices; take local market conditions into consideration
Answer: A Diff: 2 Page Ref: 323
AACSB: Multicultural and Diversity Skill: Concept Objective: 11-3

50) Price escalation in international markets may result from differences in market conditions or_____.

B) selling strategies
Answer: B Diff: 2 Page Ref: 323 AACSB: Multicultural and Diversity
Skill: Concept Objective: 11-4

51) Which of the following is LEAST likely to cause price escalation in foreign markets?

D) the additional costs of improving a country's infrastructure
Answer: D Diff: 2 Page Ref: 323 AACSB: Multicultural and Diversity
Skill: Concept Objective: 11-3

52) Price escalation in international markets may result from four of these five marketing conditions. Which one will have the LEAST effect?

E) language barriers
Answer: E Diff: 2 Page Ref: 323 AACSB: Multicultural and Diversity
Skill: Concept Objective: 11-3

53) There are many reasons why a firm might consider cutting its price. All of the following are among them EXCEPT_____.

D) monopolistic competition
Answer: D Diff: 2 Page Ref: 324 Skill: Concept Objective: 11-4

54) Which of the following is a reason for a company to raise its prices?

A) to address the issue of overdemand for a product
Answer: A Diff: 1 Page Ref: 324 Skill: Concept Objective: 11-4

55) Which of the following is a major factor that influence price increases?

A) cost inflation
Answer: A Diff: 2 Page Ref: 324 Skill: Concept Objective: 11-4

56) Competitors are most likely to react to a price change when_____.

A) the number of firms involved is small
B) the purchase is uniform
D) A and B
Answer: D Diff: 2 Page Ref: 325 Skill: Concept Objective: 11-4

57) A competitor is likely to interpret your firm's decision to cut prices in many ways, including all of the following EXCEPT as_____.

C) a personal decision due to management's personality
Answer: C Diff: 2 Page Ref: 326 Skill: Concept Objective: 11-4

58) When a competitor cuts its price, a company is most likely to decide to _____if it believes it will not lose much market share or would lose too much profit by cutting its own price.

C) maintain its current prices and profit margin
Answer: C Diff: 2 Page Ref: 326 Skill: Concept Objective: 11-4

59) When faced with a competitor who has cut its product's price, which of the following is typically the most efficient way for a company to maintain its own price but raise the perceived value of its offer?

C) altering the company's marketing communications
Answer: C Diff: 3 Page Ref: 326 Skill: Concept Objective: 11-4

60) Which of the following is NOT on an effective action that a company can take to combat a competitor's price cut on a product?

D) bundle products together
Answer: D Diff: 2 Page Ref: 326 Skill: Concept Objective: 11-4

61) When a firm improves the quality and increases the price of a product in reaction to a competitor making a price reduction, the firm in essence is _____.

C) moving its brand into a higher price-value position
Answer: C Diff: 3 Page Ref: 327 Skill: Concept Objective: 11-4

62) A company would most likely consider launching a low-price "fighting brand" in response to a competitor reducing prices if_____.

A) the market segment being lost is price sensitive
Answer: A Diff: 2 Page Ref: 327 Skill: Concept Objective: 11-4

63) Price-fixing, predatory pricing, retail price maintenance, and deceptive pricing are examples of_____.

B) major public policy issues in pricing
Answer: B Diff: 1 Page Ref: 327 AACSB: Ethical Reasoning
Skill: Concept Objective: 11-4

64) The Sherman, Clayton, and Robinson-Patman Acts are all federal laws that were enacted to curb the formation of_____.

A) monopolies
Answer: A Diff: 2 Page Ref: 327 AACSB: Ethical Reasoning
Skill: Concept Objective: 11-4

65) When sellers set prices after talking to competitors and engaging in collusion, they are involved in_____.

C) price-fixing
Answer: C Diff: 2 Page Ref: 328 AACSB: Ethical Reasoning
Skill: Concept Objective: 11-4

66) Federal legislation on price-fixing requires that sellers set their prices _____.

B) without communication from competitors
Answer: B Diff: 2 Page Ref: 328 AACSB: Ethical Reasoning
Skill: Concept Objective: 11-4

67) If a large retailer sold numerous items below cost with the intention of punishing small competitors and gaining higher long-run profits by putting them out of business, the retailer would be guilty of_____.

C) predatory pricing
Answer: C Diff: 2 Page Ref: 328-329 AACSB: Ethical Reasoning
Skill: Concept Objective: 11-4

68) Which of the following would most likely be considered predatory pricing?

B) pricing below cost to drive out competitors
C) pricing below cost in order to entice customers to your store
E) both B and C if the intent is to somehow harm competition
Answer: E Diff: 3 Page Ref: 328 AACSB: Ethical Reasoning
Skill: Concept Objective: 11-4

69) The Robinson-Patman Act seeks to prevent unfair_____by ensuring that sellers offer the same price terms to customers at a given price level.

B) price discrimination
Answer: B Diff: 2 Page Ref: 330 AACSB: Ethical Reasoning
Skill: Concept Objective: 11-4

70) Price discrimination is legal under which of the following conditions?

C) when a seller can prove its costs are different when selling to different retailers
Answer: C Diff: 3 Page Ref: 330 AACSB: Ethical Reasoning
Skill: Concept Objective: 11-4

71) Price discrimination may be used to match competition as long as the strategy is temporary, localized, and_____.

A) defensive
Answer: A Diff: 3 Page Ref: 330 AACSB: Ethical Reasoning
Skill: Concept Objective: 11-4

72) Mark's Markers, a manufacturer of color markers, has required its dealers to charge a specified retail price for its markers. Mark's is most likely guilty of _____.

B) retail price maintenance
Answer: B Diff: 2 Page Ref: 330 AACSB: Ethical Reasoning
Skill: Concept Objective: 11-4

73) _____results when a company uses pricing methods that make it difficult for consumers to understand just what price they are really paying.

C) Price confusion
Answer: C Diff: 2 Page Ref: 330 AACSB: Ethical Reasoning
Skill: Concept Objective: 11-4

74) Failure to enter the current price into a retailer's system may result in charges of_____.

B) scanner fraud
Answer: B Diff: 2 Page Ref: 330 AACSB: Use of IT
Skill: Concept Objective: 11-4

75) Comparison pricing claims are legal if they are truthful. However, sellers should not advertise a price reduction unless_____.

A) it is a saving from the usual retail price
B) a "factory" price, if listed, is what it is claimed to be
C) a "wholesale" price, if listed, is what it is claimed to be
D) "comparable value items" are not actually imperfect goods
E) all of the above
Answer: E Diff: 1 Page Ref: 330 AACSB: Ethical Reasoning
Skill: Concept Objective: 11-4

76) Valeo Fashions has just introduced a new line of fashion dresses for teens. They will initially enter the market at high prices in a_____pricing strategy.

B) market-skimming
Answer: B Diff: 2 Page Ref: 312 AACSB: Reflective Thinking
Skill: Application Objective: 11-1

77) Market-skimming pricing would likely be most effective in selling_____.

B) an electronic device for which research and development must be recouped
Answer: B Diff: 3 Page Ref: 312 AACSB: Analytic Skills
Skill: Application Objective: 11-1

78) Among the following, a market-penetration strategy will likely be most effective with_____.

C) convenience items for which there is much competition
Answer: C Diff: 3 Page Ref: 313 AACSB: Analytic Skills
Skill: Application Objective: 11-1

79) When Pepsi came out with Pepsi Blue and priced it at half price to attract buyers they were using, Pepsi was using_____.

B) market-penetration pricing
Answer: B Diff: 2 Page Ref: 313 AACSB: Reflective Thinking
Skill: Application Objective: 11-1

80) Johnson Boats wants to introduce a new model of boat into mature markets in highly developed countries with the goal of quickly gaining mass-market share. As a consultant, you should recommend a_____pricing strategy.

B) market-penetration
Answer: B Diff: 2 Page Ref: 313 AACSB: Reflective Thinking
Skill: Application Objective: 11-1

81) When Circuit Town Electronics sets its televisions at three price levels of $699, $899, and $1,099, it is using_____.

A) product line pricing
Answer: A Diff: 1 Page Ref: 314 AACSB: Reflective Thinking
Skill: Application Objective: 11-2

82) When Polaroid set the general price range of its cameras low and the markup on its film high, it was practicing_____.

D) captive-product pricing
Answer: D Diff: 2 Page Ref: 314 AACSB: Reflective Thinking
Skill: Application Objective: 11-2

83) When product managers at Schwinn make decisions about which types of bicycle seats, handle bars, and saddlebags to offer customers on their bikes, they are engaged in_____.

B) optional-product pricing
Answer: B Diff: 1 Page Ref: 314 AACSB: Reflective Thinking
Skill: Application Objective: 11-2

84) Mach 3 razor blades must be used in the Mach 3 razor. Which type of pricing is most likely used?

C) captive-product pricing
Answer: C Diff: 2 Page Ref: 314 AACSB: Reflective Thinking
Skill: Application Objective: 11-2

85) The fact that a hot dog cost five times more at Disneyland than at Sam's Club is an example of_____.

B) captive-product pricing
Answer: B Diff: 2 Page Ref: 314 AACSB: Reflective Thinking
Skill: Application Objective: 11-2

86) A manufacturer offers 3/10, net 30, terms to a wholesaler for a recent purchase. The wholesaler may deduct_____percent if the bill is paid within_____days.

D) 3; 10
Answer: D Diff: 3 Page Ref: 316 AACSB: Analytic Skills
Skill: Application Objective: 11-3

87) When Whallans Gift Card Shop offers a price reduction to customers who buy Christmas cards the week after Christmas, Whallans is giving a(n) _____ discount.

B) seasonal
Answer: B Diff: 1 Page Ref: 316 AACSB: Reflective Thinking
Skill: Application Objective: 11-3

88) The New Age Gallery has three admission prices for students, adults, and seniors. All three groups are entitled to the same services. This form of pricing is called_____.

C) customer-segmented pricing
Answer: C Diff: 2 Page Ref: 316 AACSB: Reflective Thinking
Skill: Application Objective: 11-3

89) Brown Baby Tanning Salon offers weekly tanning sessions for $15 and season passes with unlimited tanning for $150. Brown Baby Tanning Salon is offering_____pricing.

D) discount
Answer: D Diff: 2 Page Ref: 316 AACSB: Analytic Skills
Skill: Application Objective: 11-3

90) Lancaster Recycling has a history of problems with customers who do not pay their bills on time. Lancaster Recycling wants to improve its cash situation, reduce bad debts, and reduce credit-collection costs. The company might consider which of the following forms of pricing?

C) cash discounts
Answer: C Diff: 3 Page Ref: 316 AACSB: Reflective Thinking
Skill: Application Objective: 11-3

91) Secret Sneaker will give anyone $10 for their old sneakers, regardless of condition, when purchasing a new pair of sneakers. The end result is essentially reducing the price of the new sneakers by $10. What is this type of price adjustment called?

D) trade-in allowance
Answer: D Diff: 1 Page Ref: 316 AACSB: Reflective Thinking
Skill: Application Objective: 11-3

92) Bose prices its most expensive noise reduction earphones at $399.95, which is a full $100.00 more than its next most expensive earphones. It costs Bose only a few dollars more to make the most expensive earphones. Bose is using _____pricing.

B) product-form
Answer: B Diff: 3 Page Ref: 316 AACSB: Reflective Thinking
Skill: Application Objective: 11-3

93) The Chicago Bears organization charges different prices for seats in different areas of the Soldier Field, even though the costs are the same. This form of pricing is called_____.

A) location pricing
Answer: A Diff: 2 Page Ref: 316 AACSB: Reflective Thinking
Skill: Application Objective: 11-3

94) Manor Cinemas has announced that seniors over 60 years of age can enter the theater for free prior to 4:00 p.m. when accompanied by a paying customer. This is an example of_____.

A) promotional pricing
Answer: A Diff: 2 Page Ref: 320 AACSB: Reflective Thinking
Skill: Application Objective: 11-3

95) The JC Whitney Company of Chicago offers replacement parts for older Volkswagen Beetles. Parts are often shipped from other locations throughout the United States. However, the company charges for shipping as if every part was shipped from their Chicago headquarters. The company practices _____.

D) basing-point pricing
Answer: D Diff: 2 Page Ref: 321 AACSB: Reflective Thinking
Skill: Application Objective: 11-3

96) If Northwest Awnings charges the same price for delivery of their product to any customer that is located within the Great Lakes states, the company is using_____.

D) zone pricing
Answer: D Diff: 3 Page Ref: 321 AACSB: Reflective Thinking
Skill: Application Objective: 11-3

97) Big Mike's Health Food Store sells nutritional energy-producing foods. The price of the products sold varies according to individual customer accounts and situations. For example, long-time customers receive discounts. This strategy is an example of_____.

C) dynamic pricing
Answer: C Diff: 3 Page Ref: 322 AACSB: Reflective Thinking
Skill: Application Objective: 11-3

98) Savings for You, a discount retail chain, is highly competitive. When entering a new market, Savings for You often cuts prices so deeply that it sells below costs, effectively pushing smaller companies with less purchasing power out of the market. Savings for You is most at risk of being accused of_____.

E) predatory pricing
Answer: E Diff: 2 Page Ref: 328 AACSB: Reflective Thinking
Skill: Application Objective: 11-3

Chapter 12 Marketing Channels: Delivering Customer Value

1) Which of the following is NOT a typical supply chain member?

D) government agencies
Answer: D Diff: 1 Page Ref: 337 Skill: Concept Objective: 12-1

2) _____the manufacturer or service provider is the set of firms that supply the raw materials, components, parts, information, finances, and expertise needed to create a product or service.

B) Upstream from
Answer: B Diff: 2 Page Ref: 337 Skill: Concept Objective: 12-1

3) Another term for the supply chain that suggests a sense and respond view of the market is_____.

B) demand chain
Answer: B Diff: 3 Page Ref: 338 Skill: Concept Objective: 12-1

4) When suppliers, distributors, and customers partner with each other to improve the performance of the entire system, they are participating in a _____.

A) value delivery network
Answer: A Diff: 1 Page Ref: 338 Skill: Concept Objective: 12-1

5) Most producers today sell their goods to_____.

C) intermediaries
Answer: C Diff: 2 Page Ref: 339 Skill: Concept Objective: 12-1

6) A company's channel decisions directly affect every_____.

B) marketing decision
Answer: B Diff: 2 Page Ref: 339 Skill: Concept Objective: 12-1

7) Distribution channel decisions often involve_____with other firms, particularly those that involve contracts or relationships with channel partners.

B) long-term commitments
Answer: B Diff: 3 Page Ref: 339 Skill: Concept Objective: 12-1

8) Joe Blanco, like other producers, has discovered that his intermediaries usually offer his firm more than it can achieve on its own. Which of the following is most likely an advantage that Joe creates by working with intermediaries?

C) scale of operation
Answer: C Diff: 2 Page Ref: 339 Skill: Concept Objective: 12-1

9) From the economic system's point of view, the role of marketing intermediaries is to transform the assortment of products made by producers into the assortment of products wanted by_____.

C) consumers
Answer: C Diff: 2 Page Ref: 340 Skill: Concept Objective: 12-1

10) Producers benefit from using intermediaries because they_____.

A) offer greater efficiency in making goods available to target markets
Answer: A Diff: 3 Page Ref: 339 Skill: Concept Objective: 12-1

11) Intermediaries play an important role in matching_____.

B) supply and demand
Answer: B Diff: 2 Page Ref: 340 Skill: Concept Objective: 12-1

12) Channel members add value by bridging the major gaps of_____that separate goods and services from those who would use them.

C) time, place, and possession
Answer: C Diff: 2 Page Ref: 340 Skill: Concept Objective: 12-1

13) Which of the following is NOT a key function that intermediaries play in completing transactions?

E) negotiation
Answer: E Diff: 3 Page Ref: 340 Skill: Concept Objective: 12-1

14) Which of the following is NOT a key function that intermediaries play in helping to fulfill a completed transaction?

B) promotion
Answer: B Diff: 3 Page Ref: 340 Skill: Concept Objective: 12-2

15) In marketing terms, we say that the number of intermediary levels indicates the_____of a channel.

D) length
Answer: D Diff: 1 Page Ref: 341 Skill: Concept Objective: 12-1

16) To a producer of goods, a greater number of channel levels means _____ and greater channel complexity.

B) less control
Answer: B Diff: 2 Page Ref: 341 Skill: Concept Objective: 12-1

17) All of the institutions in a channel are connected by various flows. These include physical flow, flow of ownership, payment flow, information flow, and_____flow.

A) promotion
Answer: A Diff: 3 Page Ref: 341 AACSB: Communication
Skill: Concept Objective: 12-1

18) A distribution channel is more than a collection of firms connected by various flows; it is a(n)_____in which people and companies interact to accomplish individual, company, and channel goals.

B) complex behavioral system
Answer: B Diff: 2 Page Ref: 342 AACSB: Communication
Skill: Concept Objective: 12-2

19) An advantage of a channel of distribution over selling direct to consumers is that each channel member plays a_____in the channel.

B) specialized role
Answer: B Diff: 2 Page Ref: 342 Skill: Concept Objective: 12-2

20) _____conflict, which occurs between different levels of the same channel, is more common than_____conflict, which occurs among firms at the same level of the channel.

B) Vertical; horizontal
Answer: B Diff: 2 Page Ref: 342 Skill: Concept Objective: 12-2

21) Historically, conventional channels have lacked the leadership to_____.

C) assign member roles and manage conflict
Answer: C Diff: 3 Page Ref: 343 AACSB: Communication
Skill: Concept Objective: 12-2

22) A conventional distribution channel consists of one or more _____ producers, wholesalers, and retailers.

B) independent
Answer: B Diff: 2 Page Ref: 344 Skill: Concept Objective: 12-2

23) A channel consisting of one or more independent producers, wholesalers, or retailers that seek to maximize their own profits even at the expense of profits for the channel as a whole is a(n)_____.

B) conventional distribution channel
Answer: B Diff: 2 Page Ref: 344 Skill: Concept Objective: 12-2

24) An advantage of a vertical marketing system (VMS) is that it acts as a _____system.

A) unified
Answer: A Diff: 3 Page Ref: 344 Skill: Concept Objective: 12-2

25) A corporate VMS has the advantage of controlling the entire distribution chain under_____.

B) single ownership
Answer: B Diff: 1 Page Ref: 344 Skill: Concept Objective: 12-2

26) Which of the following are the three major types of vertical marketing systems?

C) contractual, corporate, and administered
Answer: C Diff: 2 Page Ref: 344 Skill: Concept Objective: 12-2

27) A distinguishing feature of a contractual VMS is that coordination and conflict management among the independent members of the channel are attained through_____.

D) contractual agreements
Answer: D Diff: 1 Page Ref: 345 AACSB: Communication
Skill: Concept Objective: 12-2

28) The most common type of contractual agreement in business is the_____.

A) franchise organization
Answer: A Diff: 3 Page Ref: 345 Skill: Concept Objective: 12-2

29) Leadership in which type of marketing system is assumed not through common ownership or contractual ties but through the size and power of one or a few dominant channel members?

B) administered VMS
Answer: B Diff: 2 Page Ref: 345 Skill: Concept Objective: 12-2

30) In a_____, two or more companies at one level join together to develop a new marketing opportunity.

B) horizontal marketing system
Answer: B Diff: 1 Page Ref: 345 Skill: Concept Objective: 12-2

31) Hybrid marketing systems are also called_____.

B) multichannel distribution systems
Answer: B Diff: 2 Page Ref: 346 Skill: Concept Objective: 12-2

32) As marketing manager for Globe Imports and Exports, you want to start reaping the benefits of a multichannel distribution system. You will likely enjoy all of the following EXCEPT which one?

B) multichannel distribution systems
Answer: B Diff: 2 Page Ref: 346 Skill: Concept Objective: 12-2

33) As marketing manager for Globe Imports and Exports, you want to start reaping the benefits of a multichannel distribution system. You will likely enjoy all of the following EXCEPT which one?

C) selling at a higher gross margin
Answer: C Diff: 3 Page Ref: 346 Skill: Concept Objective: 12-2

34) The use of multichannel systems in the United States is_____.

B) increasing
Answer: B Diff: 2 Page Ref: 346 Skill: Concept Objective: 12-2

35) The major disadvantage of a multichannel system is that it is harder to control and it can generate_____.

A) channel conflict
Answer: A Diff: 2 Page Ref: 346 Skill: Concept Objective: 12-2

36) In many industries, traditional intermediaries are dropping by the wayside because of changes in_____and the growth of_____marketing.

D) technology; direct and online
Answer: D Diff: 2 Page Ref: 347 AACSB: Use of IT Skill: Concept Objective: 12-2

37) Designing a channel system calls for analyzing consumer needs, setting channel objectives,_____and evaluation.

B) identifying major channel alternatives
Answer: B Diff: 2 Page Ref: 348 Skill: Concept Objective: 12-3

38) Which of the following should be the first step in designing a marketing channel?

B) identifying what consumers want from the channel
Answer: B Diff: 2 Page Ref: 349 Skill: Concept Objective: 12-3

39) To increase a channel's service level, it must provide a greater assortment of products, more add-on services, and_____.

C) faster delivery
Answer: C Diff: 3 Page Ref: 349 Skill: Concept Objective: 12-3

40) Companies should state their channel objectives in terms of targeted levels of _____.

C) customer service
Answer: C Diff: 2 Page Ref: 350 AACSB: Communication
Skill: Concept Objective: 12-3

41) When a company is identifying its major channel alternatives, it should consider its choices in terms of types, number, and_____of intermediaries.

C) responsibilities
Answer: C Diff: 2 Page Ref: 350 Skill: Concept Objective: 12-3

42) Which type of product might require a more direct marketing channel to avoid delays and too much handling?

B) perishable products
Answer: B Diff: 2 Page Ref: 350 Skill: Concept Objective: 12-3

43) When determining the number of channel members to use at each level, three strategies are available: intensive, exclusive, and _____distribution.

B) selective
Answer: B Diff: 1 Page Ref: 350 Skill: Concept Objective: 12-3

44) Sometimes a producer chooses only a few dealers in a territory to distribute its products or services. Generally these dealers are given a right to _____ distribution.

A) exclusive
Answer: A Diff: 1 Page Ref: 351 Skill: Concept Objective: 12-3

45) Which type of distribution is used when the producer wants more than one, but fewer than all, of the intermediaries who are willing to carry its products?

B) selective
Answer: B Diff: 1 Page Ref: 351 Skill: Concept Objective: 12-3

46) When establishing the responsibilities of channel members, the producer establishes a list price, sets discounts for intermediaries, and defines each channel member's_____.

B) territory
Answer: B Diff: 2 Page Ref: 351 Skill: Concept Objective: 12-3

47) Channel members should be evaluated using all of the following criteria EXCEPT which one?

D) channel leadership
Answer: D Diff: 3 Page Ref: 351 Skill: Concept Objective: 12-3

48) When a company compares the likely sales, costs, and profitability of different channel alternatives, it is using_____criteria to evaluate its channel options.

C) economic
Answer: C Diff: 2 Page Ref: 351 Skill: Concept Objective: 12-3

49) It is common for international marketers to_____their channel strategies for each country.

B) adapt
Answer: B Diff: 1 Page Ref: 352 AACSB: Multicultural and Diversity Skill: Concept Objective: 12-3

50) China and India each contain more than one billion people. However, companies can access only a small percentage of these potential markets due to_____.

A) inadequate distribution systems
Answer: A Diff: 3 Page Ref: 352 AACSB: Multicultural and Diversity Skill: Concept Objective: 12-3

51) Marketing channel management calls for selecting, managing,_____, and evaluating channel members over time.

C) motivating
Answer: C Diff: 2 Page Ref: 352 Skill: Concept Objective: 12-4

52) A company should think of its intermediaries as both its_____and _____.

B) customers; partners
Answer: B Diff: 2 Page Ref: 353 Skill: Concept Objective: 12-4

53) Most companies practice strong PRM to forge long-term relationships with channel members. What does PRM stand for?

D) partner relationship management
Answer: D Diff: 1 Page Ref: 353 AACSB: Communication
Skill: Concept Objective: 12-4

54) Sometimes a seller requires its dealers to abstain from handling competitors' products in an arrangement called_____.

B) exclusive dealing
Answer: B Diff: 2 Page Ref: 356 AACSB: Ethical Reasoning
Skill: Concept Objective: 12-4

55) Exclusive dealing is legal as long as it does not_____or tend to create a monopoly and as long as both parties enter into the agreement_____.

C) substantially lessen competition; voluntarily
Answer: C Diff: 3 Page Ref: 356 AACSB: Ethical Reasoning
Skill: Concept Objective: 12-4

56) Exclusive territorial agreements are normal in_____.

B) franchises
Answer: B Diff: 2 Page Ref: 356 AACSB: Ethical Reasoning
Skill: Concept Objective: 12-4

57) If the producer of a strong brand agrees to sell its brand to a dealer only if the dealer will take some or all of the rest of the line, the result is_____.

D) a tying agreement
Answer: D Diff: 2 Page Ref: 356 AACSB: Ethical Reasoning
Skill: Concept Objective: 12-4

58) Marketing logistics involves getting the right product to the right customer in the right place at the right time. Which one of the following is NOT included in this process?

D) gathering customer's ideas for new products
Answer: D Diff: 1 Page Ref: 356 Skill: Concept Objective: 12-5

59) Marketing logistics involves which of the following distribution flows?

B) outbound, inbound, and reverse
Answer: B Diff: 2 Page Ref: 356 Skill: Concept Objective: 12-5

60) Which of the following is NOT an area of responsibility for a logistics manager?

C) marketing
Answer: C Diff: 2 Page Ref: 356-357 Skill: Concept Objective: 12-5

61) Which of the following innovations has created opportunities for significant gains in distribution efficiency?

B) Web-based logistics systems
Answer: B Diff: 2 Page Ref: 357 AACSB: Use of IT Skill: Concept Objective: 12-5

62) The goal of marketing logistics should be to provide a_____level of customer service at the least cost.

B) targeted
Answer: B Diff: 2 Page Ref: 357 Skill: Concept Objective: 12-5

63) The difference between distribution centers and storage warehouses is that the former are designed to_____.

C) move goods rather than just store them
Answer: C Diff: 2 Page Ref: 358 Skill: Concept Objective: 12-5

64) To reduce inventory management costs, many companies use a system called _____, which involves carrying only small inventories of parts or merchandise, often only enough for a few days of operation.

B) just-in-time logistics
Answer: B Diff: 2 Page Ref: 359 AACSB: Use of IT Skill: Concept Objective: 12-5

65) Through the use of_____, or "smart tag" technology, a company is able to locate exactly where a product is within the supply chain.

A) RFID
Answer: A Diff: 2 Page Ref: 359 AACSB: Use of IT Skill: Concept Objective: 12-5

66) Which of the following transportation modes is used for digital products?

C) the Internet
Answer: C Diff: 1 Page Ref: 359 AACSB: Use of IT Skill: Concept Objective: 12-5

67) In choosing a transportation mode for a product, shippers must balance the considerations of speed, dependability, cost, and_____.

C) availability
Answer: C Diff: 3 Page Ref: 360 Skill: Concept Objective: 12-5

68) In the proper order, identify the correct terms for these intermodal transportation combinations: rail and truck, water and truck, water and rail.

D) piggyback; fishyback; trainship
Answer: D Diff: 2 Page Ref: 360 Skill: Concept Objective: 12-5

69) Companies manage their supply chains through_____.

B) information
Answer: B Diff: 2 Page Ref: 360 AACSB: Communication
Skill: Concept Objective: 12-5

70) Using_____, retailers can share real-time data on sales and current inventory levels with suppliers who take responsibility for ordering and delivering products to retailers, thereby saving time and money.

B) continuous inventory replenishment systems
Answer: B Diff: 2 Page Ref: 361 AACSB: Use of IT Skill: Concept
Objective: 12-5

71) Lancaster Box Company wants to provide better customer service while trimming distribution costs through teamwork, both inside the company and among all the marketing channel organizations. Lancaster Box is thinking of _____.

A) integrated logistics management
Answer: A Diff: 2 Page Ref: 361 AACSB: Communication
Skill: Concept Objective: 12-5

72) What is the goal of integrated supply chain management?

A) to reduce costs
B) to increase services with minimal cost through teamwork
C) to harmonize all of the company's logistics decisions
D) to reduce conflict and increase cooperation among channel members
E) all of the above
Answer: E Diff: 3 Page Ref: 361 AACSB: Communication
Skill: Concept Objective: 12-5

73) Smart companies coordinate their logistics strategies and forge strong partnerships with suppliers and customers to improve customer service and reduce channel costs through_____.

D) cross-functional, cross-company teams
Answer: D Diff: 3 Page Ref: 362 AACSB: Communication
Skill: Concept Objective: 12-5

74) The success of each channel member depends on the performance of _____.

B) the entire supply chain
Answer: B Diff: 2 Page Ref: 362 Skill: Concept Objective: 12-5

75) Today, a growing number of firms now outsource some or all of their logistics to_____.

D) third-party logistics providers
Answer: D Diff: 1 Page Ref: 362 Skill: Concept Objective: 12-5

76) In designing its marketing channel, Chairs for Every Occasion has moved from a make-andsell view of its business, which focused on productive inputs and factory capacity as a starting point for marketing planning, to a sense-and respond view, which begins instead with the needs of target customers. With this new view, Chairs for Every Occasion is developing its_____.

C) demand chain
Answer: C Diff: 3 Page Ref: 338 AACSB: Reflective Thinking
Skill: Application Objective: 12-1

77) Proud Pets, a producer of clothing and accessories for pets, has recently partnered with a regional chain of pet stores. Which of the following would Proud Pets be LEAST likely to expect from its new channel member?

D) identifying raw materials and other productive inputs
Answer: D Diff: 2 Page Ref: 340 AACSB: Reflective Thinking
Skill: Application Objective: 12-1

78) Steve's Physco Skates sells its products to Wal-Mart, who then sells them to the consumer. This is an example of a(n)_____.

C) indirect marketing channel
Answer: C Diff: 1 Page Ref: 341 AACSB: Reflective Thinking
Skill: Application Objective: 12-2

79) Joanie Calvert is experiencing a disagreement with intermediaries in the channel over who should do what and for what rewards. Joanie is experiencing _____.

B) channel conflict
Answer: B Diff: 1 Page Ref: 342 AACSB: Reflective Thinking
Skill: Application Objective: 12-2

80) When two Taco Bell restaurants have a disagreement over who should be able to sell in quantity at a discount to the local high school band, they are in a _____conflict.

D) horizontal
Answer: D Diff: 2 Page Ref: 342 AACSB: Reflective Thinking
Skill: Application Objective: 12-2

81) Staples Office Supply opened an online store that created competition with many of its dealers. The corporate office created a_____conflict.

A) vertical
Answer: A Diff: 2 Page Ref: 342 AACSB: Reflective Thinking
Skill: Application Objective: 12-2

82) Which of the following is an example of horizontal channel conflict?

A) managers of two separate Holiday Inns disagreeing over what constitutes poor service
D) the BMW dealership in Fort Wayne complaining that the BMW dealership in Indianapolis is situated too close
E) A and D
Answer: E Diff: 3 Page Ref: 342 AACSB: Reflective Thinking
Skill: Application Objective: 12-2

83) Which of the following is an example of a manufacturer-sponsored retailer franchise system?

C) Ford and its network of independent franchised dealers
Answer: C Diff: 3 Page Ref: 345 AACSB: Analytic Skills
Skill: Application Objective: 12-2

84) When McDonald's offers its products inside of a Wal-Mart store, it is following a_____.

C) contractual VMS
Answer: C Diff: 3 Page Ref: 345 AACSB: Reflective Thinking
Skill: Application Objective: 12-2

85) Which of the following is an example of a multichannel distribution system?

B) J. C. Penney's catalog and retail store sales
Answer: B Diff: 2 Page Ref: 346 AACSB: Reflective Thinking
Skill: Application Objective: 12-2

86) Blockbuster offers DVD rentals through its Total Access online rental service and through its bricks-and-mortar stores. This is an example of a(n)_____.

E) multichannel distribution system
Answer: E Diff: 1 Page Ref: 346 AACSB: Reflective Thinking
Skill: Application Objective: 12-2

87) When Netflix began delivering DVDs directly to customers through the mail instead of using a brick-and-mortar system, Netflix was following the trend of _____.

B) disintermediation
Answer: B Diff: 1 Page Ref: 347 AACSB: Reflective Thinking
Skill: Application Objective: 12-2

88) Chewing gum is stocked in many outlets in the same market or community; in fact, it is placed in as many outlets as possible. This is an example of _____distribution.

D) intensive
Answer: D Diff: 2 Page Ref: 351 AACSB: Reflective Thinking
Skill: Application Objective: 12-3

89) Which product(s) will most likely be intensively distributed?

D) Coca Cola
Answer: D Diff: 1 Page Ref: 351 AACSB: Analytic Skills
Skill: Application Objective: 12-3

90) Which product will most likely be exclusively distributed?

A) BMW cars
Answer: A Diff: 1 Page Ref: 351 AACSB: Analytic Skills
Skill: Application Objective: 12-3

91) Tiffany & Co jewelry can only be found in a limited number of intermediaries. This is an example of_____distribution.

A) exclusive
Answer: A Diff: 2 Page Ref: 351 AACSB: Reflective Thinking
Skill: Application Objective: 12-3

92) Why is it important for manufacturers to be sensitive to the needs of their dealers?

D) Dealer support is essential to creating value for the customer.
Answer: D Diff: 2 Page Ref: 353 AACSB: Analytic Skills
Skill: Application Objective: 12-4

93) Caterpillar, the famous heavy equipment manufacturer, has a reputation for working in harmony with its worldwide distribution network of independent dealers. Caterpillar has shared its successes with its dealers and protected its dealers during difficult economic times. This is an example of_____.

E) partner relationship management
Answer: E Diff: 2 Page Ref: 353 AACSB: Reflective Thinking
Skill: Application Objective: 12-4

94) Max Samuelson is a high-end fashion designer who markets his clothing lines through a limited number of highly reputable retailers. Max uses_____.

A) exclusive distribution
Answer: A Diff: 3 Page Ref: 356 AACSB: Reflective Thinking
Skill: Application Objective: 12-4

95) Jewels for the Rich and Famous sells very exclusive jewelry with a minimum price of $25,000 to customers around the world. Speed of delivery to distant markets is a must. Management should consider using_____as its main carrier.

B) air
Answer: B Diff: 2 Page Ref: 360 AACSB: Analytic Skills
Skill: Application Objective: 12-5

96) Grayville Rock and Gravel, located in a seaport town, sells rock, gravel, and sand to local markets. It has just been awarded a contract with a company 500 miles down the coast. Management should consider switching from truck to _____transport.

A) water
Answer: A Diff: 2 Page Ref: 360 AACSB: Analytic Skills
Skill: Application Objective: 12-5

97) When Home Depot allows key suppliers to use its stores as a testing ground for new merchandising programs, it is implementing a_____.

C) shared projects
Answer: C Diff: 2 Page Ref: 362 AACSB: Reflective Thinking
Skill: Application Objective: 12-5

98) UPS Supply Chain Solutions, which handles all of its clients' "grunt work" associated with logistics, is an example of_____.

D) a third-party logistics provider
Answer: D Diff: 2 Page Ref: 362 AACSB: Reflective Thinking
Skill: Application Objective: 12-5

Chapter 13 Retailing and Wholesaling

1) _____includes all the activities involved in selling products or services directly to final consumers for their personal, nonbusiness use.

B) Retailing
Answer: B Diff: 1 Page Ref: 370 Skill: Concept Objective: 13-1

2) In recent years,_____has/have been growing fast. This includes selling to final consumers through direct mail, catalogs, telephone, and the Internet.

D) nonstore retailing
Answer: D Diff: 1 Page Ref: 370 AACSB: Use of IT
Skill: Concept Objective: 13-1

3) _____is the basis of all discount operations and is typically used by sellers of convenience goods. Retailers offering this level of service require customers to perform their own "locate-compare- select" process in order to save money.

B) Self-service
Answer: B Diff: 2 Page Ref: 371 Skill: Concept Objective: 13-1

4) _____, such as Sears, provide more sales assistance because they carry more shopping goods about which customers need information. Their increased operating costs result in higher prices.

D) Limited-service retailers
Answer: D Diff: 2 Page Ref: 371 Skill: Concept Objective: 13-1

5) Which type of stores usually carry more specialty goods for which customers like to be "waited on" and have much higher operating costs, which are passed along to the customer?

C) full-service stores
Answer: C Diff: 2 Page Ref: 372 Skill: Concept Objective: 13-1

6) Which of the following retailers likely require the most emphasis on salespeople to assist customers?

B) full-service retailers
Answer: B Diff: 2 Page Ref: 372 Skill: Concept Objective: 13-1

7) _____carry narrow product lines with deep assortments within those lines.

B) Specialty stores
Answer: B Diff: 1 Page Ref: 372 Skill: Concept Objective: 13-1

8) Specialty stores carry_____with_____within them.

B) narrow product lines; deep assortments
Answer: B Diff: 2 Page Ref: 372 Skill: Concept Objective: 13-1

9) Which type of store carries a wide variety of product lines and differentiates itself through service, but has been squeezed in recent years between more focused and flexible specialty stores on the one hand and more efficient, lower-priced discounters on the other?

B) department
Answer: B Diff: 2 Page Ref: 372 Skill: Concept Objective: 13-1

10) _____are facing slow sales growth because of slower population growth, increased competition, and the rapid growth of out-of-home eating.

D) Supermarkets
Answer: D Diff: 2 Page Ref: 372 Skill: Concept Objective: 13-1

11) Which type of retailer tends to be the most frequently shopped?

D) supermarkets
Answer: D Diff: 2 Page Ref: 372 Skill: Concept Objective: 13-1

12) Which type of small store carries a limited line of high-turnover convenience goods and makes most of its revenues from cigarette, beverage, and gasoline sales?

A) convenience
Answer: A Diff: 1 Page Ref: 372 Skill: Concept Objective: 13-1

13) Which type of store is much larger than regular supermarkets and offers a large assortment of routinely purchased food products, nonfood items, and services?

D) superstore
Answer: D Diff: 1 Page Ref: 373 Skill: Concept Objective: 13-1

14) Which type of store carries a deep assortment, has knowledgeable staff, and might actually be viewed as a giant specialty store?

A) category killer
Answer: A Diff: 1 Page Ref: 374 Skill: Concept Objective: 13-1

15) Service retailers include all of the following EXCEPT_____.

E) convenience stores
Answer: E Diff: 2 Page Ref: 374 Skill: Concept Objective: 13-1

16) _____retailers in the United States are growing faster than product retailers.

C) Service
Answer: C Diff: 3 Page Ref: 374 Skill: Concept Objective: 13-1

17) _____sell standard merchandise at lower prices by accepting lower margins and selling higher volume.

B) Discount stores
Answer: B Diff: 2 Page Ref: 374 Skill: Concept Objective: 13-1

18) Early_____cut expenses by offering few services and operating in warehouse-like facilities in low-rent, heavily traveled districts.

C) discount stores
Answer: C Diff: 2 Page Ref: 374 Skill: Concept Objective: 13-1

19) _____have filled the ultralow-priced, high-volume gap by buying at less-than-regular wholesale prices and charging consumers less than retail.

A) Off-price retailers
Answer: A Diff: 1 Page Ref: 374 Skill: Concept Objective: 13-1

20) Which of the following is NOT one of the main types of off-price retailers?

D) category killers
Answer: D Diff: 2 Page Ref: 374 Skill: Concept Objective: 13-1

21) _____, which buy at less-than-regular wholesale prices and charge consumers less than retail, are independently owned and run or are divisions of larger retail corporations.

D) Independent off-price retailers
Answer: D Diff: 2 Page Ref: 374 Skill: Concept Objective: 13-1

22) _____are sometimes several stores grouped together. These stores offer prices as low as 50 percent below retail on a wide range of mostly surplus, discounted, or irregular items.

B) Factory outlets
Answer: B Diff: 1 Page Ref: 374 Skill: Concept Objective: 13-1

23) Manufacturers send last year's merchandise and seconds to_____, while they send new merchandise to department stores.

C) factory outlets
Answer: C Diff: 2 Page Ref: 376 Skill: Concept Objective: 13-1

24) _____operate in warehouse-like facilities, sell a limited selection of items, and offer few frills. Customers pay annual membership fees and are able to purchase goods at deep discounts.

A) Warehouse clubs
Answer: A Diff: 1 Page Ref: 376 Skill: Concept Objective: 13-1

25) _____are two or more outlets that are commonly owned and controlled.

A) Chain stores
Answer: A Diff: 1 Page Ref: 376 Skill: Concept Objective: 13-1

26) As a result of the great success of corporate chains, many independent stores chose to band together in either a voluntary chain or a(n)_____.

B) retailer cooperative
Answer: B Diff: 2 Page Ref: 376 Skill: Concept Objective: 13-1

27) The main difference between_____organizations and other contractual systems is that these systems are normally based on some unique product or service.

C) franchise
Answer: C Diff: 2 Page Ref: 377 Skill: Concept Objective: 13-1

28) Merchandising_____are corporations that combine several different retailing forms under central ownership.

A) conglomerates
Answer: A Diff: 2 Page Ref: 377 Skill: Concept Objective: 13-1

29) Retail assortments are looking more and more alike because_____.

B) national-brand manufacturers have placed their products almost everywhere
Answer: B Diff: 3 Page Ref: 378 Skill: Concept Objective: 13-2

30) Until retailers_____and_____their markets, they cannot make consistent decisions about product assortment, services, pricing, advertising, store décor, or any of the other decisions that must support their positions.

C) define; profile
Answer: C Diff: 3 Page Ref: 378 Skill: Concept Objective: 13-2

31) Service differentiation among retailers has_____.

B) decreased
Answer: B Diff: 2 Page Ref: 378 Skill: Concept Objective: 13-2

32) A retailer may fail because it tries to provide "something for everyone" and ends up satisfying no market well. Successful retailers_____their target markets well and position themselves strongly.

D) define
Answer: D Diff: 2 Page Ref: 379 Skill: Concept Objective: 13-2

33) A retailer's_____should differentiate the retailer while matching target shoppers' expectations. One strategy is to offer merchandise that no other competitor carries.

C) product assortment
Answer: C Diff: 2 Page Ref: 380 Skill: Concept Objective: 13-2

34) While all retailers would like to achieve_____while charging_____, the two seldom happen together.

C) high volume; high markups
Answer: C Diff: 2 Page Ref: 381 Skill: Concept Objective: 13-2

35) In-store demonstrations, displays, contests, and visiting celebrities are examples of_____.

B) sales promotions
Answer: B Diff: 2 Page Ref: 381 AACSB: Communication
Skill: Concept Objective: 13-2

36) Press conferences and speeches, store openings, special events, newsletters, magazines, and public service activities are examples of ways retailers use _____.

A) public relations
Answer: A Diff: 2 Page Ref: 381 AACSB: Communication
Skill: Concept Objective: 13-2

37) Of the following, what would most retailers consider to be the most important factor in retailing success?

D) location
Answer: D Diff: 3 Page Ref: 382 Skill: Concept Objective: 13-2

38) Why do stores cluster together?

B) to increase their customer pulling power
Answer: B Diff: 2 Page Ref: 382 Skill: Concept Objective: 13-2

39) _____were the main form of retail cluster until the 1950s.

D) Central business districts
Answer: D Diff: 3 Page Ref: 382 Skill: Concept Objective: 13-2

40) A_____is a group of retail businesses planned, developed, owned, and managed as a unit.

C) shopping center
Answer: C Diff: 2 Page Ref: 383 Skill: Concept Objective: 13-2

41) A_____contains from 40 to 200 stores, is like a covered mini-downtown, and attracts customers from a wide area.

D) regional shopping center
Answer: D Diff: 2 Page Ref: 383 Skill: Concept Objective: 13-2

42) A_____contains between 15 and 40 retail stores, including a department or variety store, a supermarket, specialty stores, professional offices, and sometimes a bank.

A) community shopping center
Answer: A Diff: 2 Page Ref: 383 Skill: Concept Objective: 13-2

43) Most shopping centers are_____containing between 5 and 15 stores; they are close and convenient for consumers.

C) strip malls
Answer: C Diff: 2 Page Ref: 383 Skill: Concept Objective: 13-2

44) Today's trend in retail clusters is toward_____, huge unenclosed shopping centers consisting of a long strip of retail stores, including at least one large, freestanding anchor store like Wal-Mart. Each store has its own entrance with parking directly in front for shoppers who wish to visit only one store.

B) power centers
Answer: B Diff: 2 Page Ref: 384 Skill: Concept Objective: 13-2

45) A_____is a smaller mall with upscale stores, convenient locations, and expensive atmosphere. It is typically located near affluent residential neighborhoods.

B) lifestyle center
Answer: B Diff: 2 Page Ref: 384 Skill: Concept Objective: 13-2

46) The original warehouse store chain,_____, began in 1976.

B) Price Club
Answer: B Diff: 3 Page Ref: 384 Skill: Concept Objective: 13-3

47) According to the_____concept, new retailing forms often begin as low-margin, low-price, low-status operations to challenge established retailers, then become successful, and eventually take the place of the established retailers they had challenged.

C) wheel-of-retailing
Answer: C Diff: 2 Page Ref: 384-385 Skill: Concept Objective: 13-3

48) Mail-order, phone, and online shopping are all examples of_____.

B) nonstore retailing
Answer: B Diff: 2 Page Ref: 385 AACSB: Use of IT Skill: Concept Objective: 13-3

49) Which of the following has NOT contributed to the growth of online business?

C) concerns about online privacy and security
Answer: C Diff: 2 Page Ref: 385 AACSB: Use of IT Skill: Concept Objective: 13-3

50) More growth in online retailing is expected from_____retailers than other retail types.

A) click-and-brick
Answer: A Diff: 2 Page Ref: 385 AACSB: Use of IT Skill: Concept Objective: 13-3

51) The merging of consumers, products, prices, and retailers is called_____.

D) retail convergence
Answer: D Diff: 2 Page Ref: 386 Skill: Concept Objective: 13-3

52) Convergence means greater_____for retailers and greater difficulty in _____ offerings.

D) competition; differentiating
Answer: D Diff: 3 Page Ref: 386 Skill: Concept Objective: 13-3

53) The rise of huge mass merchandisers and specialty superstores, along with retail mergers and acquisitions, has created a core group of very large and very powerful _____.

C) superpower megaretailers
Answer: C Diff: 2 Page Ref: 386 Skill: Concept Objective: 13-3

54) Retail convergence is a merging of all of the following EXCEPT_____.

B) employees
Answer: B Diff: 2 Page Ref: 386 Skill: Concept Objective: 13-3

55) Touch-screen kiosks, customer-loyalty cards, handheld shopping assistants, and self-scanning checkout systems are all examples of how retailers use technology to_____.

C) meet consumers' expectations
Answer: C Diff: 3 Page Ref: 387 AACSB: Use of IT
Skill: Concept Objective: 13-3

56) Most_____retailers are significantly behind _____retailers in global expansion.

C) American; European and Asian
Answer: C Diff: 3 Page Ref: 388 AACSB: Multicultural and Diversity
Skill: Concept Objective: 13-3

57) _____, the world's second largest retailer after Wal-Mart, has embarked on an aggressive mission to extend its role as a leading international retailer.

C) Carrefour
Answer: C Diff: 3 Page Ref: 388 AACSB: Multicultural and Diversity
Skill: Concept Objective: 13-3

58) _____includes all activities involved in selling goods and services to those buying for resale or business use.

A) Wholesaling
Answer: A Diff: 1 Page Ref: 389 Skill: Concept Objective: 13-4

59) _____buy mostly from producers and sell to retailers and industrial consumers.

C) Wholesalers
Answer: C Diff: 2 Page Ref: 389 Skill: Concept Objective: 13-4

60) Which wholesaler's channel function is demonstrated when a wholesaler's sales force helps a manufacturer to reach many small customers at a low cost?

B) selling and promoting
Answer: B Diff: 2 Page Ref: 390 Skill: Concept Objective: 13-4

61) Which of the following is NOT one of a wholesaler's channel functions?

D) off-price retailing
Answer: D Diff: 3 Page Ref: 390 Skill: Concept Objective: 13-4

62) Which wholesaler's channel function is demonstrated when a wholesaler reduces inventory holding costs and risks to suppliers and customers?

D) warehousing
Answer: D Diff: 3 Page Ref: 390 Skill: Concept Objective: 13-4

63) Which wholesaler's channel function is demonstrated when a buyer receives quicker delivery because wholesalers are located closer than producers?

D) warehousing
Answer: D Diff: 2 Page Ref: 390 Skill: Concept Objective: 13-4

64) Which of the following is NOT one of the major classifications of wholesalers?

D) specialty wholesalers
Answer: D Diff: 2 Page Ref: 390 Skill: Concept Objective: 13-4

65) _____are the largest group of wholesalers. The group can be divided into the two broad types of full-service and limited-service.

D) Merchant wholesalers
Answer: D Diff: 2 Page Ref: 390 Skill: Concept Objective: 13-4

66) In order to_____, wholesalers can propose automatic reordering systems, set up management-training and advising systems, or even sponsor a voluntary chain.

D) build better relationships with customers
Answer: D Diff: 2 Page Ref: 392 AACSB: Communication
Skill: Concept Objective: 13-4

67) _____and_____do not take title to goods, and they perform only a few channel functions.

B) Brokers; agents
Answer: B Diff: 2 Page Ref: 390 Skill: Concept Objective: 13-4

68) A(n)_____brings buyers and sellers together and assists in negotiations.

B) broker
Answer: B Diff: 1 Page Ref: 390 AACSB: Communication
Skill: Concept Objective: 13-4

69) _____, or manufacturers' representatives, represent a buyer or seller on a more permanent basis.

C) Agents
Answer: C Diff: 2 Page Ref: 390 AACSB: Communication
Skill: Concept Objective: 13-4

70) Like retailers, wholesalers must_____their target markets and _____ themselves effectively, for they cannot serve everyone.

A) define; position
Answer: A Diff: 3 Page Ref: 390 Skill: Concept Objective: 13-4

71) Which type of limited-service wholesaler is owned by farmers who assemble farm produce to sell in local markets?

D) producer's cooperative
Answer: D Diff: 2 Page Ref: 391 Skill: Concept Objective: 13-4

72) Which type of wholesaler sells primarily to manufacturers rather than to retailers?

B) industrial distributors
Answer: B Diff: 2 Page Ref: 391 Skill: Concept Objective: 13-4

73) Many wholesalers are not_____-minded; they are behind the times in personal selling, seeing selling as a single salesperson talking to a single customer instead of as a team effort.

B) promotion
Answer: B Diff: 2 Page Ref: 393 AACSB: Communication
Skill: Concept Objective: 13-4

74) Today's large, progressive wholesalers have successfully reacted to rising costs by_____.

B) investing in information technology systems
Answer: B Diff: 3 Page Ref: 393 AACSB: Use of IT
Skill: Concept Objective: 13-4

75) Savvy wholesalers realize that their only reason for existence comes from increasing the efficiency and effectiveness of the_____.

E) entire marketing channel
Answer: E Diff: 2 Page Ref: 393 Skill: Concept Objective: 13-4

76) At Neiman Marcus, a first-class department store, customers shop for specialty products and have come to expect assistance in every phase of the shopping process. Neiman Marcus is a_____.

C) full-service retailer
Answer: C Diff: 1 Page Ref: 372 AACSB: Reflective Thinking
Skill: Application Objective: 13-1

77) GameStop sells video games and systems, offering a narrow product line with a deep assortment within that line. GameStop is a _____.

D) specialty store
Answer: D Diff: 1 Page Ref: 371 AACSB: Reflective Thinking
Skill: Application Objective: 13-1

78) 7-Eleven, Stop-N-Go, and Circle K, small stores that traditionally have had a primary market of young, blue-collar men, are examples of _____.

B) convenience stores
Answer: B Diff: 1 Page Ref: 372 AACSB: Reflective Thinking
Skill: Application Objective: 13-1

79) Overstock.com, a Web seller that buys furniture, clothing, electronics, and more from a variety of producers at less-than-regular wholesale prices and then charges customers less than retail, is a(n)_____.

B) independent off-price retailer
Answer: B Diff: 2 Page Ref: 374 AACSB: Reflective Thinking
Skill: Application Objective: 13-1

80) A growing number of outlet malls now feature brands such as Coach, Polo Ralph Lauren, Dolce & Gabbana, and Giorgio Armani, causing_____to protest to the manufacturers of these brands.

D) department stores
Answer: D Diff: 3 Page Ref: 374 AACSB: Analytic Skills
Skill: Application Objective: 13-1

81) McDonald's, Subway, and Pizza Hut are all examples of a _____.

C) franchise
Answer: C Diff: 2 Page Ref: 377 AACSB: Reflective Thinking
Skill: Application Objective: 13-1

82) In the battle for "share of stomachs," some supermarkets are cutting costs and attempting to compete more effectively with food discounters, while others are moving upscale, providing improved store environments and higher-quality food offerings. These two different strategies represent differences in _____.

A) positioning
Answer: A Diff: 2 Page Ref: 378 AACSB: Reflective Thinking
Skill: Application Objective: 13-2

83) 7-Eleven has recently begun to redesign and restock its stores to offer a more upscale environment and products, such as house wines and fresh foods. 7-Eleven has changed its_____.

A) positioning
Answer: A Diff: 2 Page Ref: 378 AACSB: Reflective Thinking
Skill: Application Objective: 13-2

84) Big and Tall Men's Shop carries goods in larger sizes; this allows the store to _____other stores.

B) differentiate itself from
Answer: B Diff: 1 Page Ref: 380 AACSB: Reflective Thinking
Skill: Application Objective: 13-2

85) Costco's surprise offerings of seconds, overstocks, and closeouts occasionally including diamonds is an example of how a retailer can differentiate itself through_____.

A) product assortment
Answer: A Diff: 2 Page Ref: 380 AACSB: Reflective Thinking
Skill: Application Objective: 13-2

86) Home Depot offers "how-to" classes for do-it-yourselfers, featuring instructions on how to complete home improvement projects using products sold at its stores. This is an example of how Home Depot has differentiated itself through its_____.

B) services mix
Answer: B Diff: 2 Page Ref: 380 AACSB: Reflective Thinking
Skill: Application Objective: 13-2

87) Which of the following types of retailers is most likely to practice everyday low pricing (EDLP)?

A) discount stores
Answer: A Diff: 2 Page Ref: 381 AACSB: Analytic Skills
Skill: Application Objective: 13-2

88) Which of the following describes a way that Costco and Wal-Mart are similar?

D) Both use everyday low pricing.
Answer: D Diff: 3 Page Ref: 381 AACSB: Analytic Skills
Skill: Application Objective: 13-2

89) Macy's department stores carry a wide range of product lines, including clothing, jewelry, kitchenware, and home furnishings. Macy's typically charges a relatively high markup, but also holds frequent sales and price promotions, in particular offering discounts to customers who use a Macy's credit card. Macy's uses_____.

C) high-low pricing
Answer: C Diff: 2 Page Ref: 381 AACSB: Reflective Thinking
Skill: Application Objective: 13-2

90) Which of the following may be true about shoppers who prefer to shop at "lifestyle centers"?

B) They prefer upscale stores.
Answer: B Diff: 3 Page Ref: 384 AACSB: Analytic Skills
Skill: Application Objective: 13-2

91) Which of the following is most likely the greatest factor in the increasingly short life cycle of new retail forms?

A) changes in technology
Answer: A Diff: 3 Page Ref: 385 AACSB: Analytic Skills
Skill: Application Objective: 13-3

92) Carey David's wholesale company helps retailers train salesclerks, improve store layouts and displays, and set up inventory control systems. The channel function Cary David's is providing is_____.

E) management services and advice
Answer: E Diff: 2 Page Ref: 390 AACSB: Reflective Thinking
Skill: Application Objective: 13-4

93) You own an independent store in your neighborhood. You still like to offer fresh seafood in your meat display case. Which type of wholesaler might best serve you?

A) cash-and-carry wholesaler
Answer: A Diff: 3 Page Ref: 391 AACSB: Analytic Skills
Skill: Application Objective: 13-4

94) You own a neighborhood grocery store and would like to have non-food items delivered, priced, displayed and inventoried by a wholesaler. You do not want to purchase title to the goods. Which type of wholesaler best fits your needs?

B) rack jobber
Answer: B Diff: 3 Page Ref: 391 AACSB: Analytic Skills
Skill: Application Objective: 13-4

95) Kiera Roselli, a general merchandise wholesaler, constantly looks for better ways to meet the needs of her suppliers and target customers. She knows that her business adds value by increasing the efficiency and effectiveness of the _____.

B) entire marketing channel
Answer: B Diff: 2 Page Ref: 393 AACSB: Analytic Skills
Skill: Application Objective: 13-4

96) SuperValu, traditionally classified as a food wholesaler, has recently started or acquired several retail food chains of its own, including Albertsons, Jewel-Osco, and Cub Foods. Which of the following trends is this an example of?

E) the blurring of distinctions between retailers and wholesalers
Answer: E Diff: 2 Page Ref: 394 AACSB: Analytic Skills
Skill: Application Objective: 13-4

Chapter 14 Communicating Customer Value: Integrated Marketing Communication Strategy

1) A company's total marketing communications mix consists of a special blend of advertising, sales promotion, public relations, personal selling, and direct-marketing tools that the company uses to communicate customer value and build customer relationships. This is also called_____.

C) the promotion mix
Answer: C Diff: 1 Page Ref: 402 AACSB: Communication
Skill: Concept Objective: 14-1

2) The use of short-term incentives to encourage the purchase or sale of a product or service is called_____.

B) sales promotions
Answer: B Diff: 2 Page Ref: 402 AACSB: Communication
Skill: Concept Objective: 14-1

3) Any paid form of nonpersonal presentation and promotion of ideas, goods, or services by an identified sponsor is called_____.

B) advertising
Answer: B Diff: 1 Page Ref: 402 AACSB: Communication
Skill: Concept Objective: 14-1

4) Which of the five major promotion tools includes building up a positive corporate image and handling unfavorable stories and events?

D) public relations
Answer: D Diff: 2 Page Ref: 402 AACSB: Communication
Skill: Concept Objective: 14-1

5) Which of the following is NOT a major category in a company's promotion mix?

B) strategic positioning
Answer: B Diff: 2 Page Ref: 402 AACSB: Communication
Skill: Concept Objective: 14-1

6) Which major promotion category makes use of catalogs, telephone marketing, kiosks, and the Internet?

B) direct marketing
Answer: B Diff: 2 Page Ref: 402 AACSB: Communication
Skill: Concept Objective: 14-1

7) Which major promotion category makes use of displays, discounts, coupons, and demonstrations?

A) sales promotion
Answer: A Diff: 2 Page Ref: 403 AACSB: Communication
Skill: Concept Objective: 14-1

8) The promotion mix is the company's primary communication activity; the marketing mix must be coordinated for the greatest communication impact. What is NOT included in the entire marketing mix?

B) Competitor
Answer: B Diff: 2 Page Ref: 403 Skill: Concept Objective: 14-1

9) Mass-media advertising routinely involves a company investing millions or even billions of dollars to reach tens of_____of customers with a single ad.

C) millions
Answer: C Diff: 1 Page Ref: 403 AACSB: Communication
Skill: Concept Objective: 14-2

10) Today's consumers do not need to rely on marketer-supplied information about products and services because they can use _____to seek out a wealth of information.

C) the Internet and other technologies
Answer: C Diff: 1 Page Ref: 403 AACSB: Use of IT
Skill: Concept Objective: 14-2

11) Which of the following is NOT a factor in the changes occurring in today's marketing communications?

D) Mass media no longer capture the majority of promotional budgets.
Answer: D Diff: 3 Page Ref: 403 AACSB: Communication
Skill: Concept Objective: 14-2

12) Moving away from_____, marketers have been shifting toward highly focused marketing, spawning a new generation of more specialized and highly targeted communications efforts.

A) mass marketing
Answer: A Diff: 2 Page Ref: 403 AACSB: Communication
Skill: Concept Objective: 14-2

13) Which of the following is NOT an example of a specialized and highly-targeted media that an advertiser might use to reach smaller customer segments?

D) network television
Answer: D Diff: 2 Page Ref: 404 AACSB: Use of IT Skill: Concept Objective: 14-2

14) Companies are doing less_____and more_____as a result of an explosion of more focused media that better match today's targeting strategies.

D) broadcasting; narrowcasting
Answer: D Diff: 2 Page Ref: 404 AACSB: Communication Skill: Concept Objective: 14-2

15) In the "chaos scenario" predicted by some advertising industry experts, the old mass-media communications model will be abandoned in favor of_____.

D) the possibilities of new digital technologies
Answer: D Diff: 2 Page Ref: 404 AACSB: Use of IT Skill: Concept Objective: 14-2

16) All of the following are reasons that marketers are losing confidence in television advertising EXCEPT which one?

B) TV and other mass media still capture the lion share of promotional budgets.
Answer: B Diff: 3 Page Ref: 404 AACSB: Communication Skill: Concept Objective: 14-2

17) Companies often fail to integrate their various communications to consumers because_____.

C) communications often come from different parts of the company
Answer: C Diff: 2 Page Ref: 405 AACSB: Communication Skill: Concept Objective: 14-2

18) All too often companies today have failed to_____their various communications channels, resulting in a hodgepodge of communications to consumers.

C) integrate
Answer: C Diff: 1 Page Ref: 405 AACSB: Communication Skill: Concept Objective: 14-2

19) Consumers today receive commercial messages from a broad range of sources. However, consumers_____the way marketers do.

A) don't distinguish between message sources
Answer: A Diff: 2 Page Ref: 405 AACSB: Communication
Skill: Concept Objective: 14-2

20) More companies are adopting the concept of_____, which carefully integrates and coordinates the company's many communication channels to deliver a clear, consistent, and compelling message about the organization and its brands.

A) integrated marketing communications
Answer: A Diff: 3 Page Ref: 405 AACSB: Communication
Skill: Concept Objective: 14-2

21) Advertising, sales promotion, personal selling, public relations, and direct marketing are all_____.

A) communications channels that should be integrated under the concept of integrated marketing communications
Answer: A Diff: 2 Page Ref: 405 AACSB: Communication
Skill: Concept Objective: 14-2

22) Integrated marketing communications require a company's mass-market advertisements, Web site, e-mail, and personal selling communications to all have_____.

E) the same message, look, and feel
Answer: E Diff: 2 Page Ref: 406 AACSB: Communication
Skill: Concept Objective: 14-2

23) To produce better communications consistency, a unified company image, and greater sales impact, some companies employ a(n)_____.

B) marketing communications director
Answer: B Diff: 2 Page Ref: 407 AACSB: Communication
Skill: Concept Objective: 14-2

24) Integrated marketing communications produces better communications _____and greater_____impact.

A) consistency; sales
Answer: A Diff: 2 Page Ref: 407 AACSB: Communication
Skill: Concept Objective: 14-2

25) Today, marketers are moving toward viewing communications as managing the_____over time.

D) customer relationship
Answer: D Diff: 2 Page Ref: 407 AACSB: Communication
Skill: Concept Objective: 14-3

26) Integrated marketing communications involves identifying the target audience and shaping a well-coordinated_____to elicit the desired audience response.

C) promotional program
Answer: C Diff: 2 Page Ref: 407 AACSB: Communication
Skill: Concept Objective: 14-3

27) Using integrated marketing communications, the communications process should start with_____.

D) an audit of all the potential customer touch points
Answer: D Diff: 3 Page Ref: 408 AACSB: Communication
Skill: Concept Objective: 14-3

28) Which of the following is NOT one of the four major communication functions?

C) noise
Answer: C Diff: 2 Page Ref: 408 AACSB: Communication
Skill: Concept Objective: 14-3

29) The communication channel a company uses to move its advertising messages from sender to receiver is called the_____.

B) media
Answer: B Diff: 2 Page Ref: 408 AACSB: Communication
Skill: Concept Objective: 14-3

30) The receiver assigns meaning to the symbols encoded by a company in its advertisements through a process known as_____.

D) decoding
Answer: D Diff: 2 Page Ref: 408 AACSB: Communication
Skill: Concept Objective: 14-3

31) In the communication process, the reaction of the receiver after being exposed to a message is called the_____.

A) response
Answer: A Diff: 1 Page Ref: 409 AACSB: Communication
Skill: Concept Objective: 14-3

32) When a customer lets a producer know something about its products or advertising, the customer is providing_____.

C) feedback
Answer: C Diff: 2 Page Ref: 409 AACSB: Communication
Skill: Concept Objective: 14-3

33) A consumer is reading a magazine with an advertisement, but is distracted from reading the advertisement or its key points. This unplanned static or distortion during the communication process is called_____.

A) noise
Answer: A Diff: 2 Page Ref: 409 AACSB: Communication
Skill: Concept Objective: 14-3

34) In the communication process, the more the sender's field of experience _____that of the receiver, the more_____the message is likely to be.

B) overlaps with; effective
Answer: B Diff: 3 Page Ref: 409 AACSB: Communication
Skill: Concept Objective: 14-3

35) To communicate effectively, a marketing communicator must_____the consumer's field of experience.

C) understand
Answer: C Diff: 2 Page Ref: 409 AACSB: Communication
Skill: Concept Objective: 14-3

36) Marketing communicators must be good at_____messages that take into account how the target audience_____them.

C) encoding; decodes
Answer: C Diff: 3 Page Ref: 409 AACSB: Communication
Skill: Concept Objective: 14-3

37) Marketing communicators must do all of the following EXCEPT_____.

B) deliver products to the customer
Answer: B Diff: 2 Page Ref: 409 AACSB: Communication
Skill: Concept Objective: 14-3

38) The six_____stages that consumers normally pass through on their way to making a purchase include awareness, knowledge, liking, preference, conviction, and purchase.

B) buyer-readiness
Answer: B Diff: 2 Page Ref: 409 Skill: Concept Objective: 14-3

39) The six buyer-readiness stages include all of the following EXCEPT _____.

E) hesitation
Answer: E Diff: 2 Page Ref: 409 Skill: Concept Objective: 14-3

40) In the model of buyer-readiness stages, the first stage is_____.

D) awareness
Answer: D Diff: 1 Page Ref: 409 Skill: Concept Objective: 14-3

41) All of the following are strategies a marketer would use to lead consumers into making the final step toward a purchase EXCEPT which one?

D) use extensive "teaser" advertising
Answer: D Diff: 3 Page Ref: 410 AACSB: Communication
Skill: Concept Objective: 14-3

42) A message showing a product's quality, economy, value, or performance is called a(n)_____appeal.

B) rational
Answer: B Diff: 2 Page Ref: 411 AACSB: Communication
Skill: Concept Objective: 14-3

43) Marketers using humor in their messages claim that they attract more attention and create more loyalty and belief in the brand. This type of message is called a(n)_____appeal.

C) emotional
Answer: C Diff: 2 Page Ref: 411 AACSB: Communication
Skill: Concept Objective: 14-3

44) Though a popular appeal, when used poorly_____can detract from comprehension, quickly wear out its welcome, overshadow the product, or even irritate consumers.

A) humor
Answer: A Diff: 3 Page Ref: 411 AACSB: Communication
Skill: Concept Objective: 14-3

45) Moral appeals are directed to the audience's sense of what is "right" and _____.

A) proper
Answer: A Diff: 2 Page Ref: 411 AACSB: Communication
Skill: Concept Objective: 14-3

46) The communicator must decide how to handle message structure issues. One issue is whether to_____or not.

A) draw a conclusion
Answer: A Diff: 3 Page Ref: 411 AACSB: Communication
Skill: Concept Objective: 14-3

47) A(n)_____argument is only likely to be effective when the audience is highly educated or likely to hear opposing claims, or when the communicator has a negative association to overcome.

A) two-sided
Answer: A Diff: 3 Page Ref: 412 AACSB: Communication
Skill: Concept Objective: 14-3

48) In designing the message structure, marketers must decide whether to present the_____arguments first or last in a message.

D) strongest
Answer: D Diff: 2 Page Ref: 411 AACSB: Communication
Skill: Concept Objective: 14-3

49) The two broad types of_____channels are personal and nonpersonal.

C) communication
Answer: C Diff: 1 Page Ref: 412 AACSB: Communication
Skill: Concept Objective: 14-3

50) Communication through the mail is categorized as a(n) _____ communication channel.

C) personal
Answer: C Diff: 2 Page Ref: 412 AACSB: Communication
Skill: Concept Objective: 14-3

51) Creating word-of-mouth campaigns by cultivating opinion leaders and getting them to spread information about a product or service to others in their communities is known as_____.

C) buzz marketing
Answer: C Diff: 1 Page Ref: 413 AACSB: Communication
Skill: Concept Objective: 14-3

52) Nonpersonal communication channels include major media,_____, and events.

C) atmospheres
Answer: C Diff: 2 Page Ref: 413 AACSB: Communication
Skill: Concept Objective: 14-3

53) Vast numbers of consumers are aware of your product. It is now your goal to enhance preference for your product. You plan to use nonpersonal communications through print media. This will include all of the following EXCEPT_____.

C) Internet "chats"
Answer: C Diff: 1 Page Ref: 413 AACSB: Communication
Skill: Concept Objective: 14-3

54) To_____, a marketer can ask target audience members whether they remember the message, how many times they saw it, and what points they remember.

B) collect feedback
Answer: B Diff: 2 Page Ref: 414 AACSB: Communication
Skill: Concept Objective: 14-3

55) _____from marketing communications may suggest changes in the promotion program or in the product offer itself.

C) Feedback
Answer: C Diff: 2 Page Ref: 414 AACSB: Communication
Skill: Concept Objective: 14-3

56) Companies use all of the following methods to set their advertising budget EXCEPT the_____.

B) integrated method
Answer: B Diff: 1 Page Ref: 415 Skill: Concept Objective: 14-4

57) Using the_____method for setting an advertising budget, the company starts with total revenues, deducts operating expenses and capital outlays, and then devotes some portion of the remaining funds to advertising.

E) affordable
Answer: E Diff: 2 Page Ref: 415 Skill: Concept Objective: 14-4

58) Though the_____method of setting an advertising budget is simple to use and helps management think about the relationships among promotion spending, selling price, and profit per unit, it wrongly views sales as the cause of promotion rather than the result.

A) percentage-of-sales
Answer: A Diff: 2 Page Ref: 415 Skill: Concept Objective: 14-4

59) Which method of setting an advertising budget is based on analyzing competitors' spending?

C) competitive-parity method
Answer: C Diff: 2 Page Ref: 416 Skill: Concept Objective: 14-4

60) Perhaps the most logical budget-setting method is the_____method because it is based on spending necessary to accomplishing specific promotion goals.

D) objective-and-task
Answer: D Diff: 2 Page Ref: 416 Skill: Concept Objective: 14-4

61) Advertising has some shortcomings. What is NOT one of them?

C) It slowly reaches many people.
Answer: C Diff: 3 Page Ref: 417 AACSB: Communication
Skill: Concept Objective: 14-4

62) _____is the company's most expensive promotion tool.

B) Personal selling
Answer: B Diff: 3 Page Ref: 417 Skill: Concept Objective: 14-4

63) Which promotional tool is most effective in building up buyers' preferences, convictions, and, most importantly, actions?

B) personal selling
Answer: B Diff: 2 Page Ref: 417 AACSB: Communication
Skill: Concept Objective: 14-4

64) Sales promotion features a wide assortment of tools. Which of the following is NOT one of these tools?

C) catalogs
Answer: C Diff: 2 Page Ref: 417 AACSB: Communication
Skill: Concept Objective: 14-4

65) "Buy it now" is the message of_____.

D) sales promotion
Answer: D Diff: 2 Page Ref: 417 AACSB: Communication
Skill: Concept Objective: 14-4

66) _____consists of strong short-term incentives that invite and reward quick responses from customers.

D) Sales promotion
Answer: D Diff: 1 Page Ref: 417 AACSB: Communication
Skill: Concept Objective: 14-4

67) _____is very believable because news stories, features, sponsorships, and events seem more real and believable to readers than ads do.

B) Public relations
Answer: B Diff: 2 Page Ref: 417 AACSB: Communication
Skill: Concept Objective: 14-4

68) Which promotional tool is described as nonpublic, immediate, customized, and interactive?

C) direct marketing
Answer: C Diff: 2 Page Ref: 418 AACSB: Communication
Skill: Concept Objective: 14-4

69) Which promotional mix strategy directs marketing efforts toward final consumers?

A) pull
Answer: A Diff: 1 Page Ref: 418 AACSB: Communication
Skill: Concept Objective: 14-4

70) Which promotional mix strategy directs marketing efforts toward market channel members?

C) push
Answer: C Diff: 1 Page Ref: 418 AACSB: Communication
Skill: Concept Objective: 14-4

71) Business-to-consumer companies are more likely to emphasize a _____ promotion strategy, while business-to-business companies are more likely to emphasize a_____promotion strategy.

A) pull; push
Answer: A Diff: 1 Page Ref: 418 AACSB: Communication
Skill: Concept Objective: 14-4

72) Which of the following is LEAST important for integrating a firm's marketing communications?

D) study the competitor's communications and promotions
Answer: D Diff: 3 Page Ref: 420-421 AACSB: Communication
Skill: Concept Objective: 14-4

73) Bait-and-switch advertising_____.

A) attracts buyers under false pretenses B) is unethical
C) is illegal D) is deceptive
E) all of the above
Answer: E Diff: 1 Page Ref: 421 AACSB: Ethical Reasoning
Skill: Concept Objective: 14-4

74) Which of the following would be classified as bait-and-switch advertising?

A) advertising a cheaper brand but only making a more expensive one available to customers
Answer: A Diff: 2 Page Ref: 421 AACSB: Ethical Reasoning
Skill: Concept Objective: 14-4

75) A company's salespeople should always follow the rules of_____.

D) fair competition
Answer: D Diff: 2 Page Ref: 422 AACSB: Ethical Reasoning
Skill: Concept Objective: 14-4

76) A.Y. McDonald, a manufacturer of pumps and plumbing valves, employs regional salespeople to sell its products to wholesalers and cities. This is an example of_____.

B) personal selling
Answer: B Diff: 1 Page Ref: 402 AACSB: Reflective Thinking
Skill: Application Objective: 14-1

77) Tara Keegan owns Live Well, a small chain of health stores offering a variety of natural health products and related services. In order to implement integrated marketing communications, Tara has hired a marketing communications director, whose job it will be to ensure that each _____ will deliver a consistent and positive message about the company.

B) brand contact
Answer: B Diff: 2 Page Ref: 406 AACSB: Reflective Thinking
Skill: Application Objective: 14-1

78) Harpo Enterprises maintains the Oprah Winfrey show, a Web site, and O magazine. Because Harpo Enterprises practices integrated marketing communications, these different brand contacts all maintain_____in design and tone.

C) consistency
Answer: C Diff: 1 Page Ref: 405 AACSB: Reflective Thinking
Skill: Application Objective: 14-2

79) Delia's is a clothing retailer that targets teenage girls. It runs coordinated promotions for its catalogs, Web site, and retail outlets. It uses the same models in its catalog and in its print ads as well as on its Web site. Delia's works to make sure its public relations activities as well as its sales promotions harmonize with its advertising in all venues. From this information, you can infer that Delia's is using_____.

C) integrated marketing communication
Answer: C Diff: 1 Page Ref: 406 AACSB: Reflective Thinking
Skill: Application Objective: 14-2

80) HP's advertising agency assembles words and illustrations into an advertisement that will convey the company's intended brand message. In the communication process, HP is_____.

B) encoding
Answer: B Diff: 1 Page Ref: 408 AACSB: Communication
Skill: Application Objective: 14-3

81) The decision to use a cleaning genie to communicate the strength and power of Mr. Clean cleaning liquid is representative of the_____process of the communication model.

B) encoding
Answer: B Diff: 2 Page Ref: 408 AACSB: Communication
Skill: Application Objective: 14-3

82) In the communication process, an actual HP printer/fax machine advertisement is called_____.

D) the message
Answer: D Diff: 2 Page Ref: 408 AACSB: Communication
Skill: Application Objective: 14-3

83) An ad for Maybelline age-minimizing makeup in Ladies' Home Journal magazine featured actress Melina Kanakaredes and offered readers a $1-off coupon when they try the new makeup. In terms of the communication model, the sender of this message is_____.

D) Maybelline
Answer: D Diff: 2 Page Ref: 408 AACSB: Reflective Thinking
Skill: Application Objective: 14-3

84) An ad for Maybelline age-minimizing makeup in Ladies' Home Journal magazine featured actress Melina Kanakaredes and offered readers a $1-off coupon when they try the new makeup. In terms of the communication model, the medium of this ad is_____.

B) Ladies' Home Journal
Answer: B Diff: 1 Page Ref: 408 AACSB: Reflective Thinking
Skill: Application Objective: 14-3

85) An ad for Maybelline age-minimizing makeup in Ladies' Home Journal magazine featured actress Melina Kanakaredes and offered readers a $1-off coupon when they try the new makeup. In terms of the communication model, which of the following would be the best way for the source to measure feedback?

C) the number of people who redeem the coupon
Answer: C Diff: 2 Page Ref: 409 AACSB: Analytic Skills
Skill: Application Objective: 14-3

86) Mercy University's initial ads for the school's new MBA program are most likely intended to create_____.

B) awareness
Answer: B Diff: 2 Page Ref: 409 AACSB: Communication
Skill: Application Objective: 14-3

87) When a car-maker wants to introduce a new model, it is most likely to began with an extensive_____advertising campaign to create name familiarity and interest.

C) teaser
Answer: C Diff: 3 Page Ref: 409 AACSB: Communication
Skill: Application Objective: 14-3

88) An example of a(n)_____appeal is the Salvation Army appeal, "While you were trying to figure out what to get the man who has everything, don't forget the man who has nothing."

D) moral
Answer: D Diff: 2 Page Ref: 411 AACSB: Reflective Thinking
Skill: Application Objective: 14-3

89) Which of the following represent(s) a two-sided message?

A) Listerine tastes bad twice a day.
B) Heinz Ketchup is slow good.
D) A and B
Answer: D Diff: 1 Page Ref: 412 AACSB: Reflective Thinking
Skill: Application Objective: 14-3

90) A manufacturer of a variety of technological devices asked its marketing department to develop inexpensive methods of building and maintaining brand awareness and excitement. The marketing department then recruited consumers who were early adopters of technological devices to spread the word about the company's new products. This is an example of_____.

C) buzz marketing
Answer: C Diff: 3 Page Ref: 413 AACSB: Reflective Thinking
Skill: Application Objective: 14-3

91) Toward the end of the fiscal year, the owner of a small company came back from lunch concerned because he had learned that a business targeted to the same customers as his was planning on spending $150,000 on promotion. As soon as he arrived at the office, he called his financial manager and said, "I want to budget $150,000 for next year's promotion." Which method of promotional budgeting did the owner want to use?

C) the competitive-parity method
Answer: C Diff: 2 Page Ref: 416 AACSB: Reflective Thinking
Skill: Application Objective: 14-4

92) An e-mail from Amazon.com offers free shipping on your next purchase of more than $35. This is an example of_____.

A) sales promotion
Answer: A Diff: 2 Page Ref: 417 AACSB: Reflective Thinking
Skill: Application Objective: 14-4

93) Mariah Goldberg, a marketing manager for a manufacturer of children's toys, is looking for ways to reach potential customers who typically avoid salespeople and advertisements. Which of the following would be the most economical promotional tool for Mariah to use?

C) public relations
Answer: C Diff: 3 Page Ref: 417 AACSB: Reflective Thinking
Skill: Application Objective: 14-4

94) A newspaper article announced that VoiceStream Wireless, the nation's sixth-largest wireless carrier, was changing its name to T-Mobile and that to begin the makeover process it had replaced spokesperson Jamie Lee Curtis with Catherine Zeta-Jones. Of which element of the promotion mix is this an example?

C) public relations
Answer: C Diff: 2 Page Ref: 417 AACSB: Reflective Thinking
Skill: Application Objective: 14-4

95) Clean and Clear, a large producer of all-natural hair care and beauty products, is most likely to use which of the promotion mix strategies to gain increased shelf space in stores and to gain increased customer sales?

C) push and pull
Answer: C Diff: 2 Page Ref: 418 AACSB: Reflective Thinking
Skill: Application Objective: 14-4

96) An ad in a professional journal targeted to an audience of dentists asked dentists to recommend Crest toothpaste to their patients. It offered toothpaste samples that dentists could buy at cost to give to their patients to encourage patients to take better care of their teeth. The manufacturer of Crest toothpaste was using_____.

C) a push strategy
Answer: C Diff: 2 Page Ref: 418 AACSB: Reflective Thinking
Skill: Application Objective: 14-4

97) Glasis is a type of paint made specifically for use on cars. An ad in Motor Trend magazine advising consumers to request their body shops use Glasis paint is an example of how a company uses_____.

E) a pull strategy
Answer: E Diff: 2 Page Ref: 418 AACSB: Reflective Thinking
Skill: Application Objective: 14-4

98) A maker of vitamin drinks wants to compete with the leading brands in the category and has decided to use a heavy push strategy, putting most of the brand's marketing budget into trade and consumer sales promotion. Which of the following is a potential disadvantage of this approach?

E) The strategy may spark a spiral of price-slashing that will undercut the brand's future for short-term gains.
Answer: E Diff: 3 Page Ref: 419 AACSB: Analytic Skills
Skill: Application Objective: 14-4

Chapter 15 Advertising and Public Relations

1) Any paid form of nonpersonal presentation and promotion of ideas, goods, or services by an identified sponsor is called_____.

C) advertising
Answer: C Diff: 2 Page Ref: 430 Skill: Concept Objective: 15-1

2) A company's total marketing communications package consists of a special blend of advertising, sales promotion, public relations, personal selling, and direct-marketing tools that the company uses to communicate customer value and build customer relationships. This is also called_____.

C) the promotion mix
Answer: C Diff: 1 Page Ref: 428 Skill: Concept Objective: 15-1

3) According to the opening scenario, GEICO has become the fourth-largest insurance company by_____.

A) integrating humor and creativity into its minicampaigns
Answer: A Diff: 3 Page Ref: 428 Skill: Concept Objective: 15-1

4) All of the following are important decisions during the process of developing an advertising program EXCEPT_____.

D) selecting a target market
Answer: D Diff: 2 Page Ref: 430-431 Skill: Concept Objective: 15-2

5) Advertising_____define the task that advertising must accomplish with a specific target audience during a specific period of time.

A) objectives
Answer: A Diff: 1 Page Ref: 431 Skill: Concept Objective: 15-2

6) An advertising objective is classified by its primary purpose, which is to inform, persuade, or_____.

C) remind
Answer: C Diff: 1 Page Ref: 431 Skill: Concept Objective: 15-2

7) Which of the following is an objective of informative advertising?

D) suggest new uses for a product
Answer: D Diff: 1 Page Ref: 431 Skill: Concept Objective: 15-2

8) What is one of the primary goals of reminder advertising?

A) maintain customer relationships
Answer: A Diff: 1 Page Ref: 431 Skill: Concept Objective: 15-2

9) When the advertising objective is to build primary demand for a new product category, _____advertising will most likely be used.

B) informative
Answer: B Diff: 2 Page Ref: 431 Skill: Concept Objective: 15-2

10) _____advertising becomes more important as competition increases. The company's objective is to build selective demand.

E) Persuasive
Answer: E Diff: 2 Page Ref: 431-432 Skill: Concept Objective: 15-2

11) Persuasive advertising becomes_____advertising when a company directly or indirectly compares its brand with one or more other brands.

C) comparative
Answer: C Diff: 1 Page Ref: 432 Skill: Concept Objective: 15-2

12) What is a potential problem associated with comparative advertising?

D) Competitors respond with their own ads, which often results in negative publicity for both brands.
Answer: D Diff: 3 Page Ref: 432 AACSB: Reflective Thinking
Skill: Concept Objective: 15-2

13) A product in the maturity stage will often require _____ advertising.

D) reminder
Answer: D Diff: 1 Page Ref: 432 Skill: Concept Objective: 15-2

14) Familiar products such as Coca-Cola are more likely to use _____.

D) reminder advertising
Answer: D Diff: 3 Page Ref: 432 AACSB: Communication
Skill: Concept Objective: 15-2

15) After determining its advertising objectives, the company's next step in developing an advertising program is to_____.

A) set its advertising budget
Answer: A Diff: 2 Page Ref: 432 Skill: Concept Objective: 15-2

16) All of the following require high advertising budgets EXCEPT_____.

E) mature brands
Answer: E Diff: 3 Page Ref: 432 Skill: Concept Objective: 15-2

17) Which of the following may require heavy advertising in order to be set apart from similar products?

A) undifferentiated brands
Answer: A Diff: 1 Page Ref: 433 Skill: Concept Objective: 15-2

18) Some large corporations have developed_____to help determine the optimal investment across various media; such tools are useful when determining the relationship between promotional spending and brand sales.

C) statistical models
Answer: C Diff: 1 Page Ref: 433 Skill: Concept Objective: 15-2

19) Which of the following is an element of developing an advertising strategy?

A) selecting advertising media
Answer: A Diff: 1 Page Ref: 433 Skill: Concept Objective: 15-2

20) Soaring media costs, focused target marketing strategies, and the growing array of new media have increased the importance of_____.

E) media planning
Answer: E Diff: 2 Page Ref: 433 AACSB: Use of IT Skill: Concept Objective: 15-2

21) The success of the MINI Let's Motor campaign exemplifies the partnership between which two elements?

B) message and media
Answer: B Diff: 3 Page Ref: 433 Skill: Concept Objective: 15-2

22) To be successful, an advertisement must_____.

E) gain the attention of consumers
Answer: E Diff: 2 Page Ref: 434 Skill: Concept Objective: 15-2

23) The Internet, video on demand, and DVRs (digital video recorders) present which of the following problems for marketers?

D) Consumers have more choices about what to watch or not watch.
Answer: D Diff: 3 Page Ref: 434-435 AACSB: Use of IT Skill: Concept Objective: 15-2

24) Which of the following represents the merge between advertising and entertainment?

A) Madison & Vine
Answer: A Diff: 1 Page Ref: 435 Skill: Concept Objective: 15-2

25) What is the term used to describe the idea that will be communicated to consumers through an advertisement?

B) message strategy
Answer: B Diff: 2 Page Ref: 435 Skill: Concept Objective: 15-2

26) Developing an effective message strategy begins with identifying_____that can be used as advertising appeals.

D) customer benefits
Answer: D Diff: 2 Page Ref: 435 Skill: Concept Objective: 15-2

27) _____tend to be straightforward outlines of benefits and positioning points that the advertiser wants to stress.

B) Message strategy statements
Answer: B Diff: 2 Page Ref: 435 Skill: Concept Objective: 15-2

28) After creating message strategy statements, the advertiser must develop a compelling _____that will bring the message strategy to life in a distinctive and memorable way.

A) creative concept
Answer: A Diff: 2 Page Ref: 435 Skill: Concept Objective: 15-2

29) The big idea or the creative concept may emerge as a(n)_____, a phrase, or a combination of the two.

B) visualization
Answer: B Diff: 2 Page Ref: 435 Skill: Concept Objective: 15-2

30) Which of the following are the three characteristics of an advertising appeal?

C) meaningful, believable, and distinctive
Answer: C Diff: 3 Page Ref: 435 Skill: Concept Objective: 15-2

31) The goal of_____is to make an advertisement so useful that people want to watch it.

B) advertainment
Answer: B Diff: 2 Page Ref: 436 Skill: Concept Objective: 15-2

32) American Eagle Outfitters has increased interest in its clothing products using which of the following advertising forms?

D) webisodes
Answer: D Diff: 2 Page Ref: 436 AACSB: Use of IT Skill: Concept Objective: 15-2

33) Product placement in television programs and movies is an example of_____.

A) branded entertainment
Answer: A Diff: 2 Page Ref: 436 Skill: Concept Objective: 15-2

34) According to experts, what is the biggest potential problem facing advertainment?

C) Consumers will remember the advertisement but forget the brand.
Answer: C Diff: 3 Page Ref: 437 AACSB: Reflective Thinking
Skill: Concept Objective: 15-2

35) Which message execution style depicts average people using a product in an everyday setting?

C) slice of life
Answer: C Diff: 1 Page Ref: 436 Skill: Concept Objective: 15-2

36) Advertisements built around dream themes are using which type of execution style?

C) fantasy
Answer: C Diff: 1 Page Ref: 437 Skill: Concept Objective: 15-2

37) The AFLAC duck and Tony the Tiger are examples of_____used in successful advertising campaigns.

E) personality symbols
Answer: E Diff: 2 Page Ref: 438 AACSB: Analytic Skills
Skill: Concept Objective: 15-2

38) What is the first element that a reader notices in a print ad?

B) illustration
Answer: B Diff: 2 Page Ref: 438 Skill: Concept Objective: 15-2

39) An amateur video showing the result of mixing Diet Coke with Mentos candies exemplifies which growing trend in advertising?

B) consumer-generated messages
Answer: B Diff: 3 Page Ref: 439 Skill: Concept Objective: 15-2

40) How can consumer-generated ads benefit companies and their products?

E) Consumers become engaged in the product and consider its value in their lives.
Answer: E Diff: 3 Page Ref: 439 Skill: Concept Objective: 15-2

41) All of the following are major steps in advertising media selection EXCEPT_____.

D) deciding on format elements
Answer: D Diff: 2 Page Ref: 439 Skill: Concept Objective: 15-2

42) What was one of the results of the "Quiznos vs. Subway TV Ad Challenge"?

E) Subway filed a lawsuit asserting that Quiznos ads made false claims about Subway.
Answer: E Diff: 3 Page Ref: 439 Skill: Concept Objective: 15-2

43) _____is a measure of the percentage of people in the target market who are exposed to the ad campaign during a given period of time.

A) Reach
Answer: A Diff: 2 Page Ref: 440 Skill: Concept Objective: 15-2

44) The number of times an average person in the target market is exposed to an ad is known as the_____.

C) frequency
Answer: C Diff: 2 Page Ref: 440 Skill: Concept Objective: 15-2

45) The advertiser must decide on the_____, or desired media impact, of a message in a specific medium.

C) qualitative value
Answer: C Diff: 2 Page Ref: 440 Skill: Concept Objective: 15-2

46) For many years,_____have dominated the media mix used by national advertisers.

B) television and magazines
Answer: B Diff: 2 Page Ref: 440 Skill: Concept Objective: 15-2

47) Advertisers are increasingly shifting larger portions of their budgets to media that cost less and target more effectively. Which of the following is harmed the MOST by such a shift?

C) network television
Answer: C Diff: 1 Page Ref: 440 Skill: Concept Objective: 15-2

48) All of the following are examples of specialized and highly-targeted media that an advertiser might use to reach smaller customer segments EXCEPT_____.

D) magazines
Answer: D Diff: 2 Page Ref: 440 AACSB: Use of IT Skill: Concept Objective: 15-2

49) The Internet, direct mail, magazines, and radio all offer advertisers which of the following advantages?

A) audience selectivity
Answer: A Diff: 3 Page Ref: 441 Skill: Concept Objective: 15-2

50) Companies are doing less_____and more_____as a result of an explosion of more focused media that better match today's targeting strategies.

D) broadcasting; narrowcasting
Answer: D Diff: 3 Page Ref: 440 AACSB: Communication
Skill: Concept Objective: 15-2

51) *30 Rock* and *Newsweek* are both examples of_____, specific media within each general media type.

C) media vehicles
Answer: C Diff: 2 Page Ref: 442 AACSB: Analytic Skills
Skill: Concept Objective: 15-2

52) The media planner looks both at the total cost of using a medium and at the_____.

A) cost per thousand persons reached
Answer: A Diff: 2 Page Ref: 442 Skill: Concept Objective: 15-2

53) When a media planner determines whether an advertisement for dishwashing soap should be placed in *Sports Illustrated* or *Good Housekeeping*, the planner is evaluating the media vehicle's_____.

D) audience quality
Answer: D Diff: 2 Page Ref: 442 AACSB: Analytic Skills
Skill: Concept Objective: 15-2

54) _____means scheduling ads evenly within a given period._____means scheduling ads unevenly over a given time period.

C) Continuity; Pulsing
Answer: C Diff: 2 Page Ref: 443 Skill: Concept Objective: 15-2

55) Scheduling ads unevenly, which is called_____, builds awareness that is intended to be carried over to the next advertising period.

B) pulsing
Answer: B Diff: 2 Page Ref: 443 Skill: Concept Objective: 15-2

56) According to the Association of National Advertisers, what is the most important issue for today's advertisers?

B) measuring advertising's efficiency and effectiveness
Answer: B Diff: 2 Page Ref: 443 Skill: Concept Objective: 15-2

57) Sales and profit effects of advertising are difficult to measure because of factors outside of the ad campaign such as_____.

A) price and availability
Answer: A Diff: 2 Page Ref: 443 Skill: Concept Objective: 15-2

58) One way to measure the_____effects of advertising is to_____past sales and past advertising expenditures.

D) sales; compare
Answer: D Diff: 2 Page Ref: 443 Skill: Concept Objective: 15-2

59) All of the following are benefits of standardized global advertising EXCEPT_____.

C) higher appeal to varying demographics
Answer: C Diff: 2 Page Ref: 446 Skill: Concept Objective: 15-2

60) Most international advertisers develop global_____for the sake of efficiency, but they adapt their advertising_____to make them responsive to local market needs and expectations.

C) strategies; programs
Answer: C Diff: 3 Page Ref: 446-447 Skill: Concept Objective: 15-2

61) Apple has modified its "I'm a Mac; I'm a PC" ad campaign in Japan for which of the following reasons?

E) The Japanese culture views bragging as rude.
Answer: E Diff: 3 Page Ref: 447 AACSB: Communication
Skill: Concept Objective: 15-2

62) What is the primary question that must be asked by an advertiser before deciding to run a commercial during the Super Bowl?

A) Will the commercial deliver a high return on advertising investment?
Answer: A Diff: 3 Page Ref: 445 Skill: Concept Objective: 15-2

63) Unilever decided not to purchase advertising during the Super Bowl a second time because the maker of Dove_____.

B) earned a better response for less money through an outdoor campaign
Answer: B Diff: 3 Page Ref: 445 Skill: Concept Objective: 15-2

64) Which of the five major promotion tools includes building up a positive corporate image and handling unfavorable stories and events?

D) public relations
Answer: D Diff: 2 Page Ref: 448 Skill: Concept Objective: 15-3

65) Lobbying, or building and maintaining relations with legislators and government officials to influence legislation and regulation, is part of_____.

D) public relations
Answer: D Diff: 2 Page Ref: 448 Skill: Concept Objective: 15-3

66) Which of the following functions is LEAST likely to be performed by a public relations department?

E) media vehicle selection
Answer: E Diff: 2 Page Ref: 448 Skill: Concept Objective: 15-3

67) When nonprofit organizations need financial or volunteer support they often turn to public relations experts to help them in the area of_____.

D) development
Answer: D Diff: 2 Page Ref: 448 Skill: Concept Objective: 15-3

68) Trade associations have used_____to rebuild interest in declining commodities such as eggs, pork, and milk.

D) public relations
Answer: D Diff: 2 Page Ref: 448 Skill: Concept Objective: 15-3

69) Why was the introduction of Nintendo's Wii game console especially successful?

A) The company's public relations department held preview parties and encouraged people to blog about the system.
Answer: A Diff: 3 Page Ref: 449 AACSB: Reflective Thinking
Skill: ConceptObjective: 15-3

70) Why is public realtions often overlooked as a tool for supporting product marketing objectives?

D) Many public relations professionals see their jobs as simply communicating, not necessarily brand building.
Answer: D Diff: 3 Page Ref: 449 Skill: Concept Objective: 15-3

71) The authors of the book *The Fall of Advertising and the Rise of PR* state that all of the following firms found success with very little advertising EXCEPT_____.

E) Nike
Answer: E Diff: 2 Page Ref: 449-450 Skill: Concept Objective: 15-3

72) _____use several tools, including the news, speeches, corporate identity materials, and special events.

C) Public relations professionals
Answer: C Diff: 2 Page Ref: 450 Skill: Concept Objective: 15-4

73) Logos, uniforms, brochures, and company trucks are all examples of_____that can be used to help a company create a visual image for the public.

D) corporate identity materials
Answer: D Diff: 1 Page Ref: 450 Skill: Concept Objective: 15-4

74) News conferences, press tours, and grand openings are examples of_____, one of the tools commonly used by public relations professionals.

B) special events
Answer: B Diff: 1 Page Ref: 450 Skill: Concept Objective: 15-4

75) Johnson & Johnson used_____when it launched its Aveeno Positively Ageless product line through a YouTube video of an artist's chalk drawing; consumers spread the word about the video, which was viewed by nearly one million people.

A) social networking
Answer: A Diff: 2 Page Ref: 450 Skill: Concept Objective: 15-4

76) U-Frame-It is a small company that has hired a local ad agency to put together an advertising campaign. Which of the following questions should be answered first?

C) What are the communication and sales objectives of U-Frame-It?
Answer: C Diff: 3 Page Ref: 431 AACSB: Analytic Skills
Skill: Application Objective: 15-2

77) Quaker Oats has been selling oatmeal for many years and is a trusted leader in the oatmeal market. What will be the most likely objective of advertisements for a new flavor of oatmeal being introduced by Quaker Oats?

D) maintain customer relationships
Answer: D Diff: 2 Page Ref: 432 AACSB: Analytic Skills
Skill: Application Objective: 15-2

78) Suave ran ads featuring a woman with beautiful hair questioning "Suave or Matrix? Can You Tell?" This is an example of_____.

C) comparative advertising
Answer: C Diff: 2 Page Ref: 432 AACSB: Analytic Skills
Skill: Application Objective: 15-2

79) When Proctor & Gamble developed the Mr. Clean Magic Eraser, the company needed to explain how the product cleans grime from walls without removing paint. What type of campaign was most likely used by Proctor & Gamble for the Mr. Clean Magic Eraser?

A) informative advertising
Answer: A Diff: 2 Page Ref: 431 AACSB: Analytic Skills
Skill: Application Objective: 15-2

80) Apex detergent is relatively undifferentiated from two other detergent brands: Acme and Brighton detergent; therefore, Apex may require_____.

C) heavy advertising to set it apart from others
Answer: C Diff: 2 Page Ref: 443 AACSB: Analytic Skills
Skill: Application Objective: 15-2

81) In its advertisements, Timex promotes its affordable and sturdy watches. Fossil emphasizes style and fashion in its advertisements, while Rolex stresses luxury and status. These are all examples of_____appeals.

E) distinctive
Answer: E Diff: 2 Page Ref: 435 AACSB: Analytic Skills
Skill: Application Objective: 15-2

82) An ad for a new convection oven shows a busy professional woman serving dinner to her family. The convection oven is seen in the background, and the headline reads, "The latest development in time travel." This is an example of what type of execution style?

B) lifestyle
Answer: B Diff: 2 Page Ref: 436 AACSB: Analytic Skills
Skill: Application Objective: 15-2

83) When AFLAC uses a duck to represent its product, which type of execution style is being employed?

C) personality symbol
Answer: C Diff: 1 Page Ref: 438 AACSB: Analytic Skills
Skill: Application Objective: 15-2

84) When a pharmaceutical ad includes a world-renowned heart surgeon describing the benefits of the medication, which type of execution style is being used?

E) technical expertise
Answer: E Diff: 2 Page Ref: 438 AACSB: Analytic Skills
Skill: Application Objective: 15-2

85) Mike's Bike Shop's has a new print advertisement appearing in the local newspaper. What will be the first element readers will notice in the advertisement?

B) illustration
Answer: B Diff: 2 Page Ref: 438 AACSB: Analytic Skills
Skill: Application Objective: 15-2

86) You receive a report that 68% of your target market has been exposed to your ad campaign during a given period of time. The information in the report relates to _____.

A) reach
Answer: A Diff: 1 Page Ref: 440 AACSB: Analytic Skills
Skill: Application Objective: 15-2

87) You are looking to advertise your new product, and you want good mass-marketing coverage and low cost per exposure. You should choose_____as your advertising media.

D) television
Answer: D Diff: 3 Page Ref: 441 AACSB: Analytic Skills
Skill: Application Objective: 15-2

88) Franklin & Marshall College wishes to contact high school seniors at independent schools in Pennsylvania. Which of the following media would be most effective and efficient?

D) a direct mail piece sent to the schools
Answer: D Diff: 3 Page Ref: 441 AACSB: Reflective Thinking
Skill: Application Objective: 15-2

89) Capture Cameras is launching a new advertising campaign to demonstrate the quality of their digital cameras. Which media option will attract the most demographically skewed audience with relatively low impact?

A) the Internet
Answer: A Diff: 3 Page Ref: 441 AACSB: Analytic Skills
Skill: Application Objective: 15-2

90) IAMS Pet Food runs a commercial on the Animal Planet cable channel during an episode of *The Dog Whisperer*. The advertising agency for IAMS is taking advantage of which of the following?

C) narrowcasting
Answer: C Diff: 2 Page Ref: 440 AACSB: Analytic Skills
Skill: Application Objective: 15-2

91) ABC Advertising Agency was recently hired to create an advertising campaign for a local water park. Since the park is only open during the spring and summer months,_____plays a major role in the firm's decision about scheduling advertisements.

E) media timing
Answer: E Diff: 1 Page Ref: 443 AACSB: Analytic Skills
Skill: Application Objective: 15-2

92) The advertising agency hired by Mrs. Brown's Cookie Company has developed a series of commercials about the new cookie flavors created by the company. The head of the marketing department thinks that pulsing would be the most appropriate way to schedule the commercials. What is the potential benefit of pulsing the cookie ads?

B) The costs of advertising would be low.
Answer: B Diff: 3 Page Ref: 443 AACSB: Analytic Skills Skill: Application
Objective: 15-2

93) Fence Patrol is considering an international advertising campaign. The company may face any or all of the following problems EXCEPT_____.

A) media costs may vary
B) media availability may vary
C) regulation of advertising may vary
D) some products may be barred or illegal
E) all of the above
Answer: E Diff: 2 Page Ref: 447 AACSB: Analytic Skills Skill: Application
Objective: 15-2

94) Kathy Champe, a public relations specialist for a regional chain of pharmacies, regularly contacts members of the local and state-wide media with information about community events and charity fundraisers sponsored by her company. This is an example of the_____function of public relations.

A) press relations
Answer: A Diff: 1 Page Ref: 448 AACSB: Analytic Skills Skill: Application
Objective: 15-3

95) The National Pork Board developed its very successful "Pork. The Other White Meat" campaign. The campaign provided nutritional information and pork recipes in an attempt to encourage consumers to view pork as a tasty alternative to poultry and fish. Which of the following functions was the goal of this public relations campaign?

E) build up a positive image for pork
Answer: E Diff: 1 Page Ref: 448 AACSB: Analytic Skills Skill: Application
Objective: 15-3

96) In an attempt to set the company apart from its competitors, United Parcel Service has its employees wear brown uniforms and drive brown trucks. What type of public relations tool is UPS using?

C) corporate identity materials
Answer: C Diff: 2 Page Ref: 450 Skill: Application Objective: 15-4

97) The public relations department at a manufacturer of a variety of technological devices has been charged with developing inexpensive methods of building and maintaining brand awareness and excitement. To begin with, the public relations department has recruited consumers who are early adopters of technological devices to spread the word about the company's new products. This is an example of the public relations tool of_____.

E) buzz marketing
Answer: E Diff: 1 Page Ref: 450 AACSB: Reflective Thinking
Skill: Application Objective: 15-4

Chapter 16 Personal Selling and Sales Promotion

1) Which of the following elements of the promotion mix involves making personal connections with customers for the purpose of making sales?

A) personal selling
Answer: A Diff: 1 Page Ref: 458 Skill: Concept Objective: 16-1

2) A_____is an individual acting on behalf of a company who performs one or more of the following activities: prospecting, communicating, servicing, and information gathering.

D) salesperson
Answer: D Diff: 1 Page Ref: 459 Skill: Concept Objective: 16-1

3) _____involves two-way, personal communication between salespeople and individual customers, either in person, by telephone, or through Web conferences.

C) Personal selling
Answer: C Diff: 1 Page Ref: 459 AACSB: Communication Skill: Concept Objective: 16-1

4) What is the role of a chief revenue, or chief customer, officer?

C) to oversee both marketing and sales
Answer: C Diff: 2 Page Ref: 460-461 Skill: Concept Objective: 16-1

5) A company can unite its marketing and sales functions through all of the following activities EXCEPT_____.

A) assigning a telemarketer the task of visiting a customer
Answer: A Diff: 3 Page Ref: 460-461 AACSB: Analytic Skills Skill: Concept Objective: 16-1

6) When a company sets out to analyze, plan, implement, and control sales force activities, the company is undertaking_____.

B) sales force management
Answer: B Diff: 1 Page Ref: 461 Skill: Concept Objective: 16-2

7) Of the three typical types of sales force structures, which one is often supported by many levels of sales management positions in specific geographical areas?

A) territorial
Answer: A Diff: 2 Page Ref: 461 Skill: Concept Objective: 16-2

8) All of the following are considered advantages of a territorial sales force structure EXCEPT _____.

D) salespeople develop in-depth knowledge of a product line
Answer: D Diff: 2 Page Ref: 461 AACSB: Reflective Thinking Skill: Concept Objective: 16-2

9) Which of the following is NOT a disadvantage of a product sales force structure?

D) increased customer delivery time
Answer: D Diff: 3 Page Ref: 462 AACSB: Reflective Thinking Skill: Concept Objective: 16-2

10) Companies that use a customer sales force structure organize their salespeople by_____.

C) industry
Answer: C Diff: 2 Page Ref: 462 Skill: Concept Objective: 16-2

11) Hewlett-Packard's Customer Sales Group (CSG) caused frustration among customers and salespeople. What was the primary problem with the sales force structure of CSG?

D) Salespeople were responsible for selling all H-P products instead of specializing in a few products.
Answer: D Diff: 3 Page Ref: 463 AACSB: Analytic Skills Skill: Concept Objective: 16-2

12) What do many companies use to determine sales force size?

A) the workload approach
Answer: A Diff: 2 Page Ref: 464 Skill: Concept Objective: 16-2

13) What is the term used to identify the individuals in a company who travel to call on customers in the field?

B) outside sales force
Answer: B Diff: 1 Page Ref: 464 Skill: Concept Objective: 16-2

14) Members of a company's_____conduct business from their offices using telephones, e-mails, or visits from prospective buyers to generate sales.

B) inside sales force
Answer: B Diff: 1 Page Ref: 464 Skill: Concept Objective: 16-2

15) To reduce time demands on their outside sales forces, many companies have increased the size of their inside sales forces, which include technical support people, sales assistants, and_____.

C) telemarketers
Answer: C Diff: 1 Page Ref: 465 AACSB: Use of IT Skill: Concept Objective: 16-2

16) A sales assistant working for an outside sales force will most likely have all of the following duties EXCEPT_____.

E) determining price points
Answer: E Diff: 2 Page Ref: 465 Skill: Concept Objective: 16-2

17) According to the opening scenario, the success of CDW Corporation is the direct result of its salespeople_____.

D) developing close, personal relationships with customers
Answer: D Diff: 3 Page Ref: 465-466 AACSB: Analytic Skills Skill: Concept Objective: 16-2

18) The growing trend of using a group of people from sales, marketing, engineering, finance, technical support, and even upper management to service large, complex accounts is known as _____selling.

C) team
Answer: C Diff: 1 Page Ref: 466 Skill: Concept Objective: 16-2

19) Which of the following most likely explains why companies are adopting the team selling approach to service large, complex accounts?

A) Products have become too complicated for one salesperson to support.
Answer: A Diff: 3 Page Ref: 466 Skill: Concept Objective: 16-2

20) All of the following are disadvantages of the team selling approach EXCEPT_____.

C) Selling teams increase costs and are time consuming.
Answer: C Diff: 3 Page Ref: 466 AACSB: Reflective Thinking
Skill: Concept Objective: 16-2

21) All of the following are problems associated with the poor selection of salespeople EXCEPT _____.

D) less office support
Answer: D Diff: 2 Page Ref: 466 Skill: Concept Objective: 16-2

22) According to research, which of the following is one of the four key talents a successful salesperson must possess?

B) disciplined work style
Answer: B Diff: 2 Page Ref: 467 Skill: Concept Objective: 16-2

23) During the hiring process, companies that test sales applicants typically measure all of the following abilities EXCEPT_____.

C) accounting skills
Answer: C Diff: 2 Page Ref: 467 Skill: Concept Objective: 16-2

24) The purpose of a training program for salespeople is to teach them about all of the following EXCEPT_____.

D) the company retirement benefits
Answer: D Diff: 2 Page Ref: 467 Skill: Concept Objective: 16-2

25) What is the primary reason that companies use e-learning to conduct sales training programs?

E) E-learning cuts training costs.
Answer: E Diff: 2 Page Ref: 467 AACSB: Use of IT Skill: Concept
Objective: 16-2

26) How do e-learning centers, such as the one developed by International Rectifier, help salespeople make sales?

A) Salespeople can refresh their knowledge about company products prior to making sales calls.
Answer: A Diff: 3 Page Ref: 468 AACSB: Use of IT Skill: Concept
Objective: 16-2

27) Commissions or bonuses that a salesperson receives from a company are categorized as the _____.

C) variable amount
Answer: C Diff: 2 Page Ref: 468 Skill: Concept Objective: 16-2

28) All of the following are a basic type of compensation plan for salespeople EXCEPT_____.

D) commission plus bonus
Answer: D Diff: 2 Page Ref: 468 Skill: Concept Objective: 16-2

29) Companies are increasingly moving away from high commission compensation plans because such plans often lead to salespeople_____.

C) being too pushy and ruining customer relationships
Answer: C Diff: 3 Page Ref: 469 Skill: Concept Objective: 16-2

30) Which sales management tool helps a salesperson know which customers to visit and which activities to carry out during a week?

C) call plan
Answer: C Diff: 2 Page Ref: 469 Skill: Concept Objective: 16-2

31) Companies are always looking for ways to increase face-to-face selling time. All of the following are ways to accomplish this goal EXCEPT_____.

D) reducing the number of customers each sales rep must visit
Answer: D Diff: 3 Page Ref: 469 AACSB: Analytic Skills Skill: Concept Objective: 16-2

32) Which of the following is an advantage created by the use of a sales force automation system?

E) more efficient scheduling of sales calls and sales presentations
Answer: E Diff: 3 Page Ref: 470 AACSB: Use of IT Skill: Concept Objective: 16-2

33) Firms that have adopted sales force automation systems most likely use all of the following tools EXCEPT_____.

B) time-and-duty analysis software
Answer: B Diff: 2 Page Ref: 470 AACSB: Use of IT Skill: Concept Objective: 16-2

34) The process of receiving drug marketing information through product Web sites is known as _____.

A) e-detailing
Answer: A Diff: 2 Page Ref: 470 AACSB: Use of IT Skill: Concept Objective: 16-2

35) Which of the following is a potential drawback of using Web-based technologies for making sales presentations and servicing accounts?

C) The systems can intimidate salespeople who are unfamiliar with the technology.
Answer: C Diff: 3 Page Ref: 471 AACSB: Use of IT Skill: Concept Objective: 16-2

36) A company that treats its salespeople as valuable contributors with unlimited income opportunities has developed a(n)_____that will have fewer turnovers and higher sales force performance.

B) organizational climate
Answer: B Diff: 2 Page Ref: 471 Skill: Concept Objective: 16-2

37) A sales_____is the standard that establishes the amount each salesperson should sell and how sales should be divided among the company's products.

C) quota
Answer: C Diff: 2 Page Ref: 471 Skill: Concept Objective: 16-2

38) Sales _____ encourage a sales force to make a selling effort that is above and beyond the normal expectation.

A) contests
Answer: A Diff: 1 Page Ref: 471 Skill: Concept Objective: 16-2

39) A salesperson's _____ is often related to how well he or she meets a sales quota.

B) compensation
Answer: B Diff: 1 Page Ref: 471 Skill: Concept Objective: 16-2

40) A(n)_____is a salesperson's write-up of his or her completed sales activities.

B) call report
Answer: B Diff: 2 Page Ref: 471 Skill: Concept Objective: 16-2

41) Which of the following questions would provide management with the LEAST beneficial information regarding the performance of its sales force?

E) Does the sales force complete its sales reports and expense reports in a timely manner?
Answer: E Diff: 3 Page Ref: 472 AACSB: Reflective Thinking
Skill: Concept Objective: 16-2

42) Prospecting is the step in the selling process in which the salesperson_____.

C) identifies qualified potential customers
Answer: C Diff: 2 Page Ref: 472 AACSB: Communication
Skill: Concept Objective: 16-3

43) A salesperson in the prospecting stage most likely identifies potential customers through all of the following methods EXCEPT_____.

A) referrals from competing salespeople
Answer: A Diff: 2 Page Ref: 472 Skill: Concept Objective: 16-3

44) Which of the following is the LEAST relevant characteristic that a salesperson should consider when qualifying a prospect?

B) longevity in the market
Answer: B Diff: 3 Page Ref: 472 AACSB: Analytic Skills
Skill: Concept Objective: 16-3

45) During the prospecting stage, a salesperson needs to discriminate between good leads and poor leads, which is known as_____.

D) qualifying
Answer: D Diff: 2 Page Ref: 472 Skill: Concept Objective: 16-3

46) A salesperson who researches a company's buying styles and product line is most likely in the _____stage of the selling process.

B) preapproach
Answer: B Diff: 1 Page Ref: 473 Skill: Concept Objective: 16-3

47) The salesperson meets the customer for the first time in the_____step of the selling process.

D) approach
Answer: D Diff: 1 Page Ref: 473 Skill: Concept Objective: 16-3

48) Technologies such as CDs, DVDs, handheld computers, interactive white boards, and laptop computers enable salespeople to enhance the_____stage of the selling process.

C) presentation and demonstration
Answer: C Diff: 2 Page Ref: 474 AACSB: Use of IT
Skill: Concept Objective: 16-3

49) Which type of sales approach is best for today's customers who expect answers, results, and useful products?

B) customer-solution
Answer: B Diff: 2 Page Ref: 473 Skill: Concept Objective: 16-3

50) According to a survey of purchasers,_____and_____skills are the most important qualities for a salesperson.

A) listening; problem-solving
Answer: A Diff: 2 Page Ref: 474 AACSB: Communication
Skill: Concept Objective: 16-3

51) A salesperson should seek out, clarify, and overcome any customer objections during the sales presentation in order to_____.

D) turn the objections into reasons for buying
Answer: D Diff: 3 Page Ref: 474 AACSB: Communication
Skill: Concept Objective: 16-3

52) The step of_____is difficult for some salespeople because they lack confidence, feel guilty about asking for an order, or may not recognize the right time to ask for an order.

D) closing the sale
Answer: D Diff: 2 Page Ref: 474 Skill: Concept Objective: 16-3

53) Salespeople should be trained to recognize_____signals from the buyer, which can include physical actions such as leaning forward and nodding or asking questions about prices and credit terms.

D) closing
Answer: D Diff: 1 Page Ref: 474-475 AACSB: Communication
Skill: ConceptObjective: 16-3

54) Which step in the sales process is necessary to ensure customer satisfaction and repeat business?

E) follow-up
Answer: E Diff: 1 Page Ref: 475 Skill: Concept Objective: 16-3

55) The sales force of CDW Corporation, as described in the opening scenario, develops strong relationships with customers as part of the_____stage of the selling process.

E) follow-up
Answer: E Diff: 2 Page Ref: 475 Skill: Concept Objective: 16-2

56) A_____consists of short-term incentives to encourage the immediate purchase of a product or service.

D) sales promotion
Answer: D Diff: 2 Page Ref: 475 Skill: Concept Objective: 16-4

57) Value merchant salespeople document and demonstrate the superior value of their products and services in hopes of_____.

B) gaining long-term business from customers
Answer: B Diff: 3 Page Ref: 476 Skill: Concept Objective: 16-4

58) A salesperson who would be categorized as a value spendthrift has which of the following behaviors?

C) concedes on price in order to quickly close sales deals
Answer: C Diff: 3 Page Ref: 476 Skill: Concept Objective: 16-4

59) Value merchant salespeople possess which of the following characteristics?

E) They make sales based on cost of ownership comparisons against competitors.
Answer: E Diff: 3 Page Ref: 476 Skill: Concept Objective: 16-4

60) Sales promotions are targeted toward all of the following EXCEPT_____.

B) investors
Answer: B Diff: 2 Page Ref: 477 Skill: Concept Objective: 16-4

61) The rapid growth of sales promotions in consumer markets is most likely the result of all of the following factors EXCEPT_____.

D) consumers using the Internet to search for deals and save money
Answer: D Diff: 3 Page Ref: 477-478 Skill: Concept Objective: 16-4

62) Consumers are increasingly ignoring promotions and not making immediate purchases because of _____.

B) promotion clutter
Answer: B Diff: 1 Page Ref: 478 Skill: Concept Objective: 16-4

63) Sellers use trade promotions for all of the following reasons EXCEPT to_____.

D) encourage salespeople to sign up new accounts
Answer: D Diff: 2 Page Ref: 478 Skill: Concept Objective: 16-4

64) Instead of creating only short-term sales or temporary brand switching,_____should reinforce a product's position and build long-term customer relationships.

A) sales promotions
Answer: A Diff: 2 Page Ref: 478 Skill: Concept Objective: 16-4

65) Of the main consumer promotion tools, which is the MOST effective for introducing a new product or creating excitement for an existing one?

B) samples
Answer: B Diff: 2 Page Ref: 479 Skill: Concept Objective: 16-4

66) Which of the following consumer promotion tools is the MOST costly for companies ?

A) samples
Answer: A Diff: 2 Page Ref: 479 Skill: Concept Objective: 16-4

67) Which consumer promotion tool requires consumers to send a proof of purchase to the manufacturer?

D) cash refunds
Answer: D Diff: 2 Page Ref: 480 Skill: Concept Objective: 16-4

68) Which of the following involves marking a reduced price directly on a product's packaging and often results in the stimulation of short-term sales?

C) price packs
Answer: C Diff: 2 Page Ref: 480 Skill: Concept Objective: 16-4

69) _____are goods offered either free or at low cost as an incentive to buy a product.

B) Premiums
Answer: B Diff: 2 Page Ref: 480 Skill: Concept Objective: 16-4

70) A_____has the advertiser's name on it and is given as a gift to consumers.

D) promotional product
Answer: D Diff: 1 Page Ref: 480 Skill: Concept Objective: 16-4

71) Which consumer promotion offers consumers the chance to win something by presenting them with an item such as a scratch-off card or a bingo number ?

A) game
Answer: A Diff: 1 Page Ref: 480 Skill: Concept Objective: 16-4

72) Marathons, concerts, and festivals with corporate sponsors are examples of_____.

D) event marketing
Answer: D Diff: 1 Page Ref: 481 Skill: Concept Objective: 16-4

73) Business promotion tools are used for all of the following reasons EXCEPT to_____.

E) increase manufacturing
Answer: E Diff: 2 Page Ref: 481 Skill: Concept Objective: 16-4

74) Trade shows offer manufacturers the opportunity to do all of the following EXCEPT_____.

A) establish a sales contest
Answer: A Diff: 2 Page Ref: 482 Skill: Concept Objective: 16-4

75) Which of the following questions would be the best one to help a marketer evaluate the return on a sales promotion investment?

D) Did the promotion increase purchases from current customers or attract new customers?
Answer: D Diff: 3 Page Ref: 482 AACSB: Analytic Skills
Skill: Concept Objective: 16-4

76) Happy Pet is a large petfood company that sells its petfood to retail pet supply stores as well as wholesalers. The sales force at Happy Pet is LEAST likely to do which of the following?

A) work directly with final customers
Answer: A Diff: 2 Page Ref: 459 AACSB: Analytic Skills
Skill: Application Objective: 16-1

77) At Finley's Fine Goods, members of the sales force and marketing department tend to have disagreements when things go wrong with a customer. The marketers blame the salespeople for poorly executing their strategies, while the salespeople blame the marketers for being out of touch with the customer. Which of the following steps should upper-level management at Finley's Fine Goods take to help bring the sales and marketing functions closer together?

E) appoint a chief revenue officer
Answer: E Diff: 2 Page Ref: 460-461 AACSB: Reflective Thinking
Skill: Application Objective: 16-1

78) Ultra-Tech, Inc. has decided to switch to a customer sales force structure. Which of the following advantages is the company now LEAST likely to enjoy?

E) The company can expect salespeople to develop in-depth knowledge of numerous and complex product lines.
Answer: E Diff: 3 Page Ref: 462 AACSB: Analytic Skills
Skill: Application Objective: 16-2

79) Johnson Business Solutions, Inc., maintains one sales force for its copy machines and a separate sales force for its computer systems. Johnson Business Solutions utilizes a_____structure.

A) product sales force
Answer: A Diff: 2 Page Ref: 461 AACSB: Analytic Skills
Skill: Application Objective: 16-2

80) Morrill Motors splits the United States into 10 sales regions. Within each of those regions, the company maintains two sales teams one for existing customers and one for prospects. What type of sales force structure does Morrill Motors use?

D) complex
Answer: D Diff: 2 Page Ref: 462 AACSB: Analytic Skills
Skill: Application Objective: 16-2

81) J &M Manufacturing has 2,000 Type-A accounts, each requiring 35 calls per year, and 1,000 Type-B accounts, each requiring 15 calls per year. What is the sales force's workload?

D) 85,000 calls
Answer: D Diff: 3 Page Ref: 464 AACSB: Analytic Skills
Skill: Application Objective: 16-2

82) Stahl, Inc., has 1,000 Type-A accounts, each requiring 28 calls per year, and 2,200 Type-B accounts, each requiring 15 calls per year. If each salesperson at Stahl, Inc., can make 1,500 sales calls per year, approximately how many salespeople will be needed?

C) 41
Answer: C Diff: 3 Page Ref: 464 AACSB: Analytic Skills
Skill: Application Objective: 16-2

83) East Bay Communications has increased its inside sales force. This will help East Bay in all EXCEPT which one of the following ways?

E) East Bay customers will have full access to sales automation technology.
Answer: E Diff: 2 Page Ref: 464-465 AACSB: Analytic Skills
Skill: Application Objective: 16-2

84) You are applying for a position with the inside sales force at Carson Medical Sales. If you earn the job, you will most likely be expected to perform all of the following tasks EXCEPT_____.

E) travel to visit customers
Answer: E Diff: 2 Page Ref: 464-465 AACSB: Analytic Skills
Skill: Application Objective: 16-2

85) The sales force at Messimer Computing recently began telemarketing and Web selling. How will telemarketing and Web selling most likely benefit Messimer Computing?

C) Messimer sales reps will be able to service hard-to-reach customers more effectively.
Answer: C Diff: 3 Page Ref: 465 Skill: Application Objective: 16-2

86) An IBM sales representative is giving a product demonstration to a Best Buy representative. Assisting with the demonstration are an engineer, a financial analyst, and an information systems specialist. If IBM wins the Best Buy account, then all four IBM representatives will service the Best Buy account. This is an example of_____.

A) team selling
Answer: A Diff: 1 Page Ref: 466 AACSB: Analytic Skills
Skill: Application Objective: 16-2

87) Sales have been slow recently at B & B Materials, so management has organized a training program to improve the performance of its sales force. Which of the following would most likely lead to improved sales for B & B Materials?

B) information about the marketing strategies used by competitors
Answer: B Diff: 2 Page Ref: 467 AACSB: Analytic Skills
Skill: Application Objective: 16-2

88) The CEO of Comfy Carpet, Rick Hadley, was skeptical about Web-based training until his sales manager explained that online training is_____.

D) cost competitive and efficient
Answer: D Diff: 1 Page Ref: 467 Skill: Application Objective: 16-2

89) At Deck Decor, a manufacturer of outdoor furniture and accessories, the marketing and sales force objectives are to grow relationships with existing customers and to acquire new business. Which of the following compensation plans should management establish to encourage the sales force to pursue both of these objectives?

E) salary plus commission plus bonus for new accounts
Answer: E Diff: 3 Page Ref: 468-469 AACSB: Analytic Skills
Skill: Application Objective: 16-2

90) Mary Conti is sales manager for National Computer Training. She wants to evaluate the performance of her sales force that is responsible for the New England territory. Mary will most likely review all of the following in her evaluation EXCEPT_____.

A) call plans
Answer: A Diff: 2 Page Ref: 471 AACSB: Analytic Skills
Skill: Application Objective: 16-2

91) The sales force of Conway Pools has qualified a number of leads. Which of the following will most likely occur next?

C) The outside sales force will learn as much as possible about the prospects.
Answer: C Diff: 3 Page Ref: 473 AACSB: Analytic Skills
Skill: Application Objective: 16-3

92) Marlene Arau is a member of the sales force at Urban Fashions, a clothing manufacturer. Marlene is preparing for a first meeting with a wholesaler who is a potential customer. Marlene is learning as much as she can about the wholesaler's organization. Marlene is in the_____step of the personal selling process.

C) preapproach
Answer: C Diff: 2 Page Ref: 473 AACSB: Analytic Skills
Skill: Application Objective: 16-3

93) An insert in a Land's End catalog offers free shipping on your next purchase. This is an example of a__.

A) sales promotion
Answer: A Diff: 2 Page Ref: 475 and 477 AACSB: Analytic Skills
Skill: Application Objective: 16-4

94) Monty Boyd travels frequently on West Coast Airlines for his job as an account manager. Monty earns points for every mile he flies, and he will soon have enough points to receive a free airline ticket. West Coast Airlines is building a customer relationship with Monty using which of the following?

E) frequency marketing program
Answer: E Diff: 1 Page Ref: 478 AACSB: Analytic Skills
Skill: Application Objective: 16-4

95) Toro ran a clever preseason promotion on some of its snow blower models, offering some money back if the snowfall in the buyer's market area turned out to be below average. This is an example of a(n)_____.

E) rebate
Answer: E Diff: 2 Page Ref: 480 AACSB: Analytic Skills
Skill: Application Objective: 16-4

96) An example of a(n)_____is a five-foot-high cardboard display of Tony the Tiger next to Frosted Flakes cereal boxes.

B) POP promotion
Answer: B Diff: 2 Page Ref: 480 AACSB: Analytic Skills
Skill: Application Objective: 16-4

97) Kirk Wilkins renewed his cell phone contract with Zip Wireless and purchased a new cell phone through the Zip Web site. If Kirk mails Zip his phone receipt, proof of purchase, and a completed form, he will receive $50 in the mail. What type of sales promotion is being used by Zip?

E) rebate
Answer: E Diff: 1 Page Ref: 480 AACSB: Analytic Skills
Skill: Application Objective: 16-4

98) Which of the following promotions would be most appropriate for Reliable Tool to use in its attempt to promote its products and generate new business leads?

E) conventions and trade shows
Answer: E Diff: 1 Page Ref: 482 AACSB: Analytic Skills
Skill: Application Objective: 16-4

Chapter 17 Direct and Online Marketing: Building Direct Customer Relationships

1) Amazon.com was the first company to use_____, which is technology that sorts through customer purchasing patterns to create personalized site content.

E) collaborative filtering
Answer: E Diff: 2 Page Ref: 489 AACSB: Use of IT Skill: Concept
Objective: 17-1

2) What are the two main goals of direct marketing?

C) to obtain an immediate response and build a lasting customer relationship
Answer: C Diff: 2 Page Ref: 490 Skill: Concept Objective: 17-1

3) Modern direct marketers rely heavily on database technologies and the Internet, while early direct marketers primarily used direct mailers, telemarketing, and_____.

B) catalogs
Answer: B Diff: 1 Page Ref: 490 AACSB: Use of IT Skill: Concept
Objective: 17-1

4) Amazon.com, eBay, and GEICO employ_____as the only method of doing business with customers.

C) direct marketing
Answer: C Diff: 1 Page Ref: 491 Skill: Concept Objective: 17-1

5) Direct marketing is continuing to become more_____oriented.

B) Web
Answer: B Diff: 2 Page Ref: 491 AACSB: Use of IT Skill: Concept
Objective: 17-1

6) All of the following are benefits of direct marketing for buyers EXCEPT_____.

C) guaranteed low prices
Answer: C Diff: 2 Page Ref: 492 Skill: Concept Objective: 17-1

7) All of the following are benefits of direct marketing for sellers EXCEPT_____.

C) mass reach and frequency
Answer: C Diff: 2 Page Ref: 492-493 Skill: Concept Objective: 17-1

8) One of the advantages of direct marketing for sellers is that direct marketing_____.

A) offers access to buyers outside local markets
Answer: A Diff: 3 Page Ref: 493 AACSB: Reflective Thinking
Skill: Concept Objective: 17-1

9) Which of the following is essential for direct marketing to be effective?

B) a good customer database
Answer: B Diff: 2 Page Ref: 493 Skill: Concept Objective: 17-1

10) A customer database is an organized collection of geographic, demographic, psychographic, and _____data about individual customers or prospects.

D) behavioral
Answer: D Diff: 2 Page Ref: 493 Skill: Concept Objective: 17-1

11) Information about a customer's age, income, and family make-up is in the_____category of a customer database.

A) demographic
Answer: A Diff: 2 Page Ref: 493 Skill: Concept Objective: 17-1

12) Psychographics data in a customer database used by direct marketers includes information regarding a customer's_____and_____.

B) activities; opinions
Answer: B Diff: 2 Page Ref: 493 Skill: Concept Objective: 17-1

13) All of the following are common uses for a direct marketing customer database EXCEPT _____.

D) gathering marketing intelligence about competitors
Answer: D Diff: 3 Page Ref: 494 Skill: Concept Objective: 17-1

14) How does database marketing benefit consumers?

B) Companies match customer needs and interests with products and services.
Answer: B Diff: 3 Page Ref: 494 Skill: Concept Objective: 17-1

15) All of the following are forms of direct marketing EXCEPT_____.

B) public relations
Answer: B Diff: 1 Page Ref: 495 Skill: Concept Objective: 17-2

16) Which kind of marketing involves sending an offer, announcement, reminder, or other item to a person at a particular address?

D) direct-mail marketing
Answer: D Diff: 1 Page Ref: 495 Skill: Concept Objective: 17-2

17) Catalogs, brochures, CDs, and DVDs are all examples of which type of marketing?

B) direct-mail marketing
Answer: B Diff: 1 Page Ref: 495 Skill: Concept Objective: 17-2

18) Which of the following reasons is LEAST likely to explain why direct-mail marketing drives more than a third of all U.S. direct marketing sales?

A) less expensive than TV and magazine ads
Answer: A Diff: 3 Page Ref: 496 Skill: Concept Objective: 17-2

19) The use of which of the new forms of direct-mail marketing is booming?

B) e-mail
Answer: B Diff: 2 Page Ref: 496 Skill: Concept Objective: 17-2

20) Most companies that create print catalogs now also provide_____catalogs to eliminate production, printing, and mailing costs.

D) Web-based
Answer: D Diff: 2 Page Ref: 496 Skill: Concept Objective: 17-2

21) Which of the following is an advantage of printed catalogs over digital catalogs?

C) a stronger emotional connection with customers
Answer: C Diff: 2 Page Ref: 497 AACSB: Reflective Thinking
Skill: Concept Objective: 17-2

22) Marketers use_____telephone marketing to receive orders from television ads and catalogs.

A) inbound
Answer: A Diff: 1 Page Ref: 497 Skill: Concept Objective: 17-2

23) Which of the following is an advantage of a well-designed and targeted telemarketing plan?

C) purchasing convenience for customers
Answer: C Diff: 3 Page Ref: 497 AACSB: Reflective Thinking
Skill: Concept Objective: 17-2

24) How has the National Do Not Call Registry changed the telemarketing industry?

E) Telemarketers are more effectively managing relationships with existing customers.
Answer: E Diff: 3 Page Ref: 498 Skill: Concept Objective: 17-2

25) Why are historically online shops such as Zappos.com and JohnandKiras.com adding catalogs to their marketing methods?

D) to attract the attention of new customers
Answer: D Diff: 3 Page Ref: 498 Skill: Concept Objective: 17-2

26) Which of the following is the most accurate name for a 30-minute television advertising program marketing a single product?

E) infomercial
Answer: E Diff: 1 Page Ref: 499 Skill: Concept Objective: 17-2

27) What are two major forms of direct-response television marketing?

B) home shopping channels and infomercials
Answer: B Diff: 2 Page Ref: 499 Skill: Concept Objective: 17-2

28) Direct-response advertisements always contain_____, making it easier for marketers to gauge the effectiveness of their sales pitches.

B) a 1-800 number or Web address
Answer: B Diff: 2 Page Ref: 500 Skill: Concept Objective: 17-2

29) Why have direct-response television commercials seen an increase in popularity in recent years?

C) The ability to track phone calls and Web-site hits makes it easy to measure the return on advertising investment.
Answer: C Diff: 3 Page Ref: 500 Skill: Concept Objective: 17-2

30) A television program or entire channel dedicated to selling goods and services is known as a(n) _____.

B) home shopping channel
Answer: B Diff: 1 Page Ref: 500 Skill: Concept Objective: 17-2

31) Firms , such as Kodak and Fuji, are placing_____in stores, airports, and other locations to provide people with information about products and services or to enable customers to place orders.

A) kiosks
Answer: A Diff: 1 Page Ref: 501 AACSB: Use of IT Skill: Concept Objective: 17-2

32) Ring-tone giveaways, mobile games, and text-in contests are all examples of_____marketing.

E) mobile phone
Answer: E Diff: 1 Page Ref: 502 AACSB: Use of IT Skill: Concept
Objective: 17-2

33) Marketers view mobile phones as the next big marketing medium for all of the following reasons EXCEPT_____.

B) Unlike telemarketing, mobile phone marketing is initially appealing to most cell phone users.
Answer: B Diff: 3 Page Ref: 502 AACSB: Use of IT Skill: Concept
Objective: 17-2

34) Which of the following enables consumers to download files from the Internet to a handheld device?

C) podcasting
Answer: C Diff: 1 Page Ref: 503 AACSB: Use of IT Skill: Concept
Objective: 17-2

35) _____allows consumers to gain additional information about a product through the use of a remote control.

E) Interactive television
Answer: E Diff: 1 Page Ref: 503 AACSB: Use of IT
Skill: Concept Objective: 17-2

36) What is the fastest growing form of direct-marketing?

B) online marketing
Answer: B Diff: 2 Page Ref: 504 Skill: Concept Objective: 17-3

37) The Internet gave birth to_____, which operate only on the Internet.

D) click-only companies
Answer: D Diff: 1 Page Ref: 504 AACSB: Use of IT Skill: Concept
Objective: 17-3

38) As one of the first_____, Amazon.com changed the rules of marketing and set the bar high for the online customer experience.

A) e-tailers
Answer: A Diff: 2 Page Ref: 504 AACSB: Use of IT Skill: Concept
Objective: 17-3

39) *New York Times* on the Web, ESPN.com, and Encyclopedia Britannica Online are known as _____because they provide financial, research, and other information.

B) content sites
Answer: B Diff: 2 Page Ref: 504 AACSB: Use of IT Skill: Concept Objective: 17-3

40) _____is the term used to describe a company that does not use online marketing.

B) Brick-and-mortar
Answer: B Diff: 2 Page Ref: 504 Skill: Concept Objective: 17-3

41) The growth of the Internet caused many brick-and-mortar firms to_____in response to customer demands and a changing marketplace.

C) become click-and-mortar firms
Answer: C Diff: 2 Page Ref: 504 AACSB: Use of IT Skill: Concept Objective: 17-3

42) Which of the following is NOT one of the four major online marketing domains?

B) B2R (business-to-retailer)
Answer: B Diff: 2 Page Ref: 505 Skill: Concept Objective: 17-3

43) The popular press has paid the most attention to_____online marketing, which is the online selling of goods and services to final consumers.

A) B2C
Answer: A Diff: 2 Page Ref: 505 Skill: Concept Objective: 17-3

44) B2B uses all of the following online resources to reach new business customers EXCEPT _____.

B) social networks
Answer: B Diff: 2 Page Ref: 506 AACSB: Use of IT Skill: Concept Objective: 17-3

45) The online exchange of goods and information between final consumers is called_____.

C) C2C
Answer: C Diff: 2 Page Ref: 507 Skill: Concept Objective: 17-3

46) Amazon.com Auctions, eBay, and Craigslist.com are popular market spaces that facilitate the online exchange of goods and information and are examples of_____online marketing.

C) C2C
Answer: C Diff: 2 Page Ref: 507 Skill: Concept Objective: 17-3

47) What is the benefit to companies of using blogs as marketing tools?

E) Blogs are an inexpensive yet personal way to reach a fragmented audience.
Answer: E Diff: 3 Page Ref: 508 Skill: Concept Objective: 17-3

48) Which of the following is a potential drawback to advertising on a blog?

A) The content of a blog is difficult to control.
Answer: A Diff: 3 Page Ref: 508 Skill: Concept Objective: 17-3

49) _____online marketing sites are online exchanges in which consumers search out sellers, learn about their offers, and initiate purchases.

D) C2B
Answer: D Diff: 2 Page Ref: 508 Skill: Concept Objective: 17-3

50) When consumers can drive transactions with businesses, what type of online marketing is being used?

E) consumer-to-business
Answer: E Diff: 1 Page Ref: 508 Skill: Concept Objective: 17-3

51) For most companies, the first step in conducting online marketing is to_____.

B) create a Web site
Answer: B Diff: 2 Page Ref: 508 Skill: Concept Objective: 17-4

52) What is the main purpose of a corporate Web site?

B) to build customer goodwill
Answer: B Diff: 2 Page Ref: 509 Skill: Concept Objective: 17-4

53) _____are designed to build customer goodwill and to supplement other sales channels, rather than to sell the company's products directly.

B) Corporate Web sites
Answer: B Diff: 2 Page Ref: 509 Skill: Concept Objective: 17-4

54) _____are designed to engage consumers in interactions that will move them closer to a direct purchase or other marketing outcome.

B) Marketing Web sites
Answer: B Diff: 2 Page Ref: 509 Skill: Concept Objective: 17-4

55) To attract new visitors and to encourage revisits, online marketers should pay close attention to the seven Cs of effective Web site design. Which of the following is NOT one of the seven Cs?

D) customer: the way the customer is given incentives to use the Web site
Answer: D Diff: 3 Page Ref: 510 AACSB: Use of IT Skill: Concept
Objective: 17-4

56) Of the seven Cs of effective Web site design,_____refers to the ways that the site enables user-to-user communication.

C) community
Answer: C Diff: 2 Page Ref: 510 AACSB: Use of IT Skill: Concept
Objective: 17-4

57) According to the seven Cs of effective Web site design, a Website's capability to enable commercial transactions is its level of_____.

D) commerce
Answer: D Diff: 2 Page Ref: 510 AACSB: Use of IT Skill: Concept
Objective: 17-4

58) _____are online ads that appear between screen changes on a Web site, especially while a new screen is loading.

B) Interstitials
Answer: B Diff: 2 Page Ref: 511 AACSB: Use of IT Skill: Concept
Objective: 17-4

59) Which of the following types of ads can users block through the use of applications developed by Web browser providers?

B) pop-ups
Answer: B Diff: 2 Page Ref: 511 AACSB: Use of IT Skill: Concept
Objective: 17-4

60) Display ads that use eye-catching techniques such as float, fly, and snapback are called_____.

E) rich-media ads
Answer: E Diff: 2 Page Ref: 511-512 AACSB: Use of IT Skill: Concept
Objective: 17-4

61) A large percentage of online advertising expenditures goes towards_____, which are text-based ads and links that appear alongside search engine results.

D) contextual advertisements
Answer: D Diff: 2 Page Ref: 512 AACSB: Use of IT Skill: Concept
Objective: 17-4

62) When companies work with each other online and offline to promote each other, they are creating _____.

E) alliance and affiliate programs
Answer: E Diff: 2 Page Ref: 512 Skill: Concept Objective: 17-4

63) What does the term *viral marketing* mean?

D) It refers to word-of-mouth marketing that occurs online.
Answer: D Diff: 1 Page Ref: 512 Skill: Concept Objective: 17-4

64) Which of the following is a primary disadvantage of viral marketing?

C) Marketers have little control over who receives the viral message.
Answer: C Diff: 3 Page Ref: 513 AACSB: Use of IT
Skill: Concept Objective: 17-4

65) All of the following are examples of online social networks EXCEPT_____.

D) interstitials
Answer: D Diff: 1 Page Ref: 513 AACSB: Use of IT Skill: Concept
Objective: 17-4

66) Online communities where people socialize or exchange information and opinions are called _____.

C) online social networks
Answer: C Diff: 1 Page Ref: 513 AACSB: Use of IT Skill: Concept
Objective: 17-4

67) Which of the following is a challenge of marketing through online social networks?

A) Users often resent an intrusive marketing message.
Answer: A Diff: 3 Page Ref: 514-515 AACSB: Use of IT Skill: Concept Objective: 17-4

68) What characteristic of niche sites makes the medium MOST appealing to marketers?

C) audiences of people with similar interests
Answer: C Diff: 3 Page Ref: 514-515 Skill: Concept Objective: 17-4

69) Unsolicited and unwanted commercial e-mail is known as_____.

E) spam
Answer: E Diff: 1 Page Ref: 516 Skill: Concept Objective: 17-4

70) According to your textbook, what is the most likely future for online marketing?

D) Online marketing will remain an important approach in an integrated marketing mix.
Answer: D Diff: 3 Page Ref: 516 Skill: Concept Objective: 17-4

71) In an attempt to take advantage of impulsive buyers, heat merchants use_____to deceive customers.

A) direct-mail marketing
Answer: A Diff: 2 Page Ref: 517 Skill: Concept Objective: 17-5

72) Which of the following is a type of identity theft that uses deceptive e-mails and fraudulent web sites to fool consumers into revealing their personal data?

D) phishing
Answer: D Diff: 2 Page Ref: 517 Skill: Concept Objective: 17-5

73) Which of the following is NOT a deception or fraud concern for Internet users and marketers?

B) viral marketing
Answer: B Diff: 2 Page Ref: 517 Skill: Concept Objective: 17-5

74) What happened in direct response to the FTC finding that many Web sites were collecting personal information from children without disclosure or parental permission?

B) Congress passed the Children's Online Privacy Protection Act.
Answer: B Diff: 3 Page Ref: 519 Skill: Concept Objective: 17-5

75) All of the following are the likely results of direct marketing abuses EXCEPT_____.

D) requests for more Internet oversight and legislation
Answer: D Diff: 3 Page Ref: 519 Skill: Concept Objective: 17-5

76) Adams Cutlery has always relied upon advertising to market its products to final customers. However, the marketing team at Adams Cutlery now wants to begin a direct marketing campaign consisting of a company Web site, e-mails to current customers, and an online catalog. Which of the following would the marketing team expect to gain as a result of implementing this direct marketing plan?

D) the ability to learn more about their customers and tailor offerings to fit their needs
Answer: D Diff: 2 Page Ref: 492 AACSB: Analytic Skills Skill: Application Objective: 17-1

77) Financial services provider USAA sends materials about teaching teenagers how to drive safely to USAA customers who have children approaching driving eligibility age. USAA is using _____ information from a customer database to determine which customers should receive the materials.

A) demographic
Answer: A Diff: 2 Page Ref: 493 AACSB: Analytic Skills Skill: Application Objective: 17-1

78) Fiona Lambrech is the marketing director of a charity that raises funds to help provide educational services to children and families in developing countries. Fiona wants to reach a select market of individuals who have recently donated to international charities. Which of the following types of direct marketing will Fiona most likely use?

A) direct-mail marketing
Answer: A Diff: 2 Page Ref: 495 AACSB: Analytic Skills Skill: Application Objective: 17-2

79) Organic Designs is a small, successful chain of stores offering stylish clothes made of all-organic materials for infants, toddlers, and young children. Most of the Organic Designs stores are located in urban areas. Now Organic Designs is considering using direct marketing to reach potential customers who live outside of the company's existing markets, with the goal of creating emotional connections and long-term relationships with a new group of customers. Which of the following methods of direct marketing would most likely be effective in accomplishing this goal?

C) catalog marketing
Answer: C Diff: 2 Page Ref: 496-497 AACSB: Analytic Skills Skill: Application Objective: 17-2

80) Gutter Guys is a gutter installation company in Southern California that used to generate most of its sales through telemarketing but now uses direct mail to reach prospective customers. Which of the following most likely explains the reason that Gutter Guys switched from telemarketing to direct mail?

E) National Do Not Call Registry
Answer: E Diff: 1 Page Ref: 497-498 AACSB: Analytic Skills Skill: Application Objective: 17-2

81) Neal Murphy sells his company's unique gift items on television programs and entire channels dedicated to selling goods and services. Neal is using_____.

A) direct-response television advertising
Answer: A Diff: 2 Page Ref: 499 AACSB: Analytic Skills Skill: Application Objective: 17-2

82) A producer of beverages and snack foods wants to market its products to the 18-to-34-year-old demographic by providing incentives to respond instantly to time-sensitive offers. Which of the following forms of direct marketing would this producer most likely choose?

C) mobile phone
Answer: C Diff: 3 Page Ref: 502 AACSB: Analytic Skills Skill: Application Objective: 17-2

83) Company X began as a brick-and-mortar company. Which of the following statements MUST be true?

A) By adding online marketing options, Company X would become a click-and-mortar company.
Answer: A Diff: 2 Page Ref: 504 AACSB: Analytic Skills
Skill: Application Objective: 17-3

84) Office Depot is a click-and-mortar company. Which of the following is LEAST likely to be an advantage that Office Depot has over click-only competitors?

E) Office Depot focuses on large accounts through its online presence and small businesses through its retail stores.
Answer: E Diff: 3 Page Ref: 504-505 AACSB: Analytic Skills
Skill: Application Objective: 17-3

85) Green Gardens is a click-and-mortar seller of gardening and landscaping goods and equipment, but the marketing department wants to promote the Green Gardens Web site. When customers are unable to find a product they need on the shelves of their local Green Gardens, the marketing department wants them to search for the product on the Green Gardens Web site. Which of the following marketing devices is the best match for this goal?

A) kiosks
Answer: A Diff: 2 Page Ref: 505 AACSB: Analytic Skills
Skill: Application Objective: 17-3

86) ABC Company sells directly to final consumers and avoids intermediaries, while catering to a broad group of demographic segments. This marketer falls under which online marketing domain?

A) B2C
Answer: A Diff: 1 Page Ref: 505 AACSB: Analytic Skills
Skill: Application Objective: 17-3

87) Jane Cheatham, a stay-at-home mother, regularly posts new entries on a widely read blog. In these entries, she often reviews consumer products that she uses during the course of her day. Jane participates in_____.

B) C2C online marketing
Answer: B Diff: 1 Page Ref: 507 AACSB: Analytic Skills
Skill: Application Objective: 17-3

88) By using Priceline.com, potential buyers can bid for airline tickets, hotel rooms, rental cars, cruises, and vacation packages. It is then up to sellers to decide whether or not to accept an offered bid. This is an example of_____.

D) C2B online marketing
Answer: D Diff: 1 Page Ref: 508 AACSB: Analytic Skills
Skill: Application Objective: 17-3

89) Converse has a Web site that welcomes consumers to "the Converse Century," invites readers to post their Converse stories, and offers a wide variety of Converse shoes for direct purchase. The site even allows customers to individually design their own shoes. The Converse site is most accurately categorized as which of the following types of Web sites?

E) a marketing site
Answer: E Diff: 2 Page Ref: 509 AACSB: Analytic Skills
Skill: Application Objective: 17-4

90) Oscar Aviation has a corporate Web site. Prospective customers are most likely able to do all of the following on the site EXCEPT_____.

D) purchase products
Answer: D Diff: 2 Page Ref: 509 AACSB: Analytic Skills
Skill: Application Objective: 17-4

91) In attempting to design an effective Web site, Company A tried to address all of the seven Cs. The site, however, has a weak layout and design. Which C does this represent?

C) context
Answer: C Diff: 2 Page Ref: 510 AACSB: Analytic Skills
Skill: Application Objective: 17-4

92) You are looking up airline schedules on the Internet. A bar at the top of the screen reads, "Stay at Holiday Inn and get a 25 percent discount!" This is a(n)_____.

A) banner
Answer: A Diff: 2 Page Ref: 511 AACSB: Analytic Skills
Skill: Application Objective: 17-4

93) You have accessed fare information on Northwest Airlines' Web site. You want to compare it with United Airlines' fares. In between screen changes, an ad appears from Alamo Car Rental. This is a(n)_____.

E) interstitial
Answer: E Diff: 2 Page Ref: 511 AACSB: Analytic Skills
Skill: Application Objective: 17-4

94) Uptown Cleaning Crew is a company that provides house cleaning services in major urban and suburban areas. Marketers at Uptown Cleaning Crew developed a short, humorous video promoting the company's services, and they hope that customers who see the video will be so entertained that they will pass it on to their friends and colleagues. The marketers at Uptown Cleaning Crew are using _____.

B) viral marketing
Answer: B Diff: 2 Page Ref: 512 AACSB: Analytic Skills
Skill: Application Objective: 17-4

95) Runners can compare performances, set up profiles, and meet new friends on Nike's Nike Plus Web site. Nike Plus is an example of a_____.

C) Web community
Answer: C Diff: 2 Page Ref: 515 AACSB: Analytic Skills
Skill: Application Objective: 17-4

96) After selecting a sweater on the Land's End Web site, Kelly Oldham filled out the required customer and credit card information. A box with a checkmark inside was next to the following statement :"Yes, I would like to receive promotional information via e-mail from Land's End." The statement suggests that Land's End is using which of the following marketing tools?

E) permission-based e-mail marketing
Answer: E Diff: 1 Page Ref: 516 AACSB: Analytic Skills
Skill: Application Objective: 17-4

97) Charlie Putnam received an e-mail promoting a new financial services institution that offers surprisingly low mortgage rates. The e-mail simply asked customers to provide their address, date of birth, social security number, and current mortgage information in order to receive a free loan quote. Suspicious of the offer, Charlie researched the company and discovered that the e-mail was a fraud. This is an example of_____.

B) phishing
Answer: B Diff: 2 Page Ref: 517 AACSB: Analytic Skills
Skill: Application Objective: 17-5

Chapter 18 Creating Competitive Advantage

1) Of the following successful marketing strategies in the past, today's Nike has learned that the most important is_____.

C) building deep community with customers
Answer: C Diff: 2 Page Ref: 527 Skill: Concept Objective: 18-1

2) To gain_____requires delivering more value and satisfaction to target consumers than competitors do.

A) competitive advantage
Answer: A Diff: 2 Page Ref: 528 Skill: Concept Objective: 18-1

3) The first step in initiating competitive marketing strategies is to conduct _____.

D) competitor analysis
Answer: D Diff: 3 Page Ref: 528 Skill: Concept Objective: 18-1

4) Part two of a competitor analysis is assessing all of the following EXCEPT a company's_____.

B) employees
Answer: B Diff: 1 Page Ref: 529 Skill: Concept Objective: 18-1

5) Strategies that strongly position the company against competitors and that give the company the strongest possible strategic advantage are_____.

C) competitive marketing strategies
Answer: C Diff: 3 Page Ref: 528 Skill: Concept Objective: 18-2

6) _____involves first identifying and assessing competitors and then selecting which competitors to attack or avoid.

A) Competitor analysis
Answer: A Diff: 2 Page Ref: 528 Skill: Concept Objective: 18-1

7) To plan effective marketing strategies, the company needs to find out all it can about its competitors. It must constantly compare its marketing strategies, products, prices, channels, and promotion with those of close competitors. This is an example of_____.

B) competitor analysis
Answer: B Diff: 2 Page Ref: 528 Skill: Concept Objective: 18-1

8) Companies can identify competitors from a_____point of view. Here they define competitors as companies that are trying to satisfy the same customer need or build relationships with the same customer group.

C) market
Answer: C Diff: 2 Page Ref: 529 Skill: Concept Objective: 18-1

9) Companies can identify_____from both the industry and market point of view.

A) competitors
Answer: A Diff: 1 Page Ref: 529 Skill: Concept Objective: 18-1

10) A company is guilty of_____if the company forgets latent competitors and only focuses on current competitors.

E) competitor myopia
Answer: E Diff: 2 Page Ref: 529 Skill: Concept Objective: 18-1

11) Kodak's film business didn't suffer at the hands of direct competitor Fujifilm; it lost out to Sony, Canon, and other digital camera makers, along with a host of digital image developers and online image sharing services. This is an example of_____.

D) competitor myopia
Answer: D Diff: 2 Page Ref: 529 AACSB: Analytic Skills
Skill: Application Objective: 18-1

12) Hallmark's Binney & Smith, maker of Crayola crayons, might define its competitors as other makers of crayons and children's drawing supplies. But from a/an_____point of view, it would include all firms making recreational and educational products for children.

B) market
Answer: B Diff: 2 Page Ref: 529 Skill: Application Objective: 18-1

13) From a/an_____point of view, Pepsi might see its competition as Coca-Cola, Dr Pepper, 7UP, and the makers of other soft drink brands. From a/an _____point of view, however, the customer really wants "thirst quenching."

D) industry; market
Answer: D Diff: 2 Page Ref: 529 AACSB: Analytic Skills
Skill: Application Objective: 18-1

14) All of the following are fundamental questions that a marketing management team considers when assessing competitors EXCEPT?

D) What are various competitors' locations?
Answer: D Diff: 2 Page Ref: 530 Skill: Concept Objective: 18-1

15) Each competitor has a mix of objectives. The company wants to know the relative importance that a competitor places on all of the following EXCEPT _____.

A) company history
Answer: A Diff: 2 Page Ref: 530 Skill: Concept Objective: 18-1

16) A company that pursues_____leadership will react much more strongly to a competitor's_____manufacturing breakthrough than to the same competitor's advertising increase.

B) low-cost; cost reducing
Answer: B Diff: 3 Page Ref: 530 Skill: Application Objective: 18-1

17) The more that one firm's strategy resembles another firm's strategy, the more the two firms_____.

A) compete
Answer: A Diff: 2 Page Ref: 530 Skill: Concept Objective: 18-1

18) General Electric and Whirlpool each produce a full line of medium-price appliances supported by good service. In contrast, Sub-Zero and Viking produce a narrower line of higher quality appliances, offer a higher level of service, and charge a premium price. The first group and second group of companies are in the same_____group.

B) strategic
Answer: B Diff: 3 Page Ref: 530 Skill: Application Objective: 18-1

19) Companies need to know each competitor's product quality, features, and mix; customer services; pricing policy; distribution coverage; sales force strategy; and advertising and sales promotion programs. These are all the dimensions that identify_____groups within the industry.

D) strategic
Answer: D Diff: 2 Page Ref: 530 AACSB: Analytic Skills
Skill: Application Objective: 18-1

20) Companies use secondary data, personal experience, benchmarking, and word of mouth to_____.

B) learn about their competitors' strengths and weaknesses
Answer: B Diff: 3 Page Ref: 531 Skill: Concept Objective: 18-1

21) _____is the process of comparing the company's products and processes to those of competitors or leading firms in other industries to find ways to improve quality and performance.

D) Benchmarking
Answer: D Diff: 1 Page Ref: 531 Skill: Concept Objective: 18-1

22) Benchmarking has become a powerful tool for increasing a company's _____,

E) competitiveness
Answer: E Diff: 2 Page Ref: 531 Skill: Concept Objective: 18-1

23) Knowing how major competitors react gives the company clues on how best to_____competitors or how best to _____ the company's current positions.

C) attack; defend
Answer: C Diff: 3 Page Ref: 531 Skill: Application Objective: 18-1

24) Most companies prefer to aim competition against _____.

C) weak competitors
Answer: C Diff: 2 Page Ref: 531 Skill: Concept Objective: 18-1

25) A firm should compete with_____competitors in order to sharpen its abilities. Succeeding against these competitors often provides greater returns.

A) strong
Answer: A Diff: 2 Page Ref: 531 Skill: Concept Objective: 18-1

26) Analysis conducted to determine what benefits target customers value and how they rate the relative value of various competitors' offers is known as _____.

A) customer value analysis
Answer: A Diff: 2 Page Ref: 531 Skill: Concept Objective: 18-1

27) PepsiCo conducts a survey on all Coca-Cola drinkers to assess the company's strengths and weaknesses upon their target customers. PepsiCo is using a/an _____.

D) customer value analysis
Answer: D Diff: 2 Page Ref: 531 AACSB: Analytic Skills
Skill: Application Objective: 18-1

28) A company wants to find the_____, the place where it meets customers' needs in a way that rivals can't.

A) "strategic sweet spot"
Answer: A Diff: 2 Page Ref: 531 Skill: Concept Objective: 18-1

29) If the company's offer delivers greater value by exceeding the competitor's offer on important attributes, the company can charge a higher price and _____, or it can charge the same price and_____.

C) earn higher profits; gain more market share
Answer: C Diff: 3 Page Ref: 531 Skill: Concept Objective: 18-1

30) Most companies will compete with_____rather than_____.

B) close competitors; distant competitors
Answer: B Diff: 3 Page Ref: 532 Skill: Concept Objective: 18-1

31) The following are all examples of close competitors EXCEPT_____.

E) Nike and Timberland
Answer: E Diff: 1 Page Ref: 532 AACSB: Analytic Skills
Skill: Application Objective: 18-1

32) A company's close competitors are_____.

C) those that most resemble the company's operations
Answer: C Diff: 2 Page Ref: 532 Skill: Concept Objective: 18-1

33) All of the following statements are benefits from the existence of competitors EXCEPT?

D) Competitors divide the target market.
Answer: D Diff: 2 Page Ref: 532 AACSB: Reflective Thinking
Skill: Concept Objective: 18-1

34) An industry often contains "good" and "bad" competitors. Good competitors _____.

C) play by the rules
Answer: C Diff: 2 Page Ref: 533 Skill: Concept Objective: 18-1

35) Most competitors in the music download industry see Apple's iTunes Music Store as a _____ because they created a closed system with mass appeal.

C) bad competitor
Answer: C Diff: 3 Page Ref: 533 AACSB: Analytic Skills
Skill: Application Objective: 18-1

36) The implication suggested by strategic actions of "good competitor companies" is that they would like to shape an industry that consists of _____.

D) only well-behaved competitors
Answer: D Diff: 2 Page Ref: 533 Skill: Concept Objective: 18-1

37) Rather than competing head to head with established competitors, many companies seek out unoccupied positions in uncontested market spaces. They try to create products and services for which there are no direct competitors. This is called a_____.

D) "blue ocean strategy"
Answer: D Diff: 1 Page Ref: 533 Skill: Concept Objective: 18-1

38) Tomorrow's leading companies will succeed by creating "blue oceans" of uncontested market space. Such strategic moves, termed_____, create powerful leaps in value for both the firm and its buyers, creating all new demand and rendering rivals obsolete.

C) "value innovation"
Answer: C Diff: 3 Page Ref: 533 Skill: Concept Objective: 18-1

39) An example of a company exhibiting blue-ocean thinking is_____.

E) Cirque du Soleil's reinvention of the circus as a higher form of modern entertainment
Answer: E Diff: 3 Page Ref: 534 AACSB: Analytic Skills
Skill: Application Objective: 18-1

40) There are specific kinds of information that companies need about their competitors. The_____system first identifies the vital types of competitive information and the best sources of this information.

C) competitive intelligence
Answer: C Diff: 1 Page Ref: 534 Skill: Concept Objective: 18-1

41) Which statement is NOT a factor of the competitive intelligence system?

B) The system creates a new brand image and marketing concept.
Answer: B Diff: 2 Page Ref: 534 Skill: Concept Objective: 18-1

42) A manager who used to work for a competitor might follow that competitor closely to see what it does in the marketplace. Such a manager would be considered to be your company's_____expert.

D) in-house
Answer: D Diff: 2 Page Ref: 534 Skill: Concept Objective: 18-1

43) Having identified and evaluated its major competitors, the company now must design broad competitive marketing strategies by which it can gain competitve advantage through superior_____.

A) customer value
Answer: A Diff: 1 Page Ref: 534 Skill: Concept Objective: 18-2

44) Companies that operate large marketing departments, conduct expensive marketing research, spell out elaborate competitive strategies, and spend huge sums on advertising are using_____competitive marketing strategies.

B) formal
Answer: B Diff: 2 Page Ref: 535 Skill: Concept Objective: 18-2

45) Approaches to marketing strategy and practice often pass through which of the three following stages?

D) entrepreneurial marketing, formulated marketing, and intrepreneurial marketing
Answer: D Diff: 1 Page Ref: 535 Skill: Concept Objective: 18-2

46) Most companies are started by individuals who live by their wits. They visualize an opportunity, construct flexible strategies on the backs of envelopes, and knock on every door to gain attention. What stage in marketing strategy are these individuals in?

C) entrepreneurial marketing
Answer: C Diff: 1 Page Ref: 535 Skill: Concept Objective: 18-2

47) Gary Hirshberg of Stonyfield Farm yogurt company stated that "companies can do better with less advertising, less marketing research, more guerilla marketing, and more acting from the gut." At this point, Hirshberg was following which marketing strategy?

B) entrepreneurial marketing
Answer: B Diff: 3 Page Ref: 535 Skill: Application Objective: 18-2

48) As small companies achieve success, they inevitably move toward more _____marketing. They pore over the latest Nielsen numbers, scan market research reports, and try to fine-tune their competitve strategies and programs.

B) formulated
Answer: B Diff: 1 Page Ref: 535 Skill: Concept Objective: 18-2

49) Companies that have been in existence for some time often lose the marketing creativity and passion that they had at the start. They now need to refresh their marketing strategies and try new approaches. This is known as_____.

D) intrepreneurial marketing
Answer: D Diff: 1 Page Ref: 535 Skill: Concept Objective: 18-2

50) There will be a constant tension between the formulated side of marketing and the_____.

A) creative side
Answer: A Diff: 2 Page Ref: 536 Skill: Concept Objective: 18-2

51) Michael Porter suggests four basic competitive positioning strategies that companies can follow–three winning strategies and one losing one. Which of the following are considered winning strategies?

D) overall cost leadership, differentiation, and focus
Answer: D Diff: 1 Page Ref: 536 Skill: Concept Objective: 18-2

52) Wal-Mart, Texas Instruments, and Dell all achieve the lowest production and distribution costs to win a large market share. They utilize a(n) _____ strategy very effectively.

A) overall cost leadership
Answer: A Diff: 2 Page Ref: 536 AACSB: Analytic Skills
Skill: Application Objective: 18-2

53) Companies that pursue a clear strategy will likely perform well. Firms that do not pursue a clear strategy are called_____.

B) middle-of-the-roaders
Answer: B Diff: 2 Page Ref: 536 Skill: Concept Objective: 18-2

54) Sears and Holiday Inn encountered difficult times because they did not stand out as the lowest in cost, highest in perceived value, or best in serving some market segment. Both companies are_____.

C) middle-of the roaders
Answer: C Diff: 2 Page Ref: 536 AACSB: Analytic Skills
Skill: Application Objective: 18-2

55) Companies can pursue any of the following three strategies, called value disciplines, for delivering superior customer value:

E) operational excellence, customer intimacy, and product leadership
Answer: E Diff: 2 Page Ref: 536-537 Skill: Concept Objective: 18-2

56) When a company provides superior value by leading its industry in price and convenience, it has obtained what is called_____.

C) operational excellence
Answer: C Diff: 1 Page Ref: 536 Skill: Concept Objective: 18-2

57) Wal-Mart, Washington Mutual, and Southwest Airlines serve customers who want reliable, good-quality products or services, but who want them cheaply and easily. They are all known for pursuing a value discipline known as _____.

A) operational excellence
Answer: A Diff: 2 Page Ref: 536 AACSB: Analytic Skills
Skill: Application Objective: 18-2

58) When customers are willing to pay a premium to get precisely what they want and company respond quickly to satisfy customer needs, the company has achieved what is called_____.

A) customer intimacy
Answer: A Diff: 1 Page Ref: 536 Skill: Concept Objective: 18-2

59) Nordstrom, Lexus, American Express, British Airways, and Ritz-Carlton Hotels will do almost anything to build long-term customer loyalty and to capture customer lifetime value. These companies are pursuing which of the following competitive marketing strategy?

E) customer intimacy
Answer: E Diff: 2 Page Ref: 536 AACSB: Analytic Skills
Skill: Application Objective: 18-2

60) If a company's aim is to make its own and competing products obsolete and serve customers who want state-of-the-art products and services, it is using a value discipline called_____.

D) product leadership
Answer: D Diff: 1 Page Ref: 537 Skill: Concept Objective: 18-2

61) Nokia and Apple are open to new ideas, relentlessly pursue new solutions, and work to get new products to market quickly. They serve customers who want state-of-the-art products and services, regardless of the costs in terms of price or inconvenience. These companies are offering what value discipline?

C) product leadership
Answer: C Diff: 2 Page Ref: 537 AACSB: Analytic Skills
Skill: Application Objective: 18-2

62) Which of the following is NOT an example of the competitive positions or roles that firms play in the target market?

E) market provider
Answer: E Diff: 1 Page Ref: 537 Skill: Concept Objective: 18-2

63) Most of the market is in the hands of the_____, the firm with the largest market share.

C) market leader
Answer: C Diff: 1 Page Ref: 537 Skill: Concept Objective: 18-2

64) Forty percent of the market is in the hands of Company A. Another 30 percent is in the hands of Company B. Twenty percent is in the hands of Company C, and the remaining 10 percent is in the hands of Company D. Based on these hypothetical numbers Company B is the market_____.

B) challenger
Answer: B Diff: 3 Page Ref: 537 AACSB: Analytic Skills
Skill: Concept Objective: 18-2

65) Forty percent of the market is in the hands of Company A. Another 30 percent is in the hands of Company B. Twenty percent is in the hands of Company C, and the remaining 10 percent is in the hands of Company D. Based on these hypothetical numbers Company D is the market_____.

D) nicher
Answer: D Diff: 3 Page Ref: 537 AACSB: Analytic Skills
Skill: Concept Objective: 18-2

66) Firms that serve small segments not being pursued by other firms are called _____.

D) market nichers
Answer: D Diff: 1 Page Ref: 537 Skill: Concept Objective: 18-2

67) _____are those runner-up firms that are working to increase its market share in an industry.

B) Market challengers
Answer: B Diff: 1 Page Ref: 537 Skill: Concept Objective: 18-2

68) A runner-up firm that wants to hold its share in an industry without rocking the boat is a_____.

A) market follower
Answer: A Diff: 1 Page Ref: 537 Skill: Concept Objective: 18-2

69) When it comes to creating_____, Ritz-Carlton sets the gold standard. "It's all about providing a unique, personal, memorable experience."

D) customer intimacy
Answer: D Diff: 3 Page Ref: 538 AACSB: Analytic Skills
Skill: Application Objective: 18-2

70) Expanding the total market, protecting market share, and expanding market share are all strategies for_____.

A) market leaders
Answer: A Diff: 3 Page Ref: 538 Skill: Concept Objective: 18-2

71) Which of the following are market challenger strategies?

C) full frontal attack and indirect attack
Answer: C Diff: 3 Page Ref: 538 Skill: Concept Objective: 18-2

72) The_____usually leads the other firms in price changes, new product introductions, distribution coverage, and promotion spending.

A) market leader
Answer: A Diff: 1 Page Ref: 539 Skill: Concept Objective: 18-2

73) To remain number one, leading firms can take any of three actions. First, they can find ways to expand total demand. Second, they can protect their current market share through good defensive and offensive actions. Third, they can _____.

D) try to expand their market share further, even if market size remains constant
Answer: D Diff: 3 Page Ref: 540 Skill: Concept Objective: 18-2

74) The leading firm normally gains the most when the _____.

B) total market expands
Answer: B Diff: 2 Page Ref: 540 Skill: Concept Objective: 18-2

75) Marketers can expand markets by discovering and promoting _____.

D) new uses of the product
Answer: D Diff: 2 Page Ref: 540 Skill: Concept Objective: 18-2

76) Market leaders can expand the market by_____, new uses, and more usage of the product.

C) developing new users
Answer: C Diff: 2 Page Ref: 540 Skill: Concept Objective: 18-2

77) NutriSystem has typically targeted its weight loss programs toward women. Recently, however, it stepped up its efforts to attract male customers. This is an example of how the market leader_____.

D) develops new users
Answer: D Diff: 2 Page Ref: 540 AACSB: Analytic Skills
Skill: Application Objective: 18-2

78) The best response to competitive threats is_____.

A) continuous innovation
Answer: A Diff: 2 Page Ref: 541 Skill: Concept Objective: 18-2

79) Profitability increases as a business gains share relative to competitors in its _____.

D) served market
Answer: D Diff: 2 Page Ref: 541 Skill: Concept Objective: 18-2

80) Higher shares tend to produce higher profits only when_____fall with increased market share.

A) unit costs
Answer: A Diff: 3 Page Ref: 542 AACSB: Reflective Thinking
Skill: Application Objective: 18-2

81) _____can adopt one of two competitive strategies: they can challenge the leader or they can play along with competitors and not rock the boat.

A) Runner-up firms
Answer: A Diff: 2 Page Ref: 542 Skill: Concept Objective: 18-2

82) Although it might seem that the market leader has the most going for it, challengers often have what some strategists call a_____. The challenger observes what has made the leader successful and improves upon it.

B) "second mover advantage"
Answer: B Diff: 2 Page Ref: 542 Skill: Concept Objective: 18-2

83) The market challenger may launch a full_____, matching the competitor's product, advertising, price, and distribution efforts. It attacks the competitor's strengths rather than its weaknesses.

C) frontal attack
Answer: C Diff: 2 Page Ref: 542 Skill: Concept Objective: 18-2

84) Rather than challenging head-on, the challenger can make_____on the competitor's weaknesses or on gaps in the competitor's market coverage.

C) an indirect attack
Answer: C Diff: 2 Page Ref: 542 Skill: Concept Objective: 18-2

85) Red Bull entered the U.S. soft drinks market with a niche product: a carbonated energy drink retailing at about twice what you would pay for a Coke or Pepsi. Their product was sold in unconventional outlets not dominated by the market leaders. In this case, Red Bull was using _____ against the market leaders.

D) an indirect attack
Answer: D Diff: 3 Page Ref: 543 AACSB: Analytic Skills
Skill: Application Objective: 18-2

86) Many firms prefer to_____rather than_____the leader.

A) follow; challenge
Answer: A Diff: 3 Page Ref: 543 Skill: Concept Objective: 18-2

87) The market follower must keep its manufacturing costs and prices _____ or its product quality and services_____.

B) low; high
Answer: B Diff: 3 Page Ref: 543 AACSB: Reflective Thinking
Skill: Concept Objective: 18-2

88) Almost every industry includes firms that specialize in serving target subsegments called_____.

A) market niches
Answer: A Diff: 1 Page Ref: 543 Skill: Concept Objective: 18-2

89) _____is profitable because the needs of the target customer segment are better met than when other firms casually attempt to sell to the same segment.

C) Market niching
Answer: C Diff: 2 Page Ref: 543 Skill: Concept Objective: 18-2

90) Whereas the mass marketer achieves_____, the nicher achieves _____.

C) high volume; high margins
Answer: C Diff: 3 Page Ref: 543 AACSB: Reflective Thinking
Skill: Application Objective: 18-2

91) Computer mouse and interface device maker Logitech is only a fraction the size of giant Microsoft. Yet through skillful_____, it dominates the PC mouse market, with Microsoft as its runner-up.

B) niching
Answer: B Diff: 3 Page Ref: 543-544 Skill: Application Objective: 18-2

92) The key to successful niching is_____.

D) specialization
Answer: D Diff: 1 Page Ref: 544 Skill: Concept Objective: 18-2

93) A market nicher can specialize along all of the following market, customer, product, or marketing mix lines EXCEPT?

E) employees
Answer: E Diff: 3 Page Ref: 544 Skill: Concept Objective: 18-2

94) The market niche may dry up, or it might grow to the point that it attracts larger competitors. That is why many companies practice_____.

A) multiple niching
Answer: A Diff: 2 Page Ref: 544 Skill: Concept Objective: 18-2

95) A company can become so_____centered that it loses its even more important focus on maintaining profitable_____relationships.

B) competitor; customer
Answer: B Diff: 3 Page Ref: 546 AACSB: Reflective Thinking
Skill: Application Objective: 18-3

96) A negative side of the_____is that the company becomes too reactive. Rather than carry out its own customer relationship strategy, it bases its own moves on competitors' moves.

A) competitor-centered company
Answer: A Diff: 2 Page Ref: 546 Skill: Concept Objective: 18-3

97) A positive aspect of a_____is that the company develops a fighter orientation, watches for weaknesses in its own position, and searches out competitors' weaknesses.

C) competitor-centered company
Answer: C Diff: 2 Page Ref: 546 Skill: Concept Objective: 18-3

98) A company that focuses on customer developments in designing its marketing strategies and on delivering superior value to its target customers is a _____.

D) customer-centered company
Answer: D Diff: 1 Page Ref: 546 Skill: Concept Objective: 18-3

99) When companies watch both their customers and their competitors, they are called_____.

B) market-centered companies
Answer: B Diff: 1 Page Ref: 546 Skill: Concept Objective: 18-3

100) All of the below choices are evolving company orientations EXCEPT?

A) central-orientation
Answer: A Diff: 2 Page Ref: 546 Skill: Concept Objective: 18-3

Chapter 19 The Global Marketplace

1) _____industries are safe from foreign competition.

C) Few
Answer: C Diff: 2 Page Ref: 555 Skill: Concept Objective: 19-1

2) As global trade is growing, global competition is _____.

D) intensifying
Answer: D Diff: 1 Page Ref: 555 Skill: Concept Objective: 19-1

3) Firms that play it safe and do not enter the global market are likely to lose their chances to enter other markets_____.

D) and risk losing their home markets
Answer: D Diff: 2 Page Ref: 555 Skill: Concept Objective: 19-1

4) A_____is one that, by operating in more than one country, contains marketing, production, research and development, and financial advantages that are not available to purely domestic competitors.

A) global firm
Answer: A Diff: 1 Page Ref: 555 Skill: Concept Objective: 19-1

5) All of the following are major decisions a company faces in international marketing EXCEPT?

C) deciding how to set standardized prices
Answer: C Diff: 2 Page Ref: 556 AACSB: Analytic Skills
Skill: Concept Objective: 19-1

6) A(n)_____is a tax levied by a foreign government against certain imported products.

B) tariff
Answer: B Diff: 1 Page Ref: 556 Skill: Concept Objective: 19-1

7) A(n)_____is a limit on the amount of goods that an importing country will accept in certain product categories.

D) quota
Answer: D Diff: 1 Page Ref: 556 Skill: Concept Objective: 19-1

8) A(n)_____serves to limit the amount of foreign exchange and the exchange rate against other currencies.

D) exchange control
Answer: D Diff: 2 Page Ref: 556 Skill: Concept Objective: 19-1

9) Bias against bids made by American companies is an example of a(n) _____.

D) nontariff trade barrier
Answer: D Diff: 3 Page Ref: 556 AACSB: Reflective Thinking
Skill: Concept Objective: 19-1

10) U.S. foreign policy makers have criticized China for protectionist regulations and other actions that restrict access to several Chinese markets, including banking services. This is an example of a(an)_____.

A) nontariff trade barrier
Answer: A Diff: 3 Page Ref: 556 AACSB: Analytic Skills
Skill: Application Objective: 19-1

11) Which of the following is designed to help foster trade between nations?

B) GATT
Answer: B Diff: 1 Page Ref: 556 Skill: Concept Objective: 19-1

12) The_____is a 60-year-old treaty designed to promote world trade by reducing tariffs and other international trade barriers.

B) GATT
Answer: B Diff: 2 Page Ref: 557 Skill: Concept Objective: 19-1

13) Concluding in 1994, the Uruguay Round reduced trade barriers, set international standards for trade, and established the_____to enforce GATT rules.

B) EU
Answer: B Diff: 2 Page Ref: 557 Skill: Concept Objective: 19-1

14) Which of the following reduced the world's merchandise tariffs by 30 percent, toughened international protection of copyrights and trademarks, and has been extended to cover trade in agriculture and a wide range of services?

A) GATT
Answer: A Diff: 2 Page Ref: 557 AACSB: Ethical Reasoning
Skill: Concept Objective: 19-1

15) Economic communities are also known as_____.

B) free trade zones
Answer: B Diff: 1 Page Ref: 557 Skill: Concept Objective: 19-1

16) _____is a group of nations organized to work toward common goals in the regulation of international trade.

C) An economic community
Answer: C Diff: 1 Page Ref: 557 Skill: Concept Objective: 19-1

17) Formed in 1957, the_____set out to create a single European market by reducing barriers to the free flow of products, services, finances, and labor among member countries and developing policies on trade with nonmember nations.

B) European Union
Answer: B Diff: 1 Page Ref: 557 Skill: Concept Objective: 19-1

18) The European Union and NAFTA (North American Free Trade Agreement) are examples of_____.

C) economic communities
Answer: C Diff: 1 Page Ref: 557-558 AACSB: Reflective Thinking
Skill: Concept Objective: 19-1

19) Which of the following is true regarding economic communities?

B) Tariffs are typically lower or nonexistent between countries in the community.
Answer: B Diff: 3 Page Ref: 558 AACSB: Analytic Skills
Skill: Concept Objective: 19-1

20) There is concern that through the_____lower barriers inside Europe will create only thicker outside walls.

A) European Union
Answer: A Diff: 2 Page Ref: 557 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1

21) Which of the following economic communities is responsible for the adoption of the euro?

B) European Union
Answer: B Diff: 1 Page Ref: 557 Skill: Concept Objective: 19-1

22) In January 1994,_____established a free trade zone among the United States, Canada, and Mexico.

C) NAFTA
Answer: C Diff: 2 Page Ref: 558 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1

23) Trusted Wholesalers is a company that purchases products produced in Mexico and sells them to companies based in the United States and Canada. Management at Trusted Wholesalers would most likely be interested in becoming experts in the agreements made by_____.

B) NAFTA
Answer: B Diff: 3 Page Ref: 558 AACSB: Reflective Thinking
Skill: Application Objective: 19-1

24) In 2005, the_____established a free trade zone between the United States and Costa Rica, the Dominican Republic, El Salvador, Guatemala, Honduras, and Nicaragua.

A) CAFTA
Answer: A Diff: 2 Page Ref: 558 Skill: Concept Objective: 19-1

25) What is the name of the single agreement that created a market of 443 million people and will eliminate all trade barriers and investment restrictions among the United States, Mexico, and Canada?

C) NAFTA
Answer: C Diff: 2 Page Ref: 558 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1

26) Given the apparent success of NAFTA, talks have been underway since 1994 to establish a free trade zone called_____. This zone would include 34 countries stretching from the Bering Strait to Cape Horn.

C) FTAA
Answer: C Diff: 3 Page Ref: 558 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1

27) Mercusor and CAN have agreed to unite, creating_____, which will make up the largest trading block after NAFTA and the European Union.

C) Unasur
Answer: C Diff: 2 Page Ref: 558 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1

28) Trusted Wholesalers is a company that currently purchases products produced in Mexico and sells them to companies based in the United States and Canada. Trusted Wholesalers is considering whether to also purchase products produced in Costa Rica and the Dominican Republic. To make their decision, members of management at Trusted Wholesalers will most likely closely evaluate the agreements made by_____.

C) CAFTA
Answer: C Diff: 3 Page Ref: 558 AACSB: Reflective Thinking
Skill: Application Objective: 19-1

29) All of the following are types of industrial structures EXCEPT?

C) developing economies
Answer: C Diff: 2 Page Ref: 558-559 Skill: Concept Objective: 19-1

30) Much of Chile's revenues come from its tin and copper exports. Chile has a _____economy.

D) raw material exporting
Answer: D Diff: 1 Page Ref: 558 AACSB: Reflective Thinking
Skill: Application Objective: 19-1

31) The two key economic factors reflecting a country's attractiveness as a market are its industrial structure and its_____.

D) income distribution
Answer: D Diff: 1 Page Ref: 558 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1

32) In a(n)_____, the vast majority of people engage in simple agriculture and consume most of their output.

B) subsistence economy
Answer: B Diff: 2 Page Ref: 558 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1

33) Very few market opportunities are available in a(n)_____economy.

A) subsistence
Answer: A Diff: 2 Page Ref: 558 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1

34) A(n)_____economy is poor in some ways but rich in one or more natural resources responsible for creating most of its exporting revenue.

C) raw-material exporting
Answer: C Diff: 1 Page Ref: 558 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1

35) _____are major exporters of manufactured goods, services, and investment funds. They trade goods among themselves and export them to other types of economies for raw materials and semifinished goods.

D) Industrial economies
Answer: D Diff: 2 Page Ref: 559 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1

36) In a(n)_____economy, manufacturing accounts for 10 to 20 percent of the country's economy. This type of economy typically has a new rich class and a small but growing middle class, both demanding new types of imported goods.

B) industrializing
Answer: B Diff: 2 Page Ref: 559 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1

37) Industrializing economies do NOT include_____.

D) Sweden
Answer: D Diff: 3 Page Ref: 559 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1

38) All of the following are political-legal factors that should be considered when deciding whether to do business in a given country EXCEPT?

C) if a state religion is enforced
Answer: C Diff: 2 Page Ref: 559 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1

39) Countries with_____economies may consist mostly of households with very low family incomes.

E) subsistence
Answer: E Diff: 2 Page Ref: 559 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1

40) India needs more imports of raw materials such as textiles, steel, and heavy machinery, and fewer imports of finished textiles, paper products, and automobiles. India is most likely a_____economy.

E) industrializing
Answer: E Diff: 3 Page Ref: 559 AACSB: Reflective Thinking
Skill: Application Objective: 19-1

41) In international trade, it is ideal if the buyer can pay in_____.

B) the seller's currency
Answer: B Diff: 2 Page Ref: 560 Skill: Concept Objective: 19-1

42) Sellers might accept a_____, one whose removal from the country is restricted by the buyer's government, if they can buy other goods in that country that they need themselves or can sell elsewhere for a need currency.

A) blocked currency
Answer: A Diff: 3 Page Ref: 560 Skill: Concept Objective: 19-1

43) All of the following are methods of countertrade EXCEPT?

A) paying in the seller's currency without further obligation
Answer: A Diff: 2 Page Ref: 560 Skill: Concept Objective: 19-1

44) What type of countertrade occurs when a seller sells a plant, equipment, or technology to another country and agrees to take payment in the resulting products?

D) buyback
Answer: D Diff: 2 Page Ref: 560 Skill: Concept Objective: 19-1

45) Japan's Fukusuke Corporation sold knitting machines and raw textile materials to Shanghai clothing manufacturer Chinatex in exchange for finished textiles produced on the machines. This is an example of which form of countertrade?

B) compensation
Answer: B Diff: 3 Page Ref: 560 AACSB: Reflective Thinking
Skill: Application Objective: 19-1

46) Azerbaijan imported wheat from Romania in exchange for crude oil and Vietnam exchanged rice for Philippine fertilizer and coconuts. Both scenarios are examples of which form of countertrade?

E) barter
Answer: E Diff: 3 Page Ref: 560 AACSB: Reflective Thinking
Skill: Application Objective: 19-1

47) Daimler Chrysler agreed to sell 30 trucks to Romania in exchange for 150 Romanian jeeps, which it then sold to Ecuador for bananas, which were in turn sold to a German supermarket chain for German currency. What is this an example of?

C) countertrading
Answer: C Diff: 2 Page Ref: 560 AACSB: Reflective Thinking
Skill: Application Objective: 19-1

48) Which of the following is the most common form of countertrade?

D) counterpurchase
Answer: D Diff: 3 Page Ref: 560 Skill: Concept Objective: 19-1

49) The form of countertrade in which the seller receives full payment in cash but agrees to spend some of the money in the other country is known as _____.

A) counterpurchasing
Answer: A Diff: 1 Page Ref: 560 Skill: Concept Objective: 19-1

50) When Boeing sells aircraft to India and agrees to buy Indian coffee, rice, and castor oil and to sell these products elsewhere, Boeing is engaging in _____.

E) counterpurchasing
Answer: E Diff: 2 Page Ref: 560 AACSB: Reflective Thinking
Skill: Application Objective: 19-1

51) It is important to understand how business norms vary from county to country. For example,_____like to sit or stand very close to each other when they talk business in fact, almost nose-to-nose.

C) South Americans
Answer: C Diff: 2 Page Ref: 561 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1

52) Some social critics say that globalization really means_____the world's cultures.

A) Americanizing
Answer: A Diff: 2 Page Ref: 562 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1

53) Which type of business is LEAST likely to find it necessary to enter international markets in order to survive?

D) small, local businesses
Answer: D Diff: 1 Page Ref: 563 AACSB: Analytic Skills
Skill: Concept Objective: 19-1

54) Which of the following is a factor that is likely to push a company to decide NOT to enter international markets?

B) The company would have to redesign its products.
Answer: B Diff: 2 Page Ref: 564 AACSB: Analytic Skills
Skill: Concept Objective: 19-1

55) Several of the following factors might draw a company into the international arena EXCEPT?

C) Managers are unsure of the effect of regulations and the political environments of other countries.
Answer: C Diff: 2 Page Ref: 564 AACSB: Analytic Skills
Skill: Concept Objective: 19-1

56) Of the following, which is the LEAST critical decision a company should make before going abroad?

D) how many people it wants to employ
Answer: D Diff: 2 Page Ref: 564 Skill: Concept Objective: 19-1

57) Demographic characteristics, geographic characteristics, economic factors, sociocultural factors, and political and legal factors all help a company _____.

A) determine a market's potential
Answer: A Diff: 2 Page Ref: 565 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1

58) Which of the following is a sociocultural factor that a company should consider before deciding to enter an international market?

E) consumer lifestyles, beliefs, and values
Answer: E Diff: 3 Page Ref: 565 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1

59) Which of the following is a political and legal factor that a company should consider before deciding to enter an international market?

A) monetary and trade regulations
Answer: A Diff: 3 Page Ref: 565 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1

60) Which of the following is an economic factor that a company should consider before deciding to enter and international market?

B) natural resources
Answer: B Diff: 3 Page Ref: 565 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1

61) All of the following are modes of entry that companies can use when they have decided to sell in a foreign country EXCEPT_____.

B) embargo
Answer: B Diff: 2 Page Ref: 566 Skill: Concept Objective: 19-2

62) Members of management at Growing Green, a company that markets organic and environmentally friendly gardening and landscaping supplies and equipment, are evaluating the benefits and disadvantages of indirect exporting, direct exporting, and licensing. In which stage of the international marketing process is Growing Green?

C) deciding how to enter the market
Answer: C Diff: 1 Page Ref: 566 AACSB: Reflective Thinking
Skill: Application Objective: 19-1

63) The simplest way to enter a foreign market is through _____.

C) exporting
Answer: C Diff: 2 Page Ref: 566 Skill: Concept Objective: 19-2

64) When entering a foreign market, companies typically start with _____, working through independent international marketing intermediaries.

D) indirect exporting
Answer: D Diff: 2 Page Ref: 566 Skill: Concept Objective: 19-2

65) _____involves less investment because the firm does not require an overseas marketing organization or network. It also involves less risk.

A) Indirect exporting
Answer: A Diff: 3 Page Ref: 566 Skill: Concept Objective: 19-2

66) Sellers may eventually move into_____, whereby they handle their own exports. The investment and risk are somewhat greater in this strategy.

A) direct exporting
Answer: A Diff: 2 Page Ref: 566 Skill: Concept Objective: 19-2

67) Think Ink is a growing company that sells a variety of inks for home and business printers. Management at Think Ink has decided to open a sales branch overseas to handle sales and distribution abroad. Think Ink is engaging in_____.

B) direct exporting
Answer: B Diff: 2 Page Ref: 566 AACSB: Reflective Thinking
Skill: Application Objective: 19-2

68) A company can conduct direct exporting in all of the following ways EXCEPT?

D) It can work through independent international marketing intermediaries.
Answer: D Diff: 3 Page Ref: 566 AACSB: Analytic Skills
Skill: Concept Objective: 19-2

69) A_____gives the seller more presence and program control in the foreign market and often serves as a display center and customer service center.

B) sales branch
Answer: B Diff: 3 Page Ref: 566 Skill: Concept Objective: 19-2

70) All of the following are four types of joint ventures EXCEPT_____.

D) direct investment
Answer: D Diff: 2 Page Ref: 566 Skill: Concept Objective: 19-2

71) Through_____, an organization in the foreign market buys the right to use a company's manufacturing process, trademark, patent, trade secret, or other item of value.

B) licensing
Answer: B Diff: 1 Page Ref: 566 Skill: Concept Objective: 19-2

72) Coca-Cola markets internationally by_____bottlers around the world for a fee or royalty and then supplying them with the syrups needed to produce Coke products.

C) licensing
Answer: C Diff: 2 Page Ref: 567 AACSB: Reflective Thinking
Skill: Application Objective: 19-2

73) Sears opened up department stores in Mexico and Spain, where it found qualified local manufacturers to produce many of the product it sells. This type of joint venture is known as_____.

E) contract manufacturing
Answer: E Diff: 3 Page Ref: 567 AACSB: Analytic Skills
Skill: Application Objective: 19-2

74) Hilton helps others run their hotels by exporting know-how services rather than products. This type of joint venture is known as_____.

C) management contracting
Answer: C Diff: 2 Page Ref: 567 AACSB: Reflective Thinking
Skill: Application Objective: 19-2

75) _____ventures consist of one company joining forces with foreign investors to create a local business in which they share ownership and control.

A) Joint ownership
Answer: A Diff: 1 Page Ref: 567 Skill: Concept Objective: 19-2

76) Hershey recently linked with Indian-based Godrej Beverages and Foods to make and distribute its chocolates in that country. When it comes to selling chocolate in India, Hershey will need all the help it can from its new local partner. This is an example of which joint venture?

D) joint ownership
Answer: D Diff: 1 Page Ref: 567 AACSB: Reflective Thinking
Skill: Application Objective: 19-2

77) _____involves entering a foreign market by developing foreign-based assembly or manufacturing facilities.

B) Direct investment
Answer: B Diff: 1 Page Ref: 568 Skill: Concept Objective: 19-2

78) Lower costs in the form of cheaper labor or raw materials, foreign government investment incentives, freight savings, and the opportunity to improve the company image are all factors that would likely lead a company to _____ in a foreign market.

E) make a direct investment
Answer: E Diff: 2 Page Ref: 568 AACSB: Analytic Skills
Skill: Concept Objective: 19-2

79) _____means selling largely the same products and using the same marketing approaches worldwide.

C) Standardized global marketing
Answer: C Diff: 1 Page Ref: 568 AACSB: Communication
Skill: Concept Objective: 19-3

80) _____means adjusting the marketing strategy and mix elements to each international target market.

C) Adapted global marketing
Answer: C Diff: 1 Page Ref: 568 AACSB: Communication
Skill: Concept Objective: 19-3

81) In India, where cows are considered sacred, McDonald's serves McChicken, Filet-O-fish, McVeggie, and Pizza McPuffs. This is an example of_____.

B) adapted global marketing
Answer: B Diff: 2 Page Ref: 569 AACSB: Multicultural and Diversity
Skill: Application Objective: 19-3

82) All of the following are strategies for adapting product and marketing communications to a global market EXCEPT?

A) external extension
Answer: A Diff: 2 Page Ref: 569 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-3

83) "Take the product as is and find customers for it" is the slogan for_____.

D) straight product extension
Answer: D Diff: 2 Page Ref: 569 AACSB: Reflective Thinking
Skill: Concept Objective: 19-3

84) Kellogg cereals, Gillette razors, Heineken beer, and Black & Decker tools are all sold successfully in about the same form around the world. This is an example of which product strategy?

B) straight product extension
Answer: B Diff: 2 Page Ref: 569 AACSB: Analytic Skills
Skill: Application Objective: 19-3

85) To make Oreo cookies sell well in China, Kraft completely reinvented the popular all- American classic to a long, thin, four-layered, chocolate-covered wafer. This is an example of_____.

C) product adaptation
Answer: C Diff: 2 Page Ref: 570 AACSB: Analytic Skills
Skill: Application Objective: 19-3

86) Nokia created dustproof keypads, crucial in dry, hot countries with many unpaved roads, such as India. This is an example of_____.

E) product adaptation
Answer: E Diff: 2 Page Ref: 570 AACSB: Analytic Skills
Skill: Application Objective: 19-3

87) Sony found that Japanese commuters had difficulty using standard laptops on crowded rush-hour trains since standing commuters have no laps. So it created the U as a "standing computer." The U includes a touch screen and small keyboard that can be used while standing or on the move. This is an example of_____.

B) product invention
Answer: B Diff: 3 Page Ref: 571 AACSB: Reflective Thinking
Skill: Application Objective: 19-3

88) Changing promotions for each local market is known as_____.

C) communication adaptation
Answer: C Diff: 2 Page Ref: 572 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-3

89) To maximize the toothpaste market in China, Crest needs to convince more of the Chinese population to brush their teeth. Which of the following would Crest be most likely to use to accomplish this?

C) communication adaptation
Answer: C Diff: 3 Page Ref: 572 AACSB: Analytic Skills
Skill: Application Objective: 19-3

90) The global name for Microsoft's new operating system, Vista, runs out to be a disparaging term for a frumpy old woman in Lativa. Microsoft must adjust the name. This is an example of_____.

A) communication adaptation
Answer: A Diff: 3 Page Ref: 572 AACSB: Analytic Skills
Skill: Application Objective: 19-3

91) Kellogg ads in the United States promote the taste and nutrition of Kellogg's cereals versus competitors' brands. In France, where consumers drink little milk and eat little for breakfast, Kellogg's ads must convince consumers that cereals are a tasty and healthful breakfast. Kellogg is following what type of marketing strategy?

D) communication adaptation
Answer: D Diff: 2 Page Ref: 572 AACSB: Analytic Skills
Skill: Application Objective: 19-3

92) Regardless of how companies go about pricing their products, their foreign prices will probably be_____their domestic prices.

C) higher than
Answer: C Diff: 2 Page Ref: 573 Skill: Concept Objective: 19-3

93) A Gucci handbag may sell for $60 in Italy and $240 in the United States. It must add the cost of transportation, tariffs, importer margin, wholesaler margin, and retailer margin to its factory price. Gucci faces a _____ problem.

E) price escalation
Answer: E Diff: 2 Page Ref: 573 AACSB: Analytic Skills
Skill: Application Objective: 19-3

94) _____occurs when a company either charges less than its costs or less than it charges in its home market.

B) Dumping
Answer: B Diff: 1 Page Ref: 574 Skill: Concept Objective: 19-3

95) The two major links between the seller and the final buyer of channels between nations and channels within nations make up a_____.

A) whole-channel view
Answer: A Diff: 1 Page Ref: 574 Skill: Concept Objective: 19-3

96) The first link between the seller and the final buyer,_____, moves company products from points of production to the borders of countries within which they are sold.

A) channels between nations
Answer: A Diff: 2 Page Ref: 574 Skill: Concept Objective: 19-4

97) A firm normally gets into international marketing by simply shipping out its goods. If its international sales expand, the company organizes a(n)_____.

C) export department
Answer: C Diff: 1 Page Ref: 575 Skill: Concept Objective: 19-4

98) World product groups, geographical organizations, and international subsidiaries are all options for organizing a(n)_____.

D) international division
Answer: D Diff: 2 Page Ref: 576 Skill: Concept Objective: 19-4

99) In a(n)_____, executives are trained in worldwide operations, not just domestic or international.

E) global organization
Answer: E Diff: 1 Page Ref: 576 Skill: Concept Objective: 19-4

100) At Comfort Homes, a manufacturer of furniture and home accessories, the global operating units report directly to the chief executive instead of a head of an international division. The company recruits management from many countries and buys components and supplies where they cost the least. Comfort Homes is most accurately classified as a(n)_____.

D) global organization
Answer: D Diff: 2 Page Ref: 576 AACSB: Reflective Thinking
Skill: Application Objective: 19-4

Chapter 20 Sustainable Marketing: Social Responsibility and Ethics

1) _____calls for meeting the present needs of consumers and businesses while also preserving or enhancing the ability of future generations to meet their needs.

A) The sustainable marketing concept
Answer: A Diff: 2 Page Ref: 585 AACSB: Communication
Skill: Concept Objective: 20-1

2) All of the following are concepts that define the needs of consumers and/or businesses EXCEPT?

E) Consumer business concept
Answer: E Diff: 1 Page Ref: 585 Skill: Concept Objective: 20-1

3) The_____is specifically focused on future company needs only.

B) strategic planning concept
Answer: B Diff: 1 Page Ref: 585 AACSB: Communication
Skill: Concept Objective: 20-1

4) The_____is specifically focused on the future welfare of consumers only.

C) societal marketing concept
Answer: C Diff: 1 Page Ref: 585 AACSB: Communication
Skill: Concept Objective: 20-1

5) McDonald's "Plan to Win" strategy has added healthy food options to its menu, phased out traditional artery-clogging trans fats, launched a major multifaceted education campaign, and addressed environmental issues. "Plan to Win" best exemplifies which concept?

A) sustainable marketing concept
Answer: A Diff: 1 Page Ref: 585 AACSB: Reflective Thinking
Skill: Application Objective: 20-2

6) Many critics charge that the American marketing system causes_____to be higher than they would be under more "sensible" systems.

C) prices
Answer: C Diff: 1 Page Ref: 586 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-2

7) Critics charge that intermediaries_____.

B) are inefficient
Answer: B Diff: 2 Page Ref: 586 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-2

8) A long-standing charge against intermediaries is that they mark up prices beyond the_____.

A) value of their services
Answer: A Diff: 1 Page Ref: 586 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-2

9) A heavily promoted brand of flu medicine sells for much more than a virtually identical store-branded product. Critics would likely charge that promotion for the branded flu medicine adds only_____to the product rather than functional value.

C) psychological value
Answer: C Diff: 2 Page Ref: 586 AACSB: Reflective Thinking
Skill: Application Objective: 20-2

10) Marketers respond to charges of high advertising and promotion costs that unnecessarily increase retail prices by arguing all of the following factors EXCEPT?

C) Advertising and promotion adds quality to the product.
Answer: C Diff: 2 Page Ref: 586 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-2

11) Dan's Drugstore sells consumers medicine for twenty dollars that only costs two dollars to make. The store is guilty of_____.

D) excessive markups
Answer: D Diff: 2 Page Ref: 587 AACSB: Analytic Skills
Skill: Application Objective: 20-2

12) Albatross Enterprises was accused of deceptive pricing. Which of the following explains what might have happened?

C) Albatross advertised a large price reduction from a phony high retail list price.
Answer: C Diff: 2 Page Ref: 587 AACSB: Reflective Thinking
Skill: Application Objective: 20-2

13) Hart's Department Store was accused of deceptive promotion. Which of the following best explains what might have happened?

B) Hart's lured customers to the store for a bargain that is out of stock.
Answer: B Diff: 2 Page Ref: 587 AACSB: Reflective Thinking
Skill: Application Objective: 20-2

14) Marketers claim that consumers often don't understand the reasons for high markups. All of the following are reasons a pharmaceutical company claims they must markup prices EXCEPT_____.

E) to gain a profit
Answer: E Diff: 2 Page Ref: 587 Skill: Concept Objective: 20-2

15) Deceptive practices fall into three groups: deceptive_____, deceptive _____, and deceptive_____.

C) pricing; promotion; packaging
Answer: C Diff: 2 Page Ref: 587 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-2

16) Deceptive promotion differs from deceptive pricing in that deceptive promotion overstates the product's_____or_____.

B) features; performance
Answer: B Diff: 2 Page Ref: 587 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-2

17) A major step in regulating "unfair or deceptive business acts and practices" was the enactment of the _____ in 1938.

B) Wheeler-Lea Act
Answer: B Diff: 2 Page Ref: 587 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-2

18) Advertising "puffery" is a term for _____.

B) innocent exaggeration for effect
Answer: B Diff: 2 Page Ref: 588 AACSB: Communication
Skill: Concept Objective: 20-2

19) Which of the following advertising situations would LEAST likely be considered "puffery"?

D) a retired couple drinking a vitamin and protein shake and then going bicycling
Answer: D Diff: 2 Page Ref: 588 AACSB: Reflective Thinking
Skill: Application Objective: 20-2

20) When critics claim that insurance, real estate, and used cars are sold, not bought, they are making accusations of the use of_____.

C) high-pressure selling
Answer: C Diff: 2 Page Ref: 588 AACSB: Reflective Thinking
Skill: Concept Objective: 20-2

21) _____persuades people to buy goods they had no thought of buying.

B) High pressure selling
Answer: B Diff: 1 Page Ref: 588 AACSB: Communication
Skill: Concept Objective: 20-2

22) The success of the Tom Dennis Ford dealership has been built largely on return customers and word-of-mouth recommendations. The majority of sales are made to customers who have purchased a vehicle at the dealership before or who know someone who had a positive experience purchasing a vehicle there. The sales force at the Tom Dennis Ford dealership most likely knows that using high-pressure selling does not work if the dealership wants to _____.

D) build long-term relationships with customers
Answer: D Diff: 2 Page Ref: 588 AACSB: Reflective Thinking
Skill: Application Objective: 20-2

23) Recently, a class-action lawsuit was brought against McDonald's, charging that its food has contributed to the nationwide obesity epidemic. The suit was eventually dismissed, but many critics continue to point out the health dangers of many "fast food" menu items. These critics are concerned that the fast food industry has used_____.

E) harmful products
Answer: E Diff: 2 Page Ref: 588 AACSB: Reflective Thinking
Skill: Application Objective: 20-2

24) Consumers Union, the nonprofit testing and information organization, publishes_____to assist the consumer in choosing products and to encourage businesses to eliminate product flaws.

D) Consumer Reports
Answer: D Diff: 2 Page Ref: 589 Skill: Concept Objective: 20-2

25) All of the following would be considered hazards in tested products EXCEPT _____.

E) sour-tasting medicine
Answer: E Diff: 1 Page Ref: 589 Skill: Concept Objective: 20-2

26) Critics have charged that some companies intentionally manufacture their products with materials or components that cause the product to need to be replaced before it actually should need replacement. What is this called?

C) planned obsolescence
Answer: C Diff: 2 Page Ref: 589 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-2

27) The following quote best describes_____. "The marvels of modern technology include the development of a soda can which, when discarded, will last forever, and a...car, which when properly cared for, will rust out in two or three years."

A) planned obsolescence
Answer: A Diff: 2 Page Ref: 590 AACSB: Analytic Skills
Skill: Concept Objective: 20-2

28) Planned obsolescence might involve all of the following EXCEPT_____.

A) the use of unsafe materials
Answer: A Diff: 1 Page Ref: 590 Skill: Concept Objective: 20-2

29) Marketers respond to charges of planned obsolescence with all of the following EXCEPT?

C) The product will eventually wear out anyway.
Answer: C Diff: 2 Page Ref: 590 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-2

30) Trendy Teens manufactures fashionable clothing and accessories for the tween and teen female markets. New merchandise with a very different look is rolled out each season and heavily promoted as the "must-have" style in a variety of media. Trendy Teens could most easily be criticized for which of the following?

E) planned obsolescence
Answer: E Diff: 2 Page Ref: 590 AACSB: Reflective Thinking
Skill: Application Objective: 20-2

31) Critics claim that companies in the_____industries introduce planned streams of new products that make older models obsolete, a form of planned obsolescence that harms consumers.

D) consumer electronics and computer
Answer: D Diff: 2 Page Ref: 590 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-2

32) Critics who believe that the American marketing system poorly serves disadvantaged consumers claim that the_____pay more for inferior goods.

C) urban poor
Answer: C Diff: 2 Page Ref: 590 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-2

33) The presence of_____in low-income neighborhoods makes a big difference in keeping prices down.

D) large national chain stores
Answer: D Diff: 2 Page Ref: 590 Skill: Concept Objective: 20-2

34) When major chain retailers avoid placing stores in disadvantaged neighborhoods, they are likely to be accused of the discriminatory practice of _____.

C) redlining
Answer: C Diff: 2 Page Ref: 590 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-2

35) Critics claim that mortgage lenders used_____. Instead of staying away from people in poor urban areas, they targeted and exploited them by steering them toward subprime loans even though many qualified for safer fixed-rate loans.

A) reverse redlining
Answer: A Diff: 2 Page Ref: 591 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-2

36) Several companies, some of them operating through the Internet, offer "paycheck advances." Consumers are encouraged to take out a loan against a paycheck they expect to receive in the near future. These short-term loans with high-interest rates, and high penalties for late payments, are often marketed to consumers who do not have traditional bank accounts. These companies could most easily be criticized for which of the following?

B) poor service to disadvantaged consumers
Answer: B Diff: 2 Page Ref: 590 AACSB: Reflective Thinking
Skill: Application Objective: 20-2

37) Critics have charged that the marketing system urges too much interest in _____.

A) material possessions
Answer: A Diff: 1 Page Ref: 591 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-2

38) Critics of the American economic marketing system have charged that marketers have created a culture in which people are judged by what they _____.

B) own
Answer: B Diff: 1 Page Ref: 591 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-2

39) Bill Talen, also known as the Reverend Billy, leader of the Church of Stop Shopping, wants people to resist the temptation to shop. He annually leads a group of volunteers in his post-Thanksgiving Buy Nothing Parade in front of Macy's in Manhattan. Bill Talen is criticizing the American marketing system for creating_____.

D) false wants and too much materialism
Answer: D Diff: 2 Page Ref: 592 AACSB: Reflective Thinking
Skill: Application Objective: 20-2

40) Businesses hire_____firms to use mass media to create materialistic models of the good life.

C) Madison Avenue
Answer: C Diff: 3 Page Ref: 592 AACSB: Communication
Skill: Concept Objective: 20-2

41) Critics say marketing is seen as benefiting_____more than_____.

B) industry; consumers
Answer: B Diff: 2 Page Ref: 592 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-2

42) Our wants and values are LEAST influenced by which of the following?

E) intermediaries
Answer: E Diff: 2 Page Ref: 592 Skill: Concept Objective: 20-2

43) The overselling of private goods results in_____, such as cars causing traffic jams, air pollution, injuries, and deaths.

C) social costs
Answer: C Diff: 2 Page Ref: 592-593 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-2

44) To restore the balance between private and public goods, producers could be required to bear the full_____costs of their operations.

D) social
Answer: D Diff: 3 Page Ref: 593 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-2

45) For cars, "social costs" include all of the following EXCEPT_____.

D) congestion tolls
Answer: D Diff: 2 Page Ref: 593 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-2

46) TerraPass is a company that offers consumers the opportunity to buy carbon offsets, which are contributions to projects that combat global warming by reducing carbon emissions. TerraPass offers contribution packages for driving, flying, and home energy use. Through TerraPass, consumers can pay some of the_____costs of their private goods and services.

E) social
Answer: E Diff: 2 Page Ref: 593 AACSB: Reflective Thinking
Skill: Application Objective: 20-2

47) Cultural pollution could be referred to as_____.

A) commercial noise
Answer: A Diff: 2 Page Ref: 593 AACSB: Reflective Thinking
Skill: Concept Objective: 20-2

48) All of the following are examples of cultural pollution EXCEPT_____.

C) street signs in an urban area
Answer: C Diff: 2 Page Ref: 593 Skill: Concept Objective: 20-2

49) Karl Lagaros, a marketing critic, is concerned about the pervasiveness about marketing. He points to advertising messages everywhere, from Web sites and e-mails to unwanted direct mail and catalogs to television commercials and product tie-ins to billboards and store signage. Karl is concerned about _____.

B) cultural pollution
Answer: B Diff: 2 Page Ref: 593 AACSB: Reflective Thinking
Skill: Application Objective: 20-2

50) In response to charges of_____, marketers point out that advertising makes much of television and radio free to users and also keeps down the cost of magazines and newspapers.

E) cultural pollution
Answer: E Diff: 2 Page Ref: 593 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-2

51) Cultural pollution continually pollutes people's minds with all of the following messages EXCEPT_____.

D) religion
Answer: D Diff: 2 Page Ref: 593 AACSB: Analytic Skills
Skill: Concept Objective: 20-2

52) Large marketing companies can use patents and heavy promotion spending to _____.

C) set up barriers for others wanting to enter the industry
Answer: C Diff: 3 Page Ref: 594 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-2

53) All of the following are potential advantages of acquisition EXCEPT?

B) Acquisitions require little government oversight.
Answer: B Diff: 2 Page Ref: 594 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-2

54) Setting prices below cost, threatening to cut off business with suppliers, and discouraging the purchase of a competitor's products are all examples of _____.

C) predatory competition
Answer: C Diff: 2 Page Ref: 594 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-2

55) The two major movements to keep business in line are environmentalism and _____.

A) consumerism
Answer: A Diff: 1 Page Ref: 595 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-3

56) The first organized consumer movement in the United States took place in the early 1900s. It was fueled by all of the following conditions EXCEPT _____.

C) unsafe merchandise
Answer: C Diff: 2 Page Ref: 595 Skill: Concept Objective: 20-3

57) Ralph Nader is most closely associated with which of the following?

A) the consumerism movement of the 1960s
Answer: A Diff: 3 Page Ref: 595 Skill: Concept Objective: 20-3

58) _____is an organized movement of citizens and government agencies to improve the rights and power of buyers in relation to sellers.

D) Consumerism
Answer: D Diff: 1 Page Ref: 595 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-3

59) All of the following are traditional sellers' rights EXCEPT_____.

C) the right to promote any product to any audience
Answer: C Diff: 3 Page Ref: 595 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-3

60) Consumer advocates call for all of the following additional consumer rights EXCEPT_____.

A) the right to be protected from unwanted marketing messages
Answer: A Diff: 3 Page Ref: 595-596 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-3

61) Proposals related to the consumer's right to_____include controlling the ingredients that go into certain products and packaging as well as reducing the level of advertising "noise."

E) influence products and marketing practices in ways that will improve the "quality of life"
Answer: E Diff: 2 Page Ref: 596 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-3

62) Proposals related to the consumer's right to be informed including knowing all of the following EXCEPT_____.

E) product safety
Answer: E Diff: 2 Page Ref: 596 AACSB: Analytic Skills
Skill: Concept Objective: 20-3

63) Proposals_____include promoting the use of sustainable ingredients, recycling and reducing solid wastes, and managing energy consumption.

C) for preserving the world for future consumption
Answer: C Diff: 2 Page Ref: 596 Skill: Concept Objective: 20-3

64) _____is an organized movement of concerned citizens and government agencies to protect and improve people's living environment.

B) Environmentalism
Answer: B Diff: 1 Page Ref: 596 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-3

65) The_____in the United States came about because of concern for the loss of the atmosphere's ozone layer, toxic wastes, litter, and the damage caused by strip mining and forest depletion.

A) first wave of modern environmentalism
Answer: A Diff: 2 Page Ref: 596 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-3

66) _____is a management approach that involves developing strategies that both sustain the environment and produce profits for the company.

C) Environmental sustainability
Answer: C Diff: 1 Page Ref: 597 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-3

67) Companies emphasizing_____are developing "green marketing" programs that develop ecologically safer products, recyclable and biodegradable packaging, more energy-efficient operations, and better pollution controls.

A) pollution prevention
Answer: A Diff: 2 Page Ref: 597 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-3

68) All of the following are components of both internal and external "greening" and "beyond greening" activities EXCEPT_____.

C) environmentalism
Answer: C Diff: 1 Page Ref: 597 Skill: Concept Objective: 20-3

69) Nike produces PVC-free shoes, recycles old sneakers, and educates young people about conservation, reuse, and recycling. Nike is using the most basic level of environmental sustainability known as_____.

A) pollution prevention
Answer: A Diff: 2 Page Ref: 597 AACSB: Reflective Thinking
Skill: Application Objective: 20-3

70) All of the following are components of "green marketing" EXCEPT _____.

B) cradle-to-cradle practices
Answer: B Diff: 2 Page Ref: 597 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-3

71) Minimizing pollution from production and all environmental impacts throughout the full product life cycle is called_____.

C) product stewardship
Answer: C Diff: 3 Page Ref: 597-598 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-3

72) ABC, Inc. is currently designing a new product line with the goal of making each product easy to recover, reuse, or recycle. ABC, Inc. hopes to recover many of these products when they reach the end of their lifecycle and reuse components in new products. ABC, Inc. is in the _____stage of environmental sustainability.

C) product stewardship
Answer: C Diff: 2 Page Ref: 597-598 AACSB: Reflective Thinking
Skill: Application Objective: 20-3

73) _____involves thinking ahead in the design stage to create products that are easier to reuse, recycle, or recover.

B) Design for environment (DFE)
Answer: B Diff: 2 Page Ref: 598 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-3

74) Xerox Corporation's Equipment Remanufacture and Parts Reuse Program converts end-of-life office equipment into new products and parts. This not only helps sustain the environment, but it is also highly profitable for the company. Such a practice is known as_____.

D) design for environment (DFE)
Answer: D Diff: 3 Page Ref: 598 AACSB: Reflective Thinking
Skill: Application Objective: 20-3

75) Companies can develop_____, which serves as a guide to the future. It shows how the company's products and services, processes, and policies must evolve and what new technologies must be developed to get there.

E) a sustainability vision
Answer: E Diff: 2 Page Ref: 598 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-3

76) As international trade barriers come down and global markets expand, environmental issues are having_____impact on international trade.

D) a greater
Answer: D Diff: 2 Page Ref: 599 Skill: Concept Objective: 20-3

77) The philosophy of_____holds that a company's marketing should support the best long-run performance of the marketing system.

C) the sustainable marketing concept
Answer: C Diff: 1 Page Ref: 602 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-4

78) All of the following are sustainable marketing principles EXCEPT_____.

D) value marketing
Answer: D Diff: 2 Page Ref: 602 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-4

79) Jacob Engineering Group views and organizes its marketing activities from the viewpoint of its buyers. Management works hard to sense, serve, and satisfy the needs of its well-defined group of buyers. What does Jacob Engineering Group practice?

A) consumer-oriented marketing
Answer: A Diff: 2 Page Ref: 602 AACSB: Reflective Thinking
Skill: Application Objective: 20-4

80) Which sustainable marketing principle requires that a company seek real product and marketing improvements?

B) innovative
Answer: B Diff: 1 Page Ref: 602 Skill: Concept Objective: 20-4

81) After Sony and Microsoft kicked the Mario out of Nintendo's GameCube in the Video Game War of 2001, the smallest of the three game platform makers needed a new plan. The resulting Wii system, with its intuitive motion-sensitive controller and interactive games, appealed not only to teen boys but also to their sisters, moms, dads, and even grandparents. The system immediately outsold both the PlayStation 3 and Xbox 360. This is a successful example of_____marketing.

B) innovative
Answer: B Diff: 3 Page Ref: 602 AACSB: Reflective Thinking
Skill: Application Objective: 20-4

82) Some firms define their purpose in narrow product terms. Others that define their purpose in broad social terms follow_____.

B) sense-of-mission marketing
Answer: B Diff: 2 Page Ref: 603 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-4

83) Timberland employees get 40 hours paid leave each year to pursue volunteer projects. The company runs a service day that hosts projects in 25 countries, and it supports a nonprofit that brings young people into public service for a year. CEO Jeffrey Swartz sees such service as a powerful differentiator for Timberland with its current and potential customers. Timberland could be most accurately described as practicing_____.

E) sense-of-mission marketing
Answer: E Diff: 2 Page Ref: 603 AACSB: Reflective Thinking
Skill: Application Objective: 20-4

84) Dove wanted to do more than just sell its beauty care products. The company was on a quest to discover "real beauty" and help women be happy just the way they are. As a result, the Dove Campaign for Real Beauty was successfully launched in 2004. Dove was practicing which type of marketing?

A) sense-of-mission
Answer: A Diff: 2 Page Ref: 603 AACSB: Reflective Thinking
Skill: Application Objective: 20-4

85) When a company makes marketing decisions by considering consumers' wants and interests, the company's requirements, and society's long-run interests, it is practicing_____marketing.

B) societal
Answer: B Diff: 1 Page Ref: 604 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-4

86) What are deficient products?

A) products that have neither immediate appeal nor long-run benefits
Answer: A Diff: 1 Page Ref: 604 Skill: Concept Objective: 20-4

87) Dales Drugstore sells cough medicine that is sour and ineffective. This is an example of a_____product.

D) deficient
Answer: D Diff: 1 Page Ref: 604 AACSB: Reflective Thinking
Skill: Application Objective: 20-4

88) A company that makes products that give high immediate satisfaction but may hurt consumers in the long run makes_____products.

B) pleasing
Answer: B Diff: 1 Page Ref: 604 Skill: Concept Objective: 20-4

89) _____products give both high immediate satisfaction and high long-run benefits.

C) Desirable
Answer: C Diff: 1 Page Ref: 604 Skill: Concept Objective: 20-4

90) Examples of pleasing products include_____.

A) cigarettes and junk food
Answer: A Diff: 1 Page Ref: 604 AACSB: Reflective Thinking
Skill: Concept Objective: 20-4

91) Which of the following is the best example of a desirable product?

A) healthy and delicious breakfast food
Answer: A Diff: 2 Page Ref: 604 AACSB: Reflective Thinking
Skill: Concept Objective: 20-4

92) In societal marketing, the ideal goal for companies is to turn all of their products into_____ones.

B) desirable ones
Answer: B Diff: 2 Page Ref: 605 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-4

93) Maytag's front-loading Neptune washer provides superior cleaning and energy efficiency. The Neptune washer is an example of a_____product.

D) desirable
Answer: D Diff: 3 Page Ref: 604 AACSB: Reflective Thinking
Skill: Application Objective: 20-4

94) The challenge for makers of which type of product is to add long-run benefits without reducing the product's pleasing qualities?

C) pleasing
Answer: C Diff: 2 Page Ref: 605 Skill: Concept Objective: 20-4

95) The challenge for makers of which type of product is to add some pleasing qualities so that it will become more desirable in the consumers' minds?

A) salutary
Answer: A Diff: 2 Page Ref: 605 Skill: Concept Objective: 20-4

96) Baker Enterprises produces several new products that have low appeal but may benefit consumers in the long run. What is the most accurate classification of these products?

C) salutary
Answer: C Diff: 2 Page Ref: 604 AACSB: Reflective Thinking
Skill: Application Objective: 20-4

97) Monica Carey is a conscientious marketing manager. Sometimes it is unclear what decisions to make when she and her staff are faced with moral dilemmas. Monica and other managers could create broad guidelines that everyone in the organization must follow in the form of_____.

D) corporate marketing ethics policies
Answer: D Diff: 3 Page Ref: 605 AACSB: Reflective Thinking
Skill: Application Objective: 20-5

98) A company that produces and heavily markets cigarettes, with many promotions aimed at young (although legal age) nonsmokers, most likely follows which of the following as a guiding principle?

B) the philosophy that companies can do in good conscience whatever the market and legal systems allow
Answer: B Diff: 1 Page Ref: 606 AACSB: Reflective Thinking
Skill: Application Objective: 20-5

99) Companies must decide what principle they should use as a guide on issues of ethics and social responsibility. All of the following are common philosophies to accomplish this end EXCEPT?

C) Let society decide.
Answer: C Diff: 3 Page Ref: 606 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-5

100) The American Marketing Association (AMA) has created a code of ethics that includes all of the following ethical values EXCEPT_____.

D) competitiveness
Answer: D Diff: 1 Page Ref: 607-608 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-5